Council

Report Title: 2026/27 Budget Report

Date: 4 March 2026

Key decision: No

Class: Part 1

Ward(s) affected: All

Contributors: Executive Director for Finance, Digital and Corporate Resources

Outline and Recommendations

The purpose of this report is to set out the overall financial position of the Council in relation to 2025/26 and to set the Budget for 2026/27. This report recommends the Council Tax to be agreed and housing rents to be set for 2026/27. It sets the Capital Programme for the next four years and the Council's Treasury Management Strategy for 2026/27.

The report provides information on the revenue budget reduction proposals necessary to unwind the 2025/26 use of Reserves and set the Budget for 2026/27, the allocation of budget growth to meet inflation pressures and service overspending plus the steps to address the budget requirement for 2026/27 and future years as part of the Medium-Term Financial Strategy.

Council is asked to consider the recommendations listed in this report at Section 2.

Timeline of Engagement and Decision-Making

Mayor and Cabinet approved the draft 2026/27 Budget Report on 11 February 2026.

Public Accounts Select Committee considered the draft 2026/27 Budget Report on the 29 January 2026.

The Council Tax Base was approved by Council on the 28 January 2026.

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1. Summary

1.1. This report sets out the context and range of budget assumptions which Council is required to agree to enable it to set a balanced budget for 2026/27. These include the following:

1.2. **General Fund**

- The latest final Local Government Finance Settlement, a new multi-year Settlement, used to fund the General Fund Revenue Budget, is based on Government's Fair Funding Review and covers 2026/27 – 2028/29; the Spending Review Period. The new multi-year Settlement is built on a Core Spending Power basis and includes these funding components:
    - Council Tax Requirement,
    - Fair Funding Allocation,
    - Recovery Grant,
    - Recovery Grant Guarantee,
    - Recovery Grant Uplift,
    - Adjustment Support Grant, and
    - Consolidated Grants (only those within Core Spending Power).
- In respect of the General Fund, the assumed Core Spending Power, and therefore the General Fund Revenue Budget for 2026/27, is £425.799m. This is funded by the Fair Funding Allocation, forecast Council Tax receipts including an increase in Council Tax of 4.99%, Recovery Grant, Recovery Grant Guarantee, Recovery Grant Uplift, Adjustment Support Grant and consolidated grants within Core Spending Power.
- The Fair Funding Allocation includes the Baseline Funding Level in relation to business rates, the Revenue Support Grant and the Local Authority Better Care Grant. Full detail of the 2026/27 General Fund Revenue Budget is set out in Section 6.
- To align Lewisham Council's 2026/27 General Fund Revenue Budget with Government's Fair Funding Review, it has been built based on a restated 2025/26 Core Spending Power Budget of £401.877m as opposed to the General Fund Net Revenue Budget of £312.515m. Full detail of the restatement and build can also be found in Section 6.
- The use of £21.895m of Reserves in 2025/26 has been unwound, with the detail set out in Section 6.
- The changes to the prior year General Fund position to meet the 2026/27 General Fund Budget requirement of £425.799m are proposed on the basis of the following assumptions:

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- £30.070m of revenue budget reductions have been included for 2026/27, of which £0.821m were agreed prior to 2025/26 and £29.249m were agreed during 2025/26 for implementation.
- An assumed 4.99% increase in Band D Council Tax for Lewisham's services for 2026/27; including the 2.99% increase in the core Council Tax as confirmed in the final Local Government Finance Settlement and 2.00% increase for the Adult Social Care precept.
- £18.133m of ongoing funding allocated for growth, risks and pressures in 2026/27, primarily to cover the services facing budgetary pressures and overspends in 2025/26.
- £5.299m of salary inflation for 2026/27.
- £8.664m of non-salary inflation for 2026/27.
- The need for £35.656m of budget reductions to be implemented across the next three years to ensure a balanced budget is set each year throughout the Spending Review Period (2026/27 – 2028/29).

1.3. **Fees and Charges**

- This report also presents the 2026/27 proposed fees and charges and related annual increase for the majority of chargeable services, statutory and discretionary. In the main, these are in-line with the Council's policy to increase charges by Consumer Price Index (CPI) +1% for 2026/27, based on September 2025 inflation of 3.8% (so 4.8%), or more if this is required to ensure full cost recovery.

1.4. **Dedicated Schools Grant and Pupil Premium**

- The 2026/27 overall Dedicated Schools Grant (DSG) allocation is £418.82m, a 5.8% increase, of which £63.26m is part of the Early Years Block and remains provisional. This includes funding for academy schools. A breakdown of DSG funding is as follows:
  - *Schools Block:* A net increase of £6.47m (2.5%), of which £6.51m relates to existing teachers' pay grants (not new or additional funding), therefore the non-salary decrease is £0.04m.
  - *Central Services Support Block:* a net decrease of £0.15m. The historic baseline has been reduced by £0.16m (20%), however there is a formula led element increase of £0.04m which incorporates teachers' pay grants and changes to copy right licenses (not new funding).
  - *High Needs Block:* A net increase of £5.10m (6.1%), of which £5.01m relates to existing teachers' pay grants (not new or additional funding). This funding supports those young people

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with Special Needs and, in addition, Schools Forum have agreed to supplement this budget by £0.60m in 2026/27.

On 9 February 2026, Government announced support to local authorities with DSG deficits as they transition to a reformed SEND system. The support will to be introduced in phases, with the first phase addressing historic deficits accrued up to 31 March 2026. All local authorities with a SEND deficit will be eligible to receive a High Needs Stability Grant in 2026/27, covering 90% of their High Needs-related DSG deficit. Details are still to be confirmed on further support for deficits arising before the accounting override ends on 1 April 2028. From 2028/29, SEND spending will be covered by the overall Government DEL budget, meaning local authorities are not expected to fund future SEND costs.

- *Early Years Block:* A net increase of £11.56m (22.4%), which incorporates the streamlined grants relating to teachers pay and pension. Incorporating the streamlined grants, there is an increase in the hourly rates:
  - 3-4 year-olds from £7.52 to £8.08 (increase of 7.4%);
  - 2 year-olds from £11.04 to £11.47 (increase of 3.9%);
  - 2 year-olds with working parent entitlement increase from £11.04 to £11.47 (increase of 3.9%); and
  - under 2 years old offer entitlement increase from £15.06 to £15.62 (increase of 3.7%).

  The Early Years Block also includes small levels of targeted funding to support Early Years pupil premium, disability access funding - total increase of circa £0.1m.

- **Pupil Premium:** The Department for Education (DfE) has confirmed the continuation of the Pupil Premium grant into 2026/27, and the values have been confirmed at an average increase of 2.3%. For context, Lewisham schools would receive a total of £15.0m using the revised rates of funding compared to £14.7m for 2025/26.
- **Pupil numbers:** Pupil numbers have decreased by a net 700, composite of 644 in the primary phase and 36 in the secondary phase. The fifth consecutive year of falling rolls.

1.5. **Housing Revenue Account (HRA)**

- A proposed rent increase of 4.80% (an average of £5.95 per week) in respect of dwelling rents, 4.80% (average £4.52 per week) in respect of hostels, and a range of other proposed changes to service charges on the same basis. The proposed annual expenditure for the Housing Revenue Account (HRA) is £275.71m in 2026/27, including the capital and new build programme.

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- On 28 January 2026, Government confirmed that Registered Providers will be able to increase weekly rents for Social Rented homes, currently below the formula level, by up to an additional £1 per week over and above CPI+1% from 1 April 2027 (ie. rent convergence). This followed on from their consultation on how to implement social housing rent convergence to bring actual rent levels up to formula rent levels. As it was confirmed that rent convergence would not be permitted until 1 April 2027, rent increases for 2026/27 equate to CPI+1% only. They further confirmed that up to an additional £2 per week could be applied over and above CPI+1% from 1 April 2028, until formula rent levels are reached.

- Based on this Government decision, there will be no extra rental income for the HRA in 2026/27. The HRA Business Plan has been updated, and forecast rent levels adjusted, to reflect the additional allowance from 2027/28.

- The proposed Capital Programme (HRA) budget for 2026/27 to 2030/31 of £602.29m, of which £148.71m is for 2026/27. This is spend on both existing stock and for the building of new homes as set out in Section 9.

- Continuing the action plan to manage the problems related to damp and disrepair. These include undertaking surveys to fully identify damp and disrepair, decency, safety and lifecycle repairs needed in the Councils stock.

- Upon completion of surveys, repairs and follow-up actions are being taken to resolve the issues identified. This may require the allocation of additional resources which may not be fully forecasted within the current HRA budget allocations. Discussions are on-going with service heads on how to fund the cost of these repairs which may result in capital plans being reprioritised for existing stock.

1.6. **General Fund Income and Grants**

- Section 6 of the report sets out the detail of changes to other sources of income. As part of the Fair Funding Review, Government rolled up many existing grants into the final Local Government Finance Settlement. The Settlement now includes grants both within and outside Core Spending Power.

- The Local Authority Better Care Grant (£18.433m) remains unchanged from 2025/26, although it now forms part of the Fair Funding Allocation. The Recovery Grant (£5.279m) also remains unchanged from 2025/26. Both are within Core Spending Power.

- Government have introduced the Recovery Grant Guarantee and Recovery Grant Uplift from 2026/27. For 2026/27, these are £10.578m and £2.991m respectively. In addition, there is the inclusion of the Adjustment Support Grant for 2026/27 only, the allocation being £0.173m.

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- The following grants from 2025/26 have been rolled into the 2026/27 Revenue Support Grant (£112.991m), which now forms part of the Fair Funding Allocation, and is within Core Spending Power: Social Care Grant, Market Sustainability and Improvement Fund, Employers National Insurance Contributions Grant, New Homes Bonus, Section 31 Business Rates Relief Grant, the Temporary Accommodation element of the Homelessness Prevention Grant and a selection of other smaller grants detailed in Section 6.
- The following grants from 2025/26 have been rolled into newly formed consolidated grants within Core Spending Power:
    - The Children's Social Care Prevention Grant and Supporting Families Grant have been rolled into the Families First Partnership (£4.899m). This is the component of the Children, Families and Youth Grant that sits within Core Spending Power.
    - The Prevention and Relief element of the Homelessness Prevention Grant, Rough Sleeping Prevention and Recovery Grant and Domestic Abuse Accommodation Support have been rolled into the Homelessness, Rough Sleeping and Domestic Abuse Grant (£7.347m).
- The following grants from 2025/26 have been rolled into newly formed consolidated grants but still sit outside Core Spending Power:
    - The Public Health Grant, Drug & Alcohol Treatment & Recovery Improvement Grant and Local Stop Smoking Services & Support Grant have been rolled into the Public Health Grant (£33.380m).
    - The Household Support Grant and Discretionary Housing Payments have been rolled into the Crisis & Resilience Fund (£5.383m).
    - The Holiday Activities and Food Programme and the Post-16 Pupil Premium Plus Programme have been rolled into the Children, Families and Youth Grant but sit outside Core Spending Power (£1.150m).
- The element of the Better Care Fund, paid via the NHS, is retained and does not form part of Core Spending Power. The minimum contribution to Adult Social Care is expected to increase by 4.4% to £13.005m for 2026/27.

1.7. **Treasury**

- The report updates the Council's Treasury Management Strategy for both borrowing and investments. The proposed approach and levels of risk the Council takes in its Treasury functions remains prudent, in-line with last year, and officers continue to explore alternative investment options and opportunities to undertake debt restructuring in order to reduce cashflow, balance sheet risk and best fund the capital plans set out.

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- There are no material changes to the strategy.

1.8. **Capital**

- The proposed Capital Programme (General Fund and HRA) budget for 2026/27 to 2029/30 is £539.25m; £109.96m (20%) for the General Fund and £429.30m (80%) for the HRA. Of this programme, £213.61m is for 2026/27 with £76.20m allocated to the General Fund and £137.41m to the HRA.

1.9. **Climate Budget 2026/27 – 2028/29**

- The Council is publishing its third annual Climate Budget as appended in Appendix V1.

2. Recommendations

2.1. It is recommended that, having considered the views of those consulted on the budget, and subject to proper process, as required, Council:

General Fund Revenue Budget

2.2. notes the 2025/26 forecast projected overall variance of £1.50m underspend, after the budgeted use of Corporate Provisions and Reserves against the 2025/26 budget of £312.515m as set out in Section 6 of this report, and that this year-end underspend will result in a commensurate reduction in the draw on Reserves;

2.3. endorses the budget reduction measures of £0.821m (previously agreed) and £29.249m (agreed in 2025/26), for 2026/27 as set out in Section 6 of the report and summarised in Appendices Y2 and Y3 respectively;

2.4. agrees the allocation of £54.640m of resources from Core Spending Power and Reserves (on a once-off basis) in 2026/27 to be invested in funding quantified budget pressures and opportunities, as set out in Section 6;

2.5. agrees a General Fund Budget Requirement of £425.799m for 2026/27 be approved;

2.6. agrees to a 4.99% increase in Lewisham's Council Tax element. This will result in a Band D equivalent Council Tax level of £1,726.82 for Lewisham's services and £2,237.33 overall. This represents an overall increase in Council Tax for 2026/27 of 4.79% and is subject to the Greater London Authority (GLA) precept for 2026/27 being increased by £20.13 (i.e. 4.10%) from £490.38 to £510.51, in line with the GLA's draft budget proposals;

2.7. notes the Council Tax Ready Reckoner which, for illustrative purposes, sets out the Band D equivalent Council Tax at various levels of increase. This is explained in Section 6 of the report with more detail in Appendix Y7;

2.8. notes that Mayor and Cabinet asked that the Executive Director for Finance, Digital and Corporate Resources issues cash limits to all Directorates and

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publishes the Budget Book for 2026/27 for the record once the 2026/27 Revenue Budget is agreed;

2.9. considers the Section 25 Statement from the Chief Finance Officer, the Executive Director for Finance, Digital and Corporate Resources. This is attached at Appendix Y8;

2.10. agrees the draft statutory calculations for 2026/27 as set out at Appendix Y9;

2.11. notes the prospects for the revenue budget for 2026/27 and future years;

2.12. notes the updated Medium-Term Financial Strategy and associated need for at least £36m of budget reductions, to be agreed and implemented in the period 2026/27 to 2028/29 to meet future pressures as set out in Sections 6 and 7;

2.13. notes that Mayor and Cabinet asked officers to continue to develop firm proposals to redesign and transform services and inform the capital strategy by bringing them forward in good time to support the work towards a savings and investment round to help plan early and meet the future forecast medium-term finance strategy objectives;

2.14. notes that Mayor and Cabinet agreed to write-off historic Council Tax Arrears (including court costs) totalling £12,063,458.78, as set out in Appendix Y12;

2.15. notes that Mayor and Cabinet agreed to write-off 20 cases of Former Tenants' Arrears related to Temporary Accommodation stock totalling £346,896.56, as set out in Appendix Y12;

2.16. notes that Mayor and Cabinet agreed to write off one case of Adult Social Care Sundry Debt Arrears totalling £170,543.92, as set out in Appendix Y12;

2.17. notes that Mayor and Cabinet agreed to write-off one case of Business Rates Arrears totalling £144,551.11, as set out in Appendix Y12;

Other Grants (within the General Fund)

2.18. notes the adjustments to and impact of various specific grants for 2026/27 on the General Fund as set out in Section 6 of this report;

Fees and Charges

2.19. notes that Mayor and Cabinet approved the approach to setting 2026/27 fees and charges for chargeable services in Section 6 of the report and attached at Appendix Y10;

Dedicated Schools Grant and Pupil Premium

Schools Block

2.20. notes the provisional gross Dedicated Schools Grant (DSG) allocation for

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2026/27 of £418.82m before the Department for Education's (DfE's) adjustments to fund Academy schools;

2.21. notes the provisional DSG allocation for £263.55m be the Schools' Budget (Schools Block) for 2026/27 covering both maintained schools and academies, and that this includes streamlining of grants for teachers pay and NICs (2025/26 award) totalling £6.51m;

2.22. agrees, as recommended by Schools Forum, the once-off transfer of circa £0.60m of Schools Block funding to the High Needs Block, a 0.23% transfer;

Central Schools Services Block (CSSB)

2.23. notes the construct and allocation of £2.80m for the Central Schools Services Block allocation for 2026/27, a continued reduction of £0.16m (20%), plus formula led element increase of £0.04m, which is rolled in funding and not new funding;

High Needs Block (HNB)

2.24. notes the provisional High Needs Block of £89.21m to support the Council's statutory duty with regards to Special Education Needs (SEN), a net increase of £5.10m relative to 2025/26 (6.1%). And that the High Needs Block will be finalised in March for deductions arising for institutions funded by the Department for Education (DfE);

Early Years Block (EYB)

2.25. notes the DSG allocation to the Early Years Block of £63.26m;

2.26. notes that the DfE has increased hourly funding for 3- and 4-year-olds from £7.52 to £8.08 (7.4%) and with respect to 2-year-old disadvantaged funding from £11.04 to £11.47 (3.9%);

2.27. notes the increased hourly funding for under 2-year-olds from £15.06 to £15.62 (3.7%);

2.28. notes the increased hourly rate for 2-year-old working parent entitlement from £11.04 to £11.47 per hour (3.9%);

Pupil Premium

2.29. notes that the pupil premium will continue in 2026/27 and that rates have increased on average by 2.3%;

Housing Revenue Account

2.30. notes the consultation report on proposed service charge increases to tenants and leaseholders in the Brockley area, presented to tenants and leaseholders on 3 December 2025, as attached at Appendices X2a and X2b;

2.31. notes the consultation report on proposed service charge increases to tenants

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presented to the remaining tenants as attached at Appendix X3. Leaseholders were asked for their views at the Leasehold Forum on 11th December 2025 and a copy of the minutes are attached at Appendix X1c;

2.32. agrees to set an increase in dwelling rents of 4.80% (an average of £5.95 per week) – as per the Government formula for rent increases to be applied to rents for 2026/27 and as outlined in Section 9 of this report, and following confirmation of the delay to the implementation of a convergence element until 2027/28;

2.33. agrees to set an increase in the hostels accommodation charge of 4.80% (or £4.52 per week), in accordance with Government direction for formula rent increases to be applied to rents for 2026/27, and following confirmation of the delay to the implementation of a convergence element until 2027/28;

2.34. approves the following average weekly increases/decreases for dwellings for:

2.35. service charges to PFI managed dwellings (Brockley) to ensure full cost recovery and 5.50% inflationary uplift for 2026/27:

• caretaking	5.50%	(£0.21)
• grounds maintenance	5.50%	(£0.11)
• communal lighting	5.50%	(£0.10)
• bulk waste collection	5.50%	(£0.12)
• window cleaning	5.50%	(£0.00)
• tenants' levy	0.00%	(£0.00)

2.36. service charges to Council managed dwellings to ensure full cost recovery and 3.80% inflationary uplift for 2026/27:

• caretaking	3.72%	(£0.26)
• grounds maintenance	3.93%	(£0.12)
• window cleaning	24.81%	(£0.02)
• communal lighting	39.12	(£1.35)
• block pest control	26.36%	(£0.57)
• waste collection	3.36%	(£0.03)
• heating and hot water	7.70%	(£1.23)
• tenants' levy	0.00%	(£0.00)
• bulk waste disposal	3.36%	(£0.03)
• sheltered housing	5.00%	(£1.00)

2.37. approves the following average weekly percentage changes for hostels and

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shared temporary units for:

2.38. service charges (hostels) – caretaking etc.; 5.98% or £5.09pw, energy cost increases for heat, light and power; 10.00% or £1.67pw;

2.39. water charges increase; 10.00% or £0.03pw;

2.40. approves an increase in garage rents by 4.50% (£0.94 per week) for Brockley PFI and Council residents as outlined in Appendix X4;

2.41. notes that the budgeted expenditure for the Housing Revenue Account (HRA) for 2026/27 is £275.71m, split £127.01m revenue and £148.71m capital, which includes the decent homes and new build programmes;

2.42. notes that Mayor and Cabinet agreed the HRA Business Plan for 2026/27, as attached at Appendix X7;

2.43. notes that Mayor and Cabinet agreed to write-off eight cases of Former Tenants' Arrears related to HRA stock as set out in Appendix X5, totalling £121,783.96;

Treasury Management Strategy

2.44. approves the Treasury Management Strategy 2026/27 including the prudential indicators and treasury indicators, as set out in Section 10 of this report;

2.45. approves the Annual Investment Strategy and Creditworthiness Policy, set out in further detail at Appendix Z2, and that it formally delegates responsibility for managing transactions with those institutions which meet the criteria to the Executive Director of Finance, Digital and Corporate Resources;

2.46. approves the Investment Strategy as set out in Section 10 of this report, along with the operational boundary and authorised limit for the year as set out in Tables E4 and E5;

2.47. approves the Minimum Revenue Provision (MRP) policy as set out in Section 10 of this report;

2.48. approves the overall credit and counterparty risk management criteria, as set out at Appendix Z2, the proposed countries for investment at Appendix Z5, and that it formally delegates responsibility for managing transactions with those institutions meeting the criteria to the Executive Director for Finance, Digital and Corporate Resources;

2.49. agrees to delegate to the Executive Director for Finance, Digital and Corporate Resources, the authority during 2026/27 to make amendments to borrowing and investment limits provided they are consistent with the strategy and there is no change to the Council's authorised limit for borrowing;

2.50. notes that Mayor and Cabinet agreed to authorise the Director of Finance to renegotiate the terms of the loans to Lewisham Homes provided that:

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- the total value of the loans does not exceed the current £40m total; and
- the Director of Law & Corporate Governance approves the form of any revised or new agreements and that all legal and/or governance matters are complied with;

Capital Programme

2.51. agrees the reprofiled and amended 2025/26 Capital Programme of £177.88m as set out in Section 11 of the report;

2.52. agrees that any programme slippage in 2025/26 be added to the 2026/27 Capital Programme project budgets and reported in 2026/27;

2.53. approves the 2026/27 to 2029/30 Capital Programme of £539.25m as set out in Section 11 of this report;

2.54. agrees the Capital Strategy set out in Appendix W1;

2.55. agrees to delegate authority to the Executive Director for Finance, Digital and Corporate Resources to amend the scheme mix within the Capital Programme to respond to the risks as set out as long as this is done within the total programme parameters approved and that regular updates on the Capital Programme, reflecting any changes, are regularly reported back to Mayor and Cabinet;

Climate Budget 2026/27 – 2028/29

2.56. notes that Mayor and Cabinet agreed the Council's Climate Budget 2026/27 – 2028/29 as set out in Section 12 and Appendix V1.

3. Policy Context

3.1. The Council's strategy and priorities drive the Budget with changes in resource allocation determined in accordance with policies and strategy. The Council launched its Corporate Strategy in November 2022, with seven corporate priorities as stated below:

Corporate Priorities

3.2. The Council's corporate priorities are:

- Cleaner and Greener;
- A Strong Local Economy;
- Quality Housing;
- Children and Young People;
- Safer Communities;
- Open Lewisham; and

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- Health and Wellbeing.

Values

3.3. Values are critical to the Council's role as an employer, regulator, securer of services and steward of public funds. The Council's values shape interactions and behaviours across the organisational hierarchy, between officers and members, between the council and partners and between the council and citizens. In taking forward the Council's Budget Strategy, we are guided by the Council's five core values:

- Ambitious;
- Inclusive;
- Collaborative;
- Accountable; and
- Trustworthy.

3.4. The setting of a balanced budget for 2026/27 directly supports the achievement of the Council's corporate priorities. As required under the CIPFA Financial Management Code of Practice, the Council must demonstrate how its budget is aligned to its corporate priorities. Appendix Y6 sets out how the proposed budget for 2026/27 would align to the seven priorities set out above.

3.5. As set out in the 2025/26 Budget, the Council's strong and resilient framework for prioritising action has enabled it to respond effectively to sustained reductions in local government funding, alongside rising service demand, population growth and inflationary pressures. This continues to mean, that even in the face of the most daunting financial challenges facing the Council and its partners, the Council continues to work alongside our communities to achieve more than we could by simply working alone.

3.6. This joint endeavour will help the Council navigate the demanding challenge of a fundamental reform to local government funding, delivered through the first multi-year Settlement in over a decade. Whilst working through this challenge, the Council must also manage the challenges faced by health and social care services and housing, manage school improvements, secure investment in the borough for new homes, regenerate town centres, renew leisure opportunities and make improvements in the wider environment. This work continues to improve life chances and life opportunities across the borough through improved education opportunities, skills development, and employment. Of course, there is still much more that can be done to realise the ambitions for the future of the borough; ranging from the work to support housing supply and business growth, through to our programmes of care and support to some of the most vulnerable and troubled families.

3.7. The Government's Fair Funding Review, through which local government funding has been reformed, represents an important step in restoring the

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balance between funding and need, which had drifted out of alignment in the absence of reform. This was long overdue and has included a review of Council Tax and business rates, along with grant funding arrangements. Whilst reform was long overdue, and the multiple year Settlement is welcome, the Council is still facing real-terms cuts in total funding. Thus it remains clear that the Council cannot do all that it once did in the same way, nor meet all those expectations that might once have been met.

3.8. Whilst the Council's response to this is addressed in this report, including further budget reduction proposals for 2026/27, the Council has been able to unwind the use of Reserves that was necessary to balance the Budget in 2025/26 and has built a 2026/27 Budget with no further reliance on Reserves funding. Although this has been achieved for 2026/27, the Council will still need to find an estimated £36m of budget reductions in 2026/27 for implementation over the Spending Review Period of 2026/27 to 2028/29 (ie. the years of the multi-year Settlement). This will ensure the Council's continued financial sustainability and resilience over the three-year period.

3.9. At the same time, as set out at Section 6 of the report, the use of resources to address risks and pressures through positive investments is an opportunity. These investments are also supported via the Capital Programme at Section 11. This spending deals with both existing pressures, additional inflationary pressures and supports the Council in refocusing and changing services where new opportunities and expectations for how the Council can better deliver them to support the community are identified.

3.10. Cost-of-living pressures continue to impact our residents, businesses, and the Council alike and the proposed 2026/27 Budget seeks to continue to best support the borough as a whole.

4. Structure of the Report

4.1. The 2026/27 Budget Report is structured as follows:

Section 1	Summary
Section 2	Recommendations
Section 3	Policy Context
Section 4	Structure of the Report
Section 5	Background
Section 6	General Fund Revenue Budget and Council Tax
Section 7	Medium-Term Financial Strategy and Future Risks
Section 8	Dedicated Schools Grant (DSG) and Pupil Premium
Section 9	Housing Revenue Account (HRA)

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Section 10 Treasury Management Strategy 2026/27

Section 11 Capital Programme

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5. Background

5.1. This section sets out the main national macro-economic and public spending position, the current position in respect of local government finance, and some of the key Council services as context for the Budget spending details.

National Context

5.2. The latest Economic and Fiscal Outlook (EFO) was published by the Office for Budget Responsibility (OBR) in November 2025 and paints a more constrained fiscal outlook relative to the March forecast. It is characterised by greater spending pressures, weaker medium-term growth and higher near-term inflation.

5.3. Real GDP growth for 2025 is now forecast at 1.5%, up from the 1.0% forecast in March 2025. This upward revision largely reflects a more positive first quarter of the year than was expected; a temporary occurrence as households sought to avoid upcoming stamp duty threshold changes and businesses accelerated activity ahead of tariff increases. Since the first quarter of 2025, real GDP growth has fallen for two consecutive quarters and is expected to continue at a subdued level for the final quarter of the year. This has contributed to a downward revision of the real GDP growth forecast

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for 2026, from 1.9% to 1.4%.

5.4. The OBR now forecast that the UK will reach the Bank of England's 2% inflation target one year later than anticipated in the March forecast, due not only to domestic uncertainties but also international ones including ongoing geopolitical tensions and the instability of global trade policy. These global tensions not only influence inflation in the UK and elsewhere but also contribute to the slowing of global trade growth from 3.7% (2024) to 2.3% (2026 forecast).

5.5. While the medium-term outlook remains challenging, recent developments indicate some short terms easing of headline inflation. Following the Autumn Budget 2025, CPI inflation fell to 3.2% in November 2025 which could be a reflection on the restrictive monetary policies recently implemented. In light of these developments, the Bank of England reduced the interest rate to 3.75% in December 2025 and indicated that inflation could now fall back towards 2% more quickly than was thought. This indication was reinforced by a further fall in inflation to 3.0% in January 2026.

5.6. Addressing the cost-of-living pressures faced by residents is central to tackling the impacts of poverty and deprivation experienced by Lewisham's families and communities. The UK has seen weak and stagnated growth in real disposable incomes since the financial crisis of 2008, with pressures becoming more acute since late 2021 as high inflation has outpaced wage and benefit growth. Although inflation has eased from its peak, renewed upward pressures mean that financial pressures for many households remain significant.

5.7. UK public sector net debt, which was forecast at 95.9% of GDP in the March forecast, is now expected to stand at 95.0% for 2025/26. Despite this modest downward revision, debt remains close to its highest level since the early 1960s. Over the medium-term, public sector net debt is forecast to rise further to 97.0% of GDP by 2028/29, reflecting increases in public sector net borrowing in each year of the forecast period. Local authority net borrowing forms part of this overall borrowing position and is projected to remain at relatively elevated levels of £12bn per year in 2026/27 and 2027/28, £9bn higher than forecast in March. In addition, Government is forecast to run a budget deficit for 2025/26, with Government spending in cash terms forecast to be £23bn higher in 2025/26 relative to that forecast in the March EFO, of which £6bn is attributable to higher local authority spending. This is, in part, driven by those authorities needing Extraordinary Financial Support (EFS) from the Treasury to be able to set balanced budget.

5.8. Within the Autumn Budget 2024, the first under the current Labour Government, the Chancellor of the Exchequer announced two new fiscal rules to support economic and fiscal stability:

- The Investment Rule – to reduce net financial debt (public sector net financial liabilities) as a proportion of GDP. This is designed to keep

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debt on a sustainable path, while allowing for increased investment in infrastructure and public services; and

- The Stability Rule – to match revenues to day-to-day spending and only borrow for investment, to therefore move the current budget into balance.

5.9. The challenges posed by the Stability Rule were highlighted in the Spring Statement 2025, when a forecast £4.1bn underlying deficit against the rule was the driver behind the introduction of certain policy changes. These new measures, including welfare spending reductions, and departmental day-to-day spending measures, were projected to turn the deficit into a £9.9bn surplus by 2029/30. The latest EFO now forecasts headroom of £22bn against the Stability Rule. There has also been progress towards meeting the Investment Rule, with forecast headroom of £24bn by 2029/30 predicted as part of the November EFO, although more recent OBR forecasts suggest Investment Rule targets are now only just being met.

Local Government

5.10. Global and national economic conditions continue to exert significant pressure on local government finances. Elevated near-term inflation above the 2% target continues to increase the cost of delivering services, contracts and capital programmes while unpredictable medium-term inflation makes financial forecasting more challenging. The latest shifts in the Bank of England's base interest rate continue to influence council borrowing and investments, with some positive and some negative impacts. High levels of public sector net debt limit the potential for additional central government funding, while at the same time, Government's fiscal rules add to the complexities of the funding environment currently faced by local councils.

5.11. To transform the public sector landscape, Government have been leading significant levels of reform since taking office, including the English Devolution White Paper which set outs Government's intention for England to be fully covered by unitary authorities. This involves consolidating any two-tier local government structure into a single unitary authority, therefore representing a major shift in devolution of powers and governance. Although the impact for England is significant, London, and therefore Lewisham Council, is currently unaffected structurally, with London boroughs remaining unitary in function and the GLA remaining as the strategic mayoral authority.

5.12. London, and Lewisham Council, are however, heavily impacted by the other Local Government reforms taking place. The reset of the Business Rates Retention Scheme, modernisation of Council Tax administration, the ten-year health plan for England and reforms to public procurement all affect the Council directly.

5.13. In particular, the Council has been majorly impacted by the Fair Funding Review; a reform to local government financing. Through this reform, Government committed to introducing a fairer funding system orientated to

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deprivation, taking account of an up-to-date assessment of local needs, costs and ability to raise Council Tax when allocating resources. Following announcements as part of the Autumn Budget 2024, the Spending Review 2025, and two consultations on the topic, the methodology and allocations were presented in the latest Policy Statement and the final Local Government Finance Settlement. Details of the Council's new funding structure can be found in Section 6 of this report.

5.14. In terms of the Medium-Term Financial Strategy (MTFS), the recently announced multi-year Settlement has allowed the Council to construct a three-year forecast for the Spending Review period based on Government announced funding allocations and the new funding structure they have introduced. The impact of this medium-term certainty, and the risks associated with the end of the Spending Review Period are covered in Section 7 of this report.

Cost-of-Living Pressures

5.15. In the context of the economic pressures described above, exacerbated in London given the very high housing costs, cost-of-living pressures continue to have a significant detrimental effect on many households across the country. Lewisham residents are particularly vulnerable due to their comparatively low income and high deprivation levels (Lewisham are ranked 10th in London on the 2025 Indices of Multiple Deprivation).

5.16. Following the declaration of a cost-of-living emergency, a programme of action was established by Lewisham Council to support residents handling these financial pressures, which continues to be developed and implemented. Resources including the Household Support Fund, Public Health funding and external funding from health partners, are harnessed to make this possible.

5.17. Although not made a permanent budget, the Household Support Fund continued throughout 2022/23, 2023/24, 2024/25 and 2025/26. For the initial three years, the Council received £5.337m on an annual basis and although it did continue in 2025/26, the Council received a reduced allocation of £4.703m. Throughout 2025/26, the funding has continued to be used to support those in financial difficulties via multiple avenues.

5.18. Funding of £1.7m was invested during the school holidays to support the parents of children who are entitled to free school meals, while the funding has also been used to support residents in need of energy and debt advice and, in cases of identified hardship and risk, some limited once-off financial support.

5.19. Lewisham Council worked in partnership with Lewisham Local to relaunch Warm Welcomes during 2023/24 which has continued throughout 2024/25 and 2025/26, supported by the Household Support Fund. Warm Welcomes is an initiative which makes local places accessible for residents to stay warm, have some refreshments and find out about services in their area in light of the current cost-of-living pressures being experienced.

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5.20. Alongside other London boroughs, the Council has received a growing number of households classified as homeless, a figure exacerbated by the cost-of-living pressures being experienced. In March 2025, there were 2,677 households in temporary accommodation in Lewisham. Therefore, during 2025/26, a significant portion of the funding was made available to the Housing Directorate to undertake a number of initiatives aimed at preventing homelessness.

5.21. Finally, the funding has been allocated to ease financial distress for residents via the LiFT system which the Council uses to assess financial shortfalls and direct targeted support, together with a hardship fund that residents can apply to for financial assistance.

5.22. As part the reforms to local government funding, the Household Support Fund will be consolidated into the Crisis and Resilience Fund from 2026/27, in combination with Discretionary Housing Payments. This ringfenced grant will support local authorities to provide preventative support to communities and to assist residents facing financial crisis. In addition to providing a safety net for low-income households experiencing financial hardship, councils are expected to invest in building local financial resilience, enabling individuals and communities to better manage and recover from crises in the longer term.

5.23. As part of the final Local Government Finance Settlement, the Crisis & Resilience Grant will be £5.383m in 2026/27, £5.381m in 2027/28 and £5.340m in 2028/29. A grant determination outlining all grant conditions related to the Crisis & Resilience Fund was published on 12 January 2026.

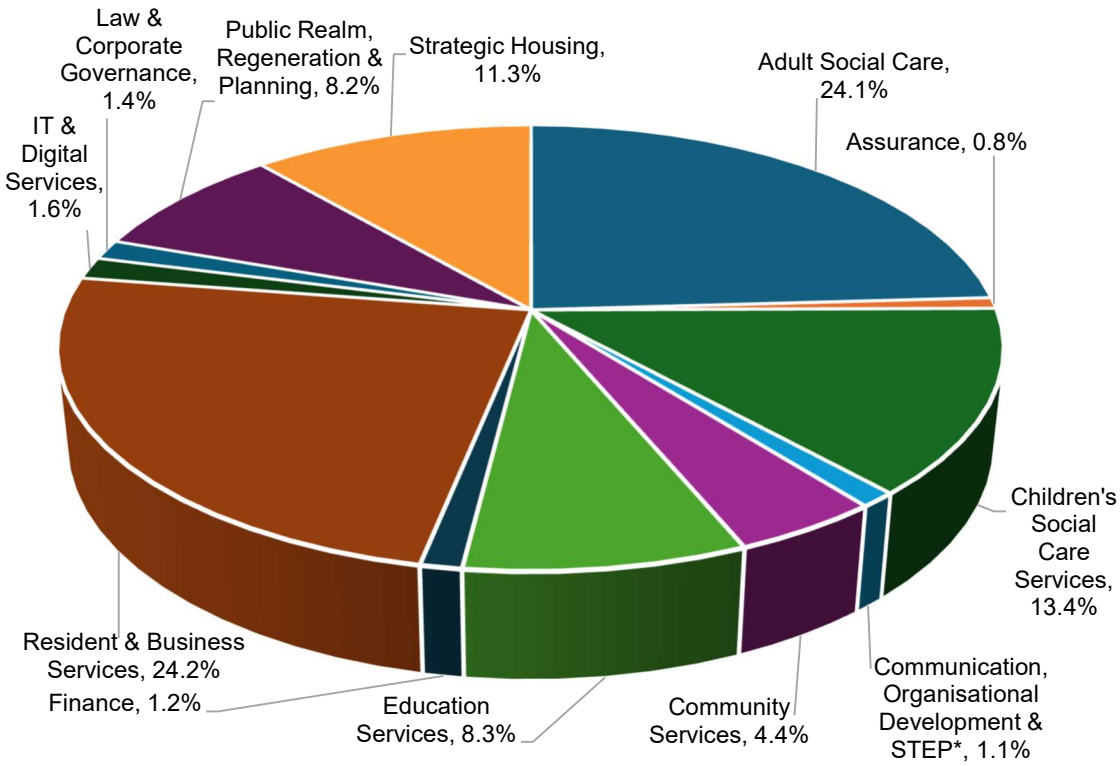
5.24. In addition to Council led programmes that will continue to be provided, Lewisham continues to have an incredible network of community groups, charities, and other local organisations, which offer a wide range of support. The webpage for cost-of-living support can be found here: https://lewisham.gov.uk/myservices/cost-of-living.

Budget Context

5.25. The Council spends approximately £1.790bn annually on both General Fund and HRA services for residents. The gross expenditure budgets for each General Fund service area (excluding the HRA) in the Council are shown below.

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Chart 1: Lewisham Council's 2025/26 Gross Expenditure# by Service Area



#Certain elements of the gross expenditure are excluded from this chart including Corporate Provisions and Schools, which is DSG funded. DSG funded elements of expenditure have also been excluded from Educative Services.
**STEP is Strategy, Transformation, Equalities and Performance.*

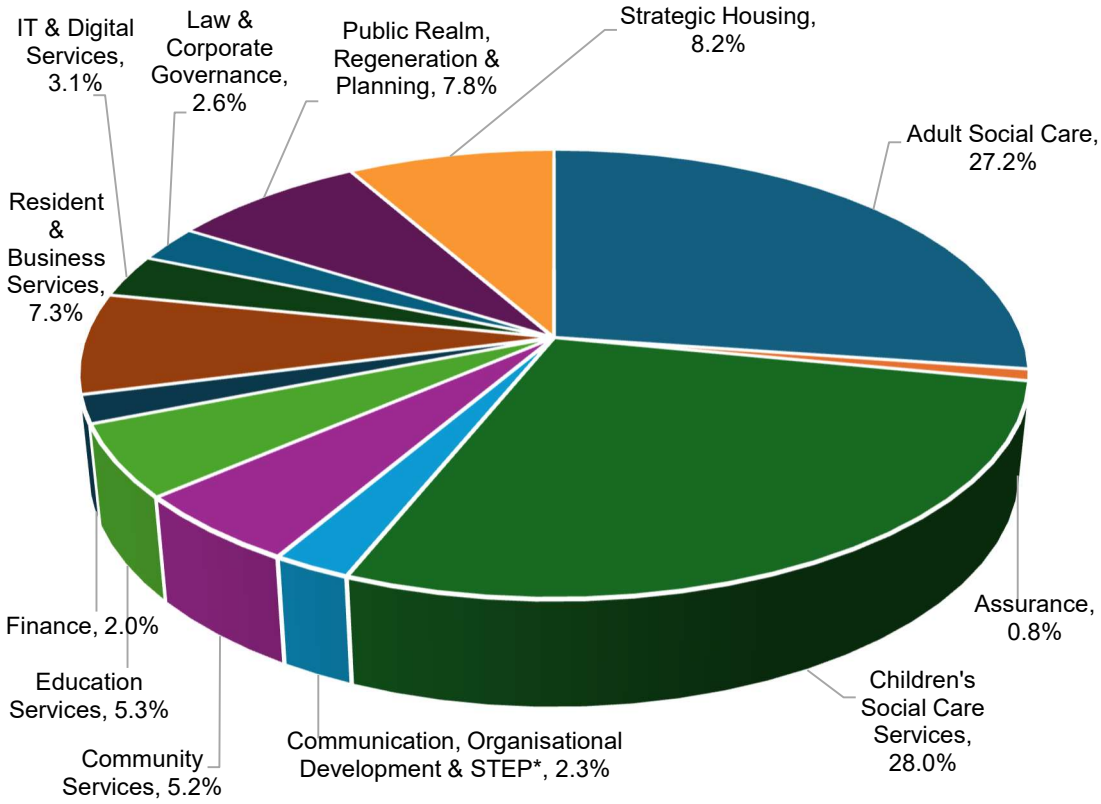
5.26. Resident and Business Services gross budgets include Housing benefits being transferred to claimants.

5.27. In respect of the Council's published budget, the services element of this annual spend is built from the £312.515m General Fund Budget, plus any additional grant income and fees and charges. In respect of the most recent full year financial position, 2024/25, the Council completed its group accounts which have been audited by KPMG. The Council received unqualified opinions on both its financial and value for money audits and the Pension Fund.

5.28. While some services have very large gross levels of expenditure, most of this is matched by income, such as fees and charges, or government funding outside of Core Spending Power, e.g. the Department of Work and Pensions or Department for Education. The Chart below shows how the net budget, funded by streams within Core Spending Power, is utilised across service areas.

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Chart 2: Lewisham Council's 2025/26 Net Expenditure# by Service Area



#Excluding Schools and Corporate Items.
**STEP is Strategy, Transformation, Equalities and Performance.*

5.29. The Council serves a population of 301,255 based on the mid-2024 population estimates published by the Office for National Statistics. This places Lewisham's rate of population change close to average among local authority districts in England and Wales, with an increase of 0.4% between 2021 and 2024. Growth in the population has been strongest amongst working-age residents. Based on the mid-2024 statistics published by the Office for National Statistics, of the 296 boroughs, authorities and districts in England, Lewisham ranked 52nd in terms of population size, in comparison to 44th in the 2021 census. Lewisham's population has remained reasonably stable, however, when ranked against only London boroughs; it was the 13th most densely populated of the 33 London boroughs at the time of the 2021 census whereas it is now the 14th. Lewisham Council's population growth has fallen behind levels projected by the GLA in 2022, at which time they predicted that Lewisham's population would surpass 305,000 by 2024. Residents of Lewisham are diverse, with 35% of the borough's residents born outside the UK, nearly double the England average of 17%. More information on the make-up of the borough can be found on the Lewisham Observatory.

5.30. The number of households served by the Council now stands at 134,367, based on the 2025 Council Tax Base report, with 53% of households currently facing some form of deprivation compared to the England average of 48%. The Council provided Council Tax support to almost 19,000 households during 2024/25.

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5.31. Lewisham continues to welcome more of those seeking asylum in the UK, including continuation of the 25% 'sanctuary' discount for Council Tax for 2026/27, to ensure residents eligible for a single person discount are not financially worse off as a result of housing a refugee. The Council also continues to welcome Ukrainian refugees fleeing the war with Russia and supports them under the Government's 'Homes for Ukraine' scheme. In addition to specific support for refugees, in 2024/25, the Council provided support to 11,907 working-age claimants for the cost of Council Tax, via the Council Tax Reduction Scheme (CTRS).

5.32. The Council works hard to be available for residents when they need it and has an ambition of being the most accessible Council. The corporate Transformation Project of 'No Wrong Front Door' aims to ensure that residents and businesses can access us seamlessly and efficiently. The Council's Customer Services team answered over 200,000 calls in 2024/25, with 97% of calls answered within ten minutes. The team also received a 76% satisfaction rate for the financial year, climbing since previous years. Furthermore, the Housing Team have been able to reduce telephone waiting times from an average of 46 minutes two years ago, to just over six minutes. In addition, through the registry office, the Council processed 7,221 births, deaths, marriages, civil partnerships and citizenship ceremonies in 2024/25.

5.33. In addition to supporting a diverse and growing population, the budget contributes to the Council's commitment to extend local democracy. The findings of the surveys undertaken by the Council to better understand challenges facing Small to Medium Enterprises (SMEs) with ethnically diverse owners, have been used to support the development of an economic development strategy, titled Inclusive Economy Lewisham. This strategy was published in August 2024 and is being implemented between 2025 and 2030. The strategy outlines a clear vision for the unique, growing economy that Lewisham deserves and an action plan for how to get there. This includes aims for Lewisham's economy centred around four themes: enterprise, decarbonisation, young people, and prosperity. Objectives include increases to employment rate by 3.0% over five years, increases to the proportion of residents earning at least London Living Wage by 5.0% over five years, and the number of SMEs as a proportion of Lewisham's business base by 10.0% over five years. The full strategy can be accessed here: Lewisham Council's Inclusive Economic Development Strategy.

5.34. An update on the strategy's progress was presented in December 2025, which showed the borough has made tangible progress across each of the four strategy themes. Highlights include the launch of an innovative youth-led jobs and skills space in 2025 to provide career coaching and guidance for young people, and an increase in the number of accredited London Living Wage Employers in the borough from 40 (in 2021) to over 120. Over 82% of the employees in Lewisham now earn at or above the London Living Wage.

5.35. The budget supports a wide range of age groups across more than 600 individual services.

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5.36. For young people, the schools' budget provides for 66 maintained primary and secondary schools. The young people of the borough continue to achieve higher levels of school attendance at primary and secondary schools than both the London and national average. In 2024/25, primary and secondary school students achieved 95.0% and 93.1% attendance respectively. Furthermore, the Council ran 32 different holiday programmes across the most recent Winter 2025/26 break, offering free activities and lunches for school children and young people aged 4 to 16.

5.37. The Adult Social Care service provides a range of support to vulnerable users that helps them remain active and independent, with 1,394 older and vulnerable residents being supported to return to everyday life following a hospital stay during 2024/25. Also in 2024/25, the service undertook 8,339 Adult Social Care assessments and reviews, in comparison to 7,086 in 2023/24, and supported 3,683 older and vulnerable residents to stay independent across all packages of care. Government's recently published policy framework for the Better Care Fund stated their aims to increase the focus on prevention so that people are living healthier and more independent lives. As well as physical care needs, Adult Social Care services provide support to those with mental health or disability needs, with Lewisham experiencing some of the highest levels of mental health illness in England.

5.38. Our Strategic Housing service benefits a large number of residents. The work done with partners to deliver social housing and temporary accommodation helps provide for the accommodation needs of residents. As at the end of 2024/25, Lewisham Council was the landlord of approximately 12,000 general needs accommodation households and 2,100 temporary accommodation households (including partnership placements). The Council made 925 social lets to households on the housing register in 2024/25, whilst also completing 384 new homes, of which 28 were wheelchair accessible units, and acquiring 122 additional homes to help reduce the waiting list. In additional to this, the Council recently undertook a full condition survey of its stock, with initial findings suggesting that the non-decency level was at 26%. Significant work has been undertaken by the service, and the Council is reassured that this level is now at 11.6% (excluding the PFI properties), with further improvements planned.

5.39. The Borough has over 11,500 businesses registered and, in line with our corporate priority to assist with access to high-quality job opportunities, the budget funds adult education and apprenticeships. During 2024/25, the Council supported 47 apprentices to undertake work and helped another 18 employees upskill. The Council also supported 9,175 adult learning enrolments throughout the financial year.

5.40. Maintaining a clean and green environment is beneficial for all. The amount of waste recycled, composted, or re-used is growing year on year. On a weekly basis, alongside refuse collections, the Council now collects recyclable waste from 134,134 households. Lewisham Council also collects food waste on a weekly basis.

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5.41. The Council is responsible for maintaining roads and footpaths within the Borough. During 2024/25, the Council delivered six new school streets and 360 new secure cycle parking spaces, including a number of virtual bays for lime bikes. By the end of 2024/25, the Council had also delivered 590 new rental micromobility parking spaces. Lewisham Council also manages the parking service, including permits and enforcement. These service areas continue to play a significant part in supporting the delivery of a zero-carbon borough.

5.42. Residents enjoy the borough's green spaces, and the budget supports the work that the Green Scene service does to maintain the high standard of Lewisham's parks. There are 47 parks (and green spaces) in the borough of which 25 hold the coveted 'Green Flag' rating. Lewisham was also rated the top performing London borough for its parks service in the Good Parks for London Report 2025. In addition to these achievements, the 2025 London in Bloom awards celebrated projects that are making London a cleaner, greener and more beautiful place to live. Lewisham Council received nine gold awards for their parks, conservation areas and biodiversity.

5.43. During 2025/26, delivery of the £24m Lewisham Town Centre Improvement Programme has progressed with completion of a series of public realm enhancements surrounding the High Street, alongside the ongoing transformation of Lewisham Library to include new business, co-working, hospitality, and cultural offers. The construction of a permanent market canopy is still to take place.

6. General Fund Revenue Budget and Council Tax

6.1. This section considers the General Fund Revenue Budget and Council Tax. The General Fund Budget for 2026/27, assuming a Council Tax increase of 4.99%, is £425.799m. This is matched to the £425.799m of available core funding (ie. Core Spending Power), therefore allowing the General Fund Revenue Budget to balance pending budget reductions being agreed and implemented. Further details of the budget reduction measures included for 2026/27 are provided at Appendices Y2 and Y3.

6.2. The Budget is built based on a restated 2025/26 General Fund Budget of £401.877m. The restatement of the 2025/26 General Fund Budget has been done to convert the existing 2025/26 General Fund Budget of £312.515m built on a net basis, to a budget built on a Core Spending Power basis in line with Government's reformed funding arrangements. This is not a change to the underlying levels of funding or income which the Council receives and controls, but rather a change in the presentation of these figures for easier comparison between 2025/26 and 2026/27. This is needed as Government's Fair Funding Review has made changes to the way in which Core Spending Power is defined.

6.3. This section of the report is structured as follows:

- Update on the 2025/26 Revenue Budget;

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- The Budget Model, including:
    - Council Tax Requirement, Fair Funding Allocation, Recovery Grant, Recovery Grant Guarantee, Recovery Grant Uplift, Adjustment Support Grant, and Consolidated Grants, both within and outside Core Spending;
    - Budget Reduction Proposals; and
    - Budget Pressures to fund.
- Overall Budget Position for 2026/27; and
- Use of Reserves and Risks.

Update on the 2025/26 Revenue Budget

6.4. The Council's General Fund Revenue Budget for 2025/26 was set at £312.515m, as agreed at Full Council on 5 March 2025.

6.5. The financial position of the council is monitored monthly by officers with support from the Finance team. These monitoring reports are presented monthly to the Executive Management Team (EMT), quarterly to Mayor and Cabinet and scrutinised by the Public Accounts Select Committee.

6.6. Budget holders are challenged to maintain a tight control on spending throughout the year. The Council operates a devolved system of financial accountability with clear delegations and responsibility set out in the financial and procurement regulations and schemes of delegation in the Constitution.

6.7. The November (Period 8) Budget Monitoring Report is presented to Mayor and Cabinet as part of this report. The General Fund position is a net underspend of £1.5m on General Fund budgets after the commitment of £3.0m from Corporate Provisions and the budgeted contribution of £21.895m of Reserves. This is a £2.2m adverse movement from the September (Period 6) position, which also utilised am in-year commitment of £3.0m from Corporate Provisions.

6.8. The reported position also includes delivery of £4.7m of 2025/26 budget reductions and the early delivery of £6.7m of 2026/27 budget reductions, which are key drivers behind the reported underspend.

6.9. Table A1 sets out the latest forecast budget variances on the General Fund by Directorate based on November budget monitoring, and how the P8 position compares to the P6 position.

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Table A1: Forecast Outturn for 2025/26 as at 30 November 2025

Directorate:	Net Budget:	Net Forecast:	Period 8 Variance:	Period 6 Variance:	P6 vs. P8 Movem-ent:
	£m – Over/(Under)spend				
Directorate of Children & Young People	113.3	117.0	3.7	2.3	1.4
Directorate of Adult Social Care & Health	92.7	95.2	2.5	1.0	1.5
Directorate of Place	45.8	43.9	(1.9)	(1.9)	0.0
Directorate of Corporate Resources	44.6	42.8	(1.8)	(1.5)	(0.3)
Directorate of Housing	28.0	27.7	(0.3)	0.0	(0.3)
Directorate of Chief Executive	16.8	16.0	(0.8)	(0.7)	(0.1)
Directorates Total:	**341.1**	**342.6**	**1.5**	**(0.7)**	**2.2**
Corporate Items	(28.6)	(31.6)	(3.0)	(3.0)	0.0
General Fund Total:	**312.5**	**311.0**	**(1.5)**	**(3.7)**	**2.2**

6.10. This position assumes all 2025/26 budget reductions are delivered, plus the early delivery of certain 2026/27 budget reductions. The £6.7m of budget reductions being delivered early, as either reductions to in-year expenditure or increases to in-year income, form part of the £30.1m of permanent 2026/27 budget reductions discussed later in Section 6. Should delivery of any of the savings slip or demand pressures continue to increase above the growth budgeted, then this will worsen the reported position.

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Table A2: 2025/26 Budget Reductions and 2026/27 Early Delivery Cost Reductions

Directorate:	2025/26 Budget Reductions:	Early Delivery of 2026/27 Budget Reductions:	Total Being Delivered in 2025/26:
	£m		
Directorate of Children & Young People	0.2	0.1	0.5
Directorate of Adult Social Care & Health	2.3	2.5	4.8
Directorate of Place	0.7	1.9	2.6
Directorate of Corporate Resources	0.8	2.1	2.7
Directorate of Housing	0.6	0.0	0.6
Directorate of Chief Executive	0.2	0.1	0.2
Total:	**4.7**	**6.7**	**11.4**

Directorate Positions

Children & Young People (£3.7m Pressure)

6.11. *Family Help and Care:* An overspend is reported at Period 8. Since Period 6, further work was undertaken to cleanse and maintain data integrity within the Controcc system, which has led to an adverse change in forecast due to unachievable cost avoidance measures. There has also been a net growth of 11 children within the younger age group entering the service this financial year alongside an increased number accessing the service under Section 17. The service is negotiating with providers to ensure packages are rightsized, which will lead to an anticipated cost reduction in future months. Part of the delivery of reduced spend was predicated on the Council delivering its own residential provision, however, there has been a 15-month delay between the Council's first site being completed and ready for use and OFSTED completing its inspection and registration of this site, which is still pending.

6.12. *Education Services:* An underspend of £0.4m is reported at Period 8, compared to an underspend of £0.1m reported at Period 6. This is attributable to the early delivery of 2026/27 budget reductions. A balanced position on the rest of the service is reflective of the £3.9m of additional funding added to the transport budget as part of budget setting to address both the budget shortfall in 2024/25 and current year growth.

6.13. *Schools - Central Schools Services Block:* A balanced position is reported at Period 8. This is attributable to £2.4m of funding which was added to the budget to address the General Fund shortfall arising from the reduction in the grant funding over the current years and prior years. This funding is currently held corporately as the service review the offer to schools given the reduced grant available.

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6.14. *Families, Quality and Commissioning:* A balanced position is reported at Period 8.

Adult Social Care & Health (£2.5m Pressure)

6.15. *Adult Social Care & Commissioning:* The service has seen a £1.0m growth in the packages and placements commitment since Period 6. The total increase in packages and placements commitment between Period 2 and Period 8 this year is £6.46m, which already exceeds the total increase between Period 2 and Period 12 in 2024/25 (£5.34m). This pressure on statutory Adult Social Care services provided under the Care Act 2014 is systemic and is being seen across London boroughs and nationwide.

6.16. *Public Health:* An underspend of £0.6m is currently forecast on the Public Health grant, which will be transferred into a ring-fenced reserve at year-end if an underspend position remains.

Place (£1.9m Underspend)

6.17. *Public Realm:* The overall service underspend of £1.2m is due to the early delivery of 2026/27 budget reductions, specifically; improved enforcement of existing road safety restrictions and increased charges (increased income of £0.3m), enforcing the changes to penalty charge notices mandated by London Councils (increased income of £0.8m), and the new parking contract (reduced expenditure of £0.5m). Since Period 6, the forecast has worsened by £0.4m due to additional transport and salary costs in Street Environment Services, but this is offset by budget reductions in the recycling contract costs.

6.18. *Community Services:* The service is forecasting an underspend of £0.5m; an increase of £0.2m compared to Period 6. The increase is due to additional underspends across the service with most of the underspend being achieved through the successful delivery of proposed budget reductions.

6.19. *Planning:* The Planning and Building Control Service is forecasting a £0.1m underspend due to an increase in forecast income from major planning applications. This is a £0.3m improvement from Period 6.

6.20. *Inclusive Regeneration:* At the end of Period 6, Inclusive Regeneration was forecasting an overspend of £0.2m. The service has reviewed their forecasts and are now forecasting to break even in Period 8.

Corporate Resources (£1.8m Underspend)

6.21. *Resident & Business Services:* This service is reporting a £0.7m underspend at Period 8 due to the early delivery of 2026/27 budget reductions within Facilities Management, Passenger Services and relating to a reduced subsidy loss on supported accommodation.

6.22. *IT & Digital Services:* The underspend is due to £0.1m of early budget reduction delivery as part of the shared services contract.

6.23. *Assurance:* The underspend on the service is due to early delivery of budget

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reductions. There has been no movement since Period 6.

6.24. *Finance:* The underspend is due to the early delivery of £0.1m of budget reductions and a further £0.1m due to vacancies across the teams. This forecast has not changed since Period 6.

6.25. *Concessionary Fares:* The concessionary fares budget is held within Corporate Resources but is not expenditure that the service can influence. The expenditure is based on the number of people travelling on public transport who are eligible for free or discounted travel. It is expected that the expenditure in 2025/26 will be £0.5m less than the budgeted level and this forecast has not varied since Period 6.

General Fund Housing (£0.3m Underspend)

6.26. *Strategic Housing:* The underspend of £0.3m assumes that the service continues to deliver on their management actions which began during 2024/25; £3.6m was delivered in 2024/25 and the current position assumes delivery of management actions totalling £4.7m in 2025/26. The reduction in the numbers detailed below shows the positive work that is ongoing.

6.27. There is a limit (or cap) on how much Housing Benefit can be claimed by a client housed in a Local Authority administered TA unit. Local Authorities aim to agree rent rates with a TA accommodation provider within these rates, but where this cannot be achieved and the rent exceeds the limit (or cap), the excess over the limit value is not supported by the DWP in benefit subsidy and the Council must fund the difference – which is known as the Limitation Recharge.

6.28. The forecast recharge for 2025/26 is £23.73m against a budget of £24.14m, based on the current numbers housed in TA and the corresponding rental charges. The limitation recharge for 2024/25 was £24.8m (including all nightly paid accommodation). The current year to date recharge is £13.72m which is 7.3% lower than at the same period in 2024/25. This small underspend is negated by a shortfall on income for both Private Sector Leasing and Privately Managed Accommodation (PSL and PMA) temporary accommodation schemes. Currently in November 2025, there are 1,153 (1,237 in July 2025) households in TA Nightly Paid accommodation and 613 households (633 July) in PSL and PMA properties. It is reasonable to expect that if numbers continue on a downward trajectory, that this will lead to a further reduction in the HB limitation recharge by year end. However, it is worth noting that the average cost of TA placement increased significantly during 2024/25. There is a risk that this will increase further as 2025/26 progresses. The service is maintaining very stringent oversight of TA service activity through bi-monthly challenge meetings where progress is monitored against activities aimed at reducing reliance on nightly paid accommodation as well increasing the use of cheaper TA placements including placements outside Lewisham and where possible ending our main housing duty through private rental sector placements.

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Chief Executive (£0.8m Underspend)

6.29. *Communications & Engagement:* In Period 8, an underspend of £0.2m is being reported. This is an improvement of £0.2m since Period 6 due to an increase in the income forecast and reduction in staffing forecast.

6.30. *Law & Corporate Governance:* The Law & Corporate Governance service is currently forecasting £0.4m underspend after HRA recharges. The Head of Legal Service division is underspending by £0.1m, due mostly to a staffing underspend of circa £1m offset by similar expenditure on external legal advice. This is offset by a £0.3m underspend in other Law and Corporate services, due mostly to staffing. This has not changed since Period 6.

6.31. *People & Organisational Development:* The £0.1m underspend is due to vacancies across the service area. The position worsened by £0.2m since Period 6 due to an understanding of costs related to the restructure.

6.32. *Strategy, Transformation, Equality and Performance:* An improvement of the forecast by £0.1m due to staffing forecast vacancies offset by future restructure costs.

Corporate Items (£3.0m Underspend)

6.33. The £3.0m underspend shown in Table A1 is due to increased interest earned on cash balances held by the Council. This is £1.0m of the early delivery of 2026/27 budget reductions, and the additional £2.0m is due to the general delay in the capital programme and the slower than anticipated reduction of Bank of England rates.

General Fund Write Offs

6.34. The Council works hard to collect the monies owed to it for services provided and, where individuals may be struggling to pay, engages early and often over extended periods to work with customers to assist them pay. Only as a last resort will the Council use enforcement and court action to collect monies owed to it.

6.35. However, as for all organisations, it is not always possible to recover all debts owed. For example, some businesses stop trading, or individuals leave the Borough and cannot be traced. The Council therefore routinely sets aside money in the accounts for uncollected debt, consistent with the policies and judgements set out and audited by the external auditors.

6.36. The Council's constitution reserves the write off of individual debt in excess of £50,000, and housing tenant arrears in excess of £10,000 to Members. Currently, there is one case of Adult Social Care sundry debt arrears totalling £170,543.92 and 20 cases of former tenants' arrears related to non-HRA stock totalling £346,896.56 that are recommended to be written off, detailed in Appendix Y12. All avenues to recover the debts have been explored internally and externally using specialist legal support.

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6.37. There is also one case of business rates arrears totalling £144,551.11 that requires to be written off, also detailed in Appendix Y12. Numerous attempts were made to contact and collect payment from the registered ratepayers, and to locate a new contact address so further contact could be made, however, these was unsuccessful in clearing the debt.

6.38. A write off exercise in relation to historic Council Tax arrears has also been undertaken. Details of the exercise, and the resulting write off amount being recommended, can be found later in Section 6 (Collection Fund).

The Budget Model

6.39. This section of the report sets out the construction of the 2026/27 General Fund Revenue Budget. This section is structured as follows:

- Budget assumptions, including:
    - 2026/27 Council Tax Requirement;
    - The Reformed Local Government Finance Settlement including:
        - Fair Funding Allocation;
        - Grants within Core Spending Power;
        - Grants outside Core Spending Power;
    - Other Grants; and
    - 2026/27 budget reduction proposals.
- Budget pressures to be funded; and
- Use of Provisions and Reserves.

6.40. The Council has made substantial reductions to its expenditure over the last thirteen years to 2025/26, maintaining service performance within the constraints of its real-terms Core Spending Power, which has reduced by 6% in as many years. Following the conclusion of the Government's Fair Funding Review and the announcement of the multi-year Settlement, the Council acknowledges that further reductions will still be required over the next three years, reflecting the Core Spending Power changes, ongoing funding pressures and demand for services.

6.41. This section of the report summarises a series of proposals that would enable the Council to set a balanced budget for 2026/27, as part of the Medium-Term Financial Strategy covering the Spending Review period (2026/27 – 2028/29). Budget reductions for 2026/27 have been found in 2025/26, enabling the Council to unwind the use of £21.895m of Reserves that was required to balance the 2025/26 Budget. This therefore eliminates the risks associated with a reliance on Reserves although other risks and pressures still remain.

2026/27 Council Tax

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Collection Fund

6.42. Collection Fund surpluses or deficits reflect whether the Council over or under achieves its Council Tax collection targets. Therefore, this requires a calculation to be made of how much the Council has already received for Council Tax in the current and past years, and how much of the outstanding debt it expects to collect.

6.43. The statutory calculation was carried out for the 26 January 2026 (the date prescribed by the GLA – seven working days after the 15 January as specified in the 1992 funds regulations). This calculation showed there is an estimated deficit on the Collection Fund in respect of Council Tax, for the years to 2025/26, of £1.758m. This reflects the ongoing challenges to improve the collection of Council Tax owed, for which the Council has established a specific programme of improvement work.

6.44. This deficit is shared with the precepting authority, the GLA, in proportion to relative shares of budgeted Council Tax income in the current financial year. Taking account of the current and prior years surpluses and deficits, £1.354m is forecast to be the net deficit apportioned to Lewisham Council and therefore included in the calculation of the Council's budget as the contribution to the Council Tax collection fund funded from the Collection Fund Reserve. The remaining deficit balance of £0.404m is allocated to the GLA to fund in 2026/27.

6.45. From the 1 April 2026, the GLA has committed to contributing towards the cost of discounts and exemptions awarded by London billing authorities under section 13A of the 1992 Local Government Finance Act pro rata to its Band D council share from 2026/27 until at least 2028/29. For Lewisham, this is its discretionary support schemes for care leavers and the sanctuary discount as set out in the Council Tax Base Report tabled at Council on the 28 January 2026.

6.46. The Council works hard to collect the Council Tax monies owed to it for services provided and, where individuals may be struggling to pay, engages early and often over extended periods to work with customers to assist them pay. However, it is not always possible to recover all debts owed, and therefore the Council has an appropriate approach to setting aside financial provisions for bad debts in its accounts.

6.47. The Council's policy is to continue to seek to recover all Council Tax arrears (including associated court fees and arrears) regardless of age. However, as part of previous years external audits, the auditors have recommended that the Council periodically writes off Council Tax arrears that are older than six years. There was previously a large write off of very old Council Tax arrears as a result of this recommendation. It is now necessary to undertake a similar exercise for the period 2016/17 – 2019/20, totalling £12,063,458.78 with court cost arrears incurred. This is detailed in Appendix Y12. This includes amounts that could be written off by officers under delegation but given the overall value and importance of transparency in reporting, Appendix Y12 includes all

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sums for write off. Given the age of the debt it is fully provided for so won't adversely impact General Fund Reserves and all debt less than six years old remains live.

Council Tax Reduction Scheme

6.48. Members should note that, on 28 January 2026, Council agreed that no changes are to be made to the Council Tax Reduction Scheme (CTRS) for 2026/27. Members agreed that the fixed percentage reduction in liability for the working age claimants of the scheme should remain at 75% for 2026/27. This means that everyone eligible and of working-age must continue to pay a minimum of 25% of their Council Tax liability.

Council Tax Levels

6.49. The Council Tax Base was approved by Council on the 28 January 2026. The Council Tax Base, which represents the number of Band D equivalent properties, was set at 93,758.10 for 2026/27. This represents an increase of 1,172.80 chargeable dwellings, or 1.3%, from the Council Tax Base of 2025/26, therefore reflecting a small amount of growth.

6.50. Since 2016/17, the government has allowed councils with social care responsibilities to apply a percentage increase on Council Tax specifically to meet the costs of delivering Adult Social Care (the Adult Social Care precept). This additional income must be ring-fenced to Adult Social Care services. To date, Lewisham has applied a 20% increase over the ten-year period. The government is once again allowing councils to apply a precept of 2%, this time for each year of the Spending Review period. For 2026/27, this uplift, in combination with the uplifted Council Tax Base, will generate £3.387m of additional income for Adult Social Care services.

6.51. This report proposes that Council approves the 2% Adult Social Care precept for 2026/27 to obtain the maximum benefit permitted. This charge no longer needs to be identified on the face of the Council Tax bill or made clear in the accompanying guidance for rate payers.

6.52. The final Local Government Finance Settlement on 9 February 2026 confirmed the intention for a core referendum principle of up to 3% for each year of the Spending Review period, as announced in the Spending Review 2025 on 30 June 2025. This is in addition to the flexibility to raise the Adult Social Care Precept set out above. This increase in core Council Tax of 2.99% (i.e. within the limit of the 3% referendum threshold), in combination with the uplifted Council Tax Base, would provide additional funding of approximately £6.236m in 2026/27.

6.53. The government's assumptions in the final Local Government Finance Settlement include the raising of both core Council Tax and the Adult Social Care precept in each of the next three years to meet the recognised funding pressures faced by the sector.

6.54. These percentage uplifts (totalling 4.99%), in combination with the uplifted

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Council Tax Base and an agreed collection rate of 96%, will generate total additional funding of £9.624m in 2026/27.

6.55. In considering budget reduction proposals and the level of Council Tax, Members make the necessary political judgements, balancing these decisions with their specific legal responsibilities to set a balanced budget for 2026/27 and their general responsibilities to steward the Council's finances over the medium term.

6.56. Should Council choose to set a different Council Tax increase, Members will need to be mindful that any increase below this recommendation will create additional budget pressures, resulting in the use of Reserves in the short term and a requirement for additional cuts to be identified for the 2027/28 General Fund Budget.

6.57. This level of Council Tax increase, totalling 4.99%, is also assumed in the Government's Core Spending Power calculations along with Council Tax base growth in line with the Council's average annual growth over the last five years. Government have advised a total Core Spending Power increase for Lewisham Council of 5.95% from 2025/26 to 2026/27, which includes the maximum Council Tax uplift. If the maximum was not applied and instead the Council Tax Band D charge was frozen, the Council's total Core Spending Power increase would reduce to approximately 4.04%.

6.58. Any increase in the core element above this recommendation would require either prior approval from the Secretary of State or support in a local referendum for a higher increase. As part of the final Local Government Finance Settlement, a number of Local Authorities were given permission to raise Council Tax above the 4.99%. Lewisham Council was not one of these, suggesting that this approval would not be forthcoming.

6.59. In 2025/26, the Band D Council Tax in Lewisham is £2,135.13 on a base of 92,585.30 Band D equivalent properties. Of this, £490.38 relates to the activities of the GLA which the Council pays over to them on collection. The Council's element is £1,644.75.

6.60. The GLA is consulting on a precept of £510.51 (Band D equivalent) for 2026/27, an increase of £20.13 or 4.10%, and a final decision is expected on or after the 26 February 2026.

6.61. For 2026/27, the Band D Council Tax in Lewisham is recommended to be £2,237.33 on a base of 93,758.10 Band D equivalent properties (the base was approved by Council on the 28 January 2026). Of this, £510.51 relates to the activities of the GLA which the Council will pay over to them on collection. The Council's element will be £1,726.82, which includes a 2026/27 increase of £82.07 (4.99%).

6.62. Table A3 below shows, for illustrative purposes, the Council Tax payable by a Lewisham resident in a Band D property in 2026/27 under a range of possible Council Tax increases, and the financial implications of this for the Council. A

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Council Tax Ready Reckoner is also attached at Appendix Y7.

6.63. The starting point is for an assumed 4.99% increase in Lewisham's Council Tax for 2026/27, which includes the maximum core increase permissible without a referendum. Any reduction from this level of increase will reduce the level of income the Council collects and will require the use of Reserves for 2026/27 and the budget gap in future years, requiring savings to close the gap.

Table A3: Band D Council Tax Levels for 2026/27

Amounts Payable by Residents - Band D:					
Uplift in Lewisham Council Tax:	Lewisham Element (Core & ASC Precept):	GLA Element:	Total Council Tax:	Increase in Total Council Tax vs. 2025/26:	Lewisham Annual Income Forgone vs. 4.99% Uplift:
	(£)				(£m)
4.99% Increase	1,726.82	510.51	2,237.33	4.79%	0.00
3.99% Increase	1,710.38	510.51	2,220.89	4.02%	(1.54)
2.99% Increase	1,693.93	510.51	2,204.44	3.25%	(3.08)
1.99% Increase	1,677.48	510.51	2,187.99	2.48%	(4.63)
1.00% Increase	1,661.20	510.51	2,171.71	1.71%	(6.15)
0.50% Increase	1,652.97	510.51	2,163.48	1.33%	(6.92)
Council Tax Freeze	1,644.75	510.51	2,155.26	0.94%	(7.69)

Levies

6.64. There are three bodies which charge a levy against Lewisham's Council Tax: the London Pensions Fund Authority (LPFA); the Environment Agency; and the Lee Valley Park Authority. The details of these levies are provided in Appendix Y9.

The Reformed Local Government Finance Settlement

6.65. A reform of Government's approach to funding allocations through the Local Government Finance Settlement has been highly anticipated for several years, and in the Autumn Budget 2024, it was confirmed that Government would deliver a new Settlement for local government following the Spending Review 2025.

6.66. Following the Spending Review 2025, in which Government announced an additional £3.3bn of grant funding in real terms for local authorities by 2028/29 compared with 2023/24, Government consulted with local authorities regarding the Fair Funding Review. Within this consultation, they confirmed that they would be distributing funds based on local need, cost variations, and

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capacity to raise Council Tax, with specific formulae for high-cost services including Children & Young People Services, Adult Social Care and Temporary Accommodation. The specific formulae, or weighted Relative Needs Formulae, would be used to calculate the new funding allocations for each local authority, including each authority's Fair Funding Share (more detail below).

6.67. The consultation closed on 15 August 2025, after which further announcements were limited until the publication of the Local Government Finance Policy Statement 2026/27 – 2028/29 on 20 November 2025. Despite the publication of the policy statement in November, there was still no further clarity on what this would mean in terms of individual funding levels until the publication of the provisional Local Government Finance Settlement on 17 December 2025; the first multi-year Settlement in a decade, followed by the final allocations on 9 February 2026.

6.68. The objective of this multi-year Settlement is to phase in the new Fair Funding Shares for each local authority over the course of the next three years, reaching the final allocations in 2028/29. It also consolidates a range of separate grants, previously allocated through fragmented funding streams, to give each Council an illustrative Core Spending Power that is now more comprehensive, bringing together centrally distributed grant funding, alongside Council Tax and retained business rates.

6.69. Government have advised that between 2025/26 and 2028/29, under the reformed Settlement, local authorities in England will see an average overall real terms increase in Core Spending Power of 2.6% per year. It is vital to remember, however, that this includes a presumed 4.99% increase in Band D Council Tax every year until 2028/29. In nominal cash terms, Lewisham Council will receive increases in Core Spending Power between 2025/26 and 2028/29 of 5.95%, 0.80% and 1.21% per year respectively, which, for the final two years, falls below the expected levels of inflation.

Fair Funding Allocation

6.70. The Fair Funding Allocation (introduced as part of the new final Local Government Finance Settlement) will comprise the Local Authority Better Care Grant, Baseline Funding Level and the Revenue Support Grant. Lewisham Council's Fair Funding Allocation for 2026/27 is £232.629m.

6.71. Over the course of the multi-year Settlement the total Fair Funding Allocation will transition to Lewisham's final Fair Funding Share. This final share has been calculated by Government based on their forecast of Lewisham Council's funding need less its available resources (ie. ability to raise Council Tax), as a percentage of the total quantum of funding that will be available for England in 2028/29.

6.72. A selection of 2025/26 grants have been rolled together to give the total funding for England that is to be redistributed via the new Fair Funding Allocation. For Lewisham Council, £233.682m of 2025/26 grant funding has

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been included (slight decrease in 2026/27). This is 0.7406% of England's 2025/26 total. Over the course of the multi-year Settlement, Lewisham Council's share of the annual quantum will transition from 0.7406% to 0.6745%; its final Fair Funding Share. This reduction demonstrates Government's view that Lewisham is currently receiving a higher level of the total funding (ie. 0.7406%) than it ultimately should, and the Settlement will therefore see Lewisham Council's share reduce by the end of the Spending review period to 0.6745%. In 2028/29, this will equate to £224.124m which will still include all three components of the Fair Funding Allocation.

6.73. The total funding given in 2025/26 that has been rolled up to be redistributed across local authorities as the 2026/27 Fair Funding Allocation is represented as the following within the final Local Government Finance Settlement:

- *Legacy Business Rates:* Business Rates Baseline, Business Rates Retention Scheme Top-Up, Section 31 Business Rates Relief Grant and a minor retrospective Business Rates adjustment;
- *Legacy Grant Funding:* Revenue Support Grant, Employers National Insurance Contributions Grant, Market Sustainability and Improvement Fund, New Homes Bonus and Social Care Grant;
- *Local Authority Better Care Grant*; and
- *Other Grants Rolled into the Revenue Support Grant*.

6.74. Full detail of the above, including the grants being consolidated into the Revenue Support Grant, can be found Appendix Y1.

6.75. In 2026/27, the Local Authority Better Care Grant (£18.433m), although now part of the new Fair Funding Allocation total, will remain a standalone, ringfenced grant with allocations continuing as they were in 2025/26.

6.76. Of the total redistributable funding for England in 2026/27, a portion will remain ringfenced to become the total 2026/27 Baseline Funding Level quantum. Lewisham Council's Baseline Funding Level for 2026/27 will be £101.205m and is calculated as 0.6745% of England's total Baseline Funding Level quantum.

6.77. As part of the reform to local government finance, the Business Rates Retention Scheme was reset and to smooth the risks associated with this, a safety net of 100% will be implemented for 2026/27 only. This means that a local authority is guaranteed to receive 100% of its Baseline Funding Level regardless of retained business rates income. This will reduce to 97% in 2027/28 and 92.5% in 2028/29. Whilst the 100% safety net is very welcome in 2026/27, there have been substantial changes to business rates, including the introduction of the new Rateable Values listing. This introduces significant risk and there is concern that the reduction in the safety net to 97% in 2027/28 may pose a funding risk to the Council.

6.78. The Revenue Support Grant will look quite different in 2026/27 and will play the key role in the transition to the final Fair Funding Shares. In 2026/27, the

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allocation is £112.991m, which includes:

- New Adult Social Care funding (£0.808m);
- Additional funding for local services (£0.607m);
- War Pensions Disregard funding (£0.011m);
- A phased share, 0.7186%, of England's remaining redistributable funding for 2026/27 (£111.565m).

6.79. The Council's share of total redistributable funding allocated via the Revenue Support Grant will transition from the 2025/26 legacy share (0.7406%) to the final share (0.6745%) by one third each year.

2026/27 Grants

6.80. Along with the Council Tax Requirement and Fair Funding Allocation, a selection of grants are also part of the reformed final Local Government Finance Settlement. This includes grants that are within the Core Spending Power provided by Government and grants outside of core spending power, but which the Council relies on for ongoing frontline service delivery.

6.81. The key grants included in the 2026/27 final Local Government Finance Settlement are as follows:

- Recovery Grant;
- Recovery Grant Guarantee (new);
- Recovery Grant Uplift (new);
- Adjustment Support Grant (new);
- Four consolidated grants (existing grants that have been consolidated and redistributed);
    - Homelessness, Rough Sleeping and Domestic Abuse Grant;
    - Children, Families and Youth Grant;
    - Crisis and Resilience Fund; and
    - Public Health Grant.

6.82. The consolidated grants and their respective components, plus Lewisham Council's allocations for 2026/27, are outlined below in Table A4. Full detail of the 2025/26 grants that have been rolled into these consolidated grants can be found in Appendix Y5.

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Table A4: 2026/27 Consolidated Grants Summary

2026/27 Consolidated Grants:	2026/27: £m	2026/27 Consolidated Grant Components:	2026/27: £m	Core Spending Power:
Homelessness, Rough Sleeping and Domestic Abuse Grant	7.347	Homelessness and Rough Sleeping	6.893	Within
		Renters' Rights Act 2025 New Burdens	0.415	Within
		Domestic Abuse Safe Accommodation	0.039	Within
Children, Families and Youth Grant	6.049	Families First Partnership	4.899	Within
		Holiday Activities and Food Ringfence	1.063	Outside
		Pupil Premium Plus Post-16	0.087	Outside
Crisis and Resilience Fund	5.383	Crisis & Resilience Fund	5.383	Outside
Public Health Grant	33.380	Public Health	25.818	Outside
		Smoking Cessation Ringfence	1.024	Outside
		Drugs & Alcohol Ringfence	6.538	Outside
Total Within Core Spending Power:			**12.246**	
Total Outside Core Spending Power:			**39.913**	
Total Consolidated Grants:			**52.158**	

2026/27 Grants Within Core Spending Power

Recovery Grant, Recovery Grant Guarantee and Recovery Grant Uplift:

6.83. The Recovery Grant was introduced by Government in 2025/26 and was distributed to the places with greater need and demand for services that were least able to fund their own services locally. Government used deprivation as a proxy for assessing need and the Council's allocation of this new grant in 2025/26 was £5.279m. It was not clear in the 2025/26 Local Government Finance Settlement whether this grant would continue, and it did not form part of the detailed consultation questions. It was announced in the November Policy Statement that this grant would continue, and so, Lewisham Council will continue to receive this amount in each year of the multi-year Settlement, as Government realise recovery for local authorities in receipt of this grant is not yet over.

6.84. Also announced in the Policy Statement was the introduction of the Recovery Grant Guarantee, which will ensure that local authorities in receipt of Recovery Grant see a Core Spending Power increase of at least 5% in

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2026/27, 6% in 2027/28 and 7% in 2028/29, compared with 2025/26 Core Spending Power. In 2026/27, Lewisham Councill will receive a Recovery Grant Guarantee of £10.578m.

6.85. As part of the final Local Government Finance Settlement, a further uplift to the Recovery grant was announced. This Recovery Grant Uplift, as titled in the final Settlement, is targeted towards upper tier councils with less than a 17% funding increase between 2025/26 and 2028/29. This will take the total funding allocated via all components of the Recovery Grant to £2.6 billion over the course of the multi-year Settlement. This uplift further underlines the government's commitment to support the communities that were most impacted by historic funding cuts, but it is subject to caps. Firstly, the uplift cannot increase the Core Spending Power change of an authority above 17% between 2025/26 and 2028/29. Secondly, an authority with an increase over the same period of 14% at the time of provisional Local Government Finance Settlement cannot receive an uplift of more than £10m in total. For Lewisham, the Recovery Grant Uplift allocation is £2.991m for 2026/27.

6.86. Although this additional Recovery Grant Guarantee and Uplift funding is very welcome to support the Council through this transition (£13.569m in total for 2026/27), it is likely to cease following the Spending Review period (potentially coinciding with the cessation of the Recovery Grant itself), which presents a 'cliff edge' in funding that carries high levels of risk. If all components of the Recovery Grant cease following the Spending Review period, this will result in a loss of £17.433m of funding between 2028/29 and 2029/30.

Adjustment Support Grant:

6.87. Another late announcement was the introduction of the Adjustment Support Grant; a once off 2026/27 grant worth £116m. This was provided as part of the final Local Government Finance Settlement to ensure that no authority sees a reduction in its Core Spending Power compared with the indicative allocations for 2026/27 set out at the provisional Settlement. For Lewisham, this is £0.173m.

6.88. As mentioned above, as part of this reform, Government have consolidated grant funding streams that were previously paid to local authorities through either the Local Government Finance Settlement or through one of six different government departments. A portion of this has been outlined above to form the new Revenue Support Grant, but there will also be four other new consolidated grants delivered as part of the multi-year Settlement package.

Homelessness, Rough Sleeping and Domestic Abuse Grant:

- *Homelessness and Rough Sleeping*

6.89. Existing grants have been consolidated and redistributed to form the Homelessness and Rough Sleeping component of the overall Homelessness, Rough Sleeping and Domestic Abuse Grant. This component of the grant,

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along with all others, fall within Core Spending Power. The Homelessness and Rough Sleeping component consolidates a portion of the Homelessness Prevention Grant, the Rough Sleeping Prevention and Recovery Grant and the Rough Sleeping Accommodation Programme.

6.90. The 2025/26 Homelessness Prevention Grant has been split into the Prevention, Relief and Staffing element and the Temporary Accommodation element, with the former being consolidated into this grant and the latter being consolidated into the Revenue Support Grant detailed above. The Prevention, Relief and Staffing ringfence was already in place for 2025/26 and prevented local authorities from using 49% of their grant allocation on temporary accommodation. A 49:51 split has also been used to split the grant for 2026/27.

6.91. The Homelessness and Rough Sleeping Grant will be distributed using two different formulae; the Prevention, Relief and Staffing Formula and the Single Homelessness and Rough Sleeping Formula.

6.92. In 2026/27, Lewisham Council will receive £6.893m. In 2025/26, the relevant grants consolidated into the Homelessness & Rough Sleeping Grant totalled £6.473m.

6.93. This grant will be ringfenced and may not be spent on costs directly related to temporary accommodation. It should be used for prevention and relief costs, staffing, delivering against local homelessness strategies and for early intervention. As with the former Homelessness Prevention Grant, the Council will continue to rely heavily on this funding to deliver its homelessness and rough sleeping services.

- *Domestic Abuse Safe Accommodation*

6.94. This is an existing grant which has now been consolidated into the Homelessness, Rough Sleeping and Domestic Abuse Grant. As mentioned above, this falls within Core Spending Power, as is the case in the 2025/26 Budget Restatement.

6.95. The approach to distributing this grant will remain consistent with 2025/26, with updates including the use of more recent data such as the latest Index of Multiple Deprivation and the 2026 Area Cost Adjustment, alongside a £19m increase in funding for England.

6.96. In 2026/27, Lewisham Council will receive £0.039m which is a slightly greater, albeit very similar, allocation to 2025/26. This grant will continue to be ringfenced to support local authorities in meeting their statutory duties under the Domestic Abuse Act 2001.

- *Renters' Rights Act 2025 (New Burdens)*

6.97. The Renters' Rights Act 2025 is intended to transform the experience of private renting, including by ending Section 21 "no fault" evictions. It will give

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renters greater security and stability so they can stay in their homes for longer and avoid the risk of homelessness. Local authorities have been given new burdens funding to reflect the additional responsibilities within this new legislation and the Lewisham Council allocation for 2026/27 is £0.415m.

Children, Families and Youth Grant

- *Families First Partnership*

6.98. Existing grants have been consolidated and redistributed to form the Families First Partnership component of the Children, Families and Youth Grant. It is the only component of the Children, Families and Youth Grant to fall within Core Spending Power and consolidates the Children's Social Care Prevention Grant and the Supporting Families element of the Children and Families Grant from 2025/26, plus £866m of new funding to be delivered over three years.

6.99. The purpose of this funding is to transform children's social care by reducing reliance on residential care, reshaping the market for care placements and embedding preventative services.

6.100. Although the Children's Social Care Prevention Grant was introduced in 2025/26 using a Children and Young People's Service Relative Needs Formula, this was only an interim version, and from 2026/27, the Families First Partnership will be distributed using the final version of that formula with an Area Cost Adjustment to account for the variation in the cost of delivering services.

6.101. In 2025/26, the two relevant grants consolidated into the Families First Partnership totalled £4.125m. In 2026/27, Lewisham Council will receive £4.899m.

6.102. This grant will be ringfenced for direct investment into the national implementation of Family Help, multi-agency child protection teams and family group decision-making reforms. As was the case last year, Lewisham will continue to use the funding to invest in the national rollout of Family Help.

<u>Grants Outside Core Spending Power</u>

Children, Families and Youth Grant

- *Holiday Activities and Food Ringfence*

6.103. This is an existing grant which has now been consolidated into the Children, Families and Youth Grant. This funding has been in place since 2018, and 2025/26 was the final year of a three-year funding settlement in which Government provided approximately £200m a year for this programme.

6.104. Unlike the Families First Partnership, this falls outside Core Spending Power, as was the case in 2025/26.

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6.105. The programme is primarily targeted at school-aged children from Reception to Year 11 (inclusive) who are eligible for benefits-related free school meals. The funding will be allocated to local authorities to enable the provision of free places at holiday clubs during the Easter, Summer and Christmas holidays in 2026 with the expectation that some of this funding will be available to ensure sufficient, sustainable, school-age childcare.

6.106. The Holiday, Activities and Food funding will maintain its existing distribution based on the number of pupils eligible for free school meals in the area as a proportion of England's total. In 2026/27, Lewisham Council will receive £1.063m. This is slightly higher than the 2025/26 allocation of £1.059m due to a temporary introduction of additional administrative funding.

- *Pupil Premium Plus Post-16*

6.107. This is also an existing grant which has been directly rolled into the Children, Families and Youth Grant, at existing allocations. This falls outside Core Spending Power, as has been the case since its initial receipt in 2022/23.

6.108. The purpose of this funding is to support local authorities in implementing the role of the Virtual School Head for post-16 looked-after children and care leavers.

6.109. Lewisham Council has been receiving this funding since 2022/23 at reasonably consistent levels and will receive £0.087m in 2026/27.

Crisis & Resilience Fund

6.110. The newly formed Crisis & Resilience Fund is the consolidation of the Household Support Fund and Discretionary Housing Payments, which have not previously been part of the Local Government Finance Settlement. This Fund, like the previous components, sits outside of Core Spending Power.

6.111. The Household Support Fund has continued throughout 2022/23, 2023/24, 2024/25 and 2025/26 with the Council receiving £4.703m in 2025/26. This has been used consistently by the Council to support residents through cost-of-living pressures which will be able to continue using the new Crisis & Resilience Fund, as Government's intention for this funding is to provide support to those faced with financial crisis and to invest in building local financial resilience to enable communities to better deal with crises in the long-term.

6.112. Crisis & Resilience Fund allocations are calculated based on a combination of several formulae, with the core allocation being based on a formula centred around population size and deprivation levels with a rural adjustment. Distributions were updated between the provisional and final Local Government Finance Settlements, but this impact was minimal.

6.113. In 2026/27, Lewisham Council will receive £5.383m. In 2025/26, the relevant grants consolidated into the Crisis & Resilience Fund totalled £5.627m.

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Public Health Grant

6.114. Public Health Grant funding was not previously part of the Local Government Finance Settlement and was instead treated as an isolated grant distributed by the Department of Health and Social Care. Although the grant has now been consolidated into the Settlement along with other grants to make the overarching Public Health Grant, it remains outside Core Spending Power and ringfenced, hence it will still need to be reviewed annually by the Director of Public Health in consultation with the Section 151 Officer.

6.115. The 2025/26 Public Health Grant has been split into three components:

- Spend on core Public Health becomes part of the Public Health component;
- Spend on stop smoking services becomes part of the Smoking Cessation ringfence; and
- Spend on drug and alcohol treatment becomes part of the Drug and Alcohol ringfence.

6.116. Alongside the consolidation of the previous Public Health Grant, the Local Stop Smoking Services and Support Grant has been consolidated into the Smoking Cessation ringfence, and the Drug and Alcohol Treatment and Recovery Improvement Grant has been consolidated into the Drug and Alcohol ringfence.

6.117. Distribution of the core Public Health funding will continue as in previous years, with an equal annual percentage uplift. The ringfenced components will be distributed based on a combination of existing Public Health Grant spend and a needs-based approach.

6.118. In 2025/26, the relevant grants consolidated into the Public Health Grant totalled £32.915m. In 2026/27, Lewisham Council will receive £33.380m of Public Health Grant including all components. The Smoking Cessation Ringfence will be £1.024m, whilst the Drugs and Alcohol Ringfence will be £6.538m. The remainder will be for core Public Health services.

Other Long-Term Grants

6.119. This is not an exhaustive list of all grants received by the Council either in advance of the year or during each year. There are often grants of a once off nature received and these are either allocated by Government or may be grants which the Council can choose to apply for, for these reasons they are not integral in terms of building and setting the General Fund Budget.

6.120. These can be either revenue or capital grants, and are used to support either existing Council services, or the delivery of new services or responsibilities. The Council will often need to employ staff, either permanently or on a fixed term or agency basis deliver the grant outcomes, and this can create a dependency on these funding streams which can create pressures if these

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are withdrawn. Some capital grants also allow the capitalisation of revenue spend, usually salary and administration costs, these can similarly put revenue budgets at risk of overspending if/when these are withdrawn. The Constitution sets out the process for bidding and acceptance of grants.

Better Care Fund

6.121. The national Better Care Fund (BCF) was first announced by the Government in the June 2013 Spending Round, to support transformation and integration of health and social care services to ensure local people receive better care. The BCF is a pooled budget that shifts resources into social care and community services for the benefit of the NHS and local government.

6.122. For Lewisham Council, the value of the BCF minimum contribution to Adult Social Care is due to increase by 4.4% to £13.005m in 2026/27, and by a further 4.8% to £13.635m in 2027/28. The local BCF plan must be agreed with the Integrated Care Board (ICB) and will require the approval of NHS England. The Fund must be used in accordance with the final approved plan and through a section 75 pooled fund agreement.

2026/27 Budget Reduction Proposals

6.123. In December 2024, various budget reduction measures were agreed by Mayor and Cabinet for 2026/27, totalling £0.821m. These proposals included both Executive and non-Executive decisions and a summary of these reductions is attached to this report at Appendix Y2.

6.124. In February 2025, the necessary decision was made to set the 2025/26 General Fund Budget utilising £21.895m of Reserves, giving a budget shortfall in 2026/27. The decision was made that work would begin prior to the start of 2025/26 to identify, agree and implement £30m of budget reductions in advance of 2026/27 to remove this reliance on Reserves along with the remaining the budget shortfall.

6.125. Mayor and Cabinet received and approved a Budget Savings Report on 9 July 2025, detailing £29.249m of budget reductions identified for implementation by 2026/27.

6.126. Alongside the £29.249m of budget reduction identified for implementation by 2026/27, additional budget reductions of £1.834m for 2027/28 and £1.520m for 2028/29 were identified and agreed. Of the proposals put forward in July 2025, £21.084m required Mayor and Cabinet approval and £8.165m were officer decisions for implementation. The proposals requiring member decision, and those requiring officer decision are set out in detail in Appendix Y3.

6.127. These total net budget reduction measures of £30.070m (the £0.821m previously agreed and the £29.249m current) have been included in the 2026/27 budget calculation. They must be achieved in order to maintain a balanced budget. The delivery of these cuts will be monitored, and any

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shortfall will have to be covered, in the short-term pending services offering alternative proposals, or through the increased use of Reserves beyond that which has been budgeted for in setting the 2026/27 General Fund Budget.

6.128. Given the funding clarity for 2026/27 – 2028/29 provided by the multi-year Settlement, the Council will be implementing a three-year savings target of £36m for which budget reduction proposals with a three-year breakdown should be identified and agreed in 2026/27 to ensure the £36m target is reached by 2028/29. These proposals will need to include cost reductions in 2026/27 plus budget reductions in 2027/28 and 2028/29. See Section 7 for more detail on this.

Budget Pressures to be Funded

2025/26

6.129. In 2025/26, the funds set aside in the budget model to meet inflation, employers National Insurance Contributions, specific identified budget pressures and potential budget risks was £64.294m. This was largely funded by £8.596m of additional Social Care grant uplift, £2.040m of Children's Social Care Prevention Grant, £5.279m of Recovery Grant, £3.108m of Employers National Insurance Contributions Grant and £21.895m of Reserves funding.

6.130. Furthermore, £0.677m of New Homes Bonus, and an additional £0.052m of Reserves funding were utilised for once off pressures.

6.131. The funding of £64.294m of pressures in 2025/26, together with £46.072m in 2024/25, demonstrates the extent to which the Council has funded growth in recent years and provides insight into why balancing the budget in 2025/26 required £21.895m of Reserves; a level of Reserves funding not required for over ten years. To prevent this level of need for Reserves recurring, the pressures funded must be heavily scrutinised as these have a direct impact on the savings target; more pressures funded in the medium term will lead to a higher savings target in the medium term.

2026/27

6.132. The budgets in 2024/25 and 2025/26 have cumulatively received £110.366m of permanent funding growth, reflecting the increase in demand being experienced, allocated to fund pressures, most notably in the areas of highest demand led expenditure being children and adults social care and temporary accommodation.

6.133. The July 2025 MTFS made clear that the 2025/26 General Fund Budget was set on the basis that all requested pressures were funded, the 2024/25 budget outturn was fully funded, and £21.895m of Reserves was required. In light of this, the MTFS provided for salary and non-salary inflation in line with CPI forecasts for future years but included only a minimal provision for other pressures (£2m in 2026/27 and £6m each year thereafter). This approach limited further increase in the already identified £30m budget reductions target

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and reinforced the expectation that any in-year overspends would need to be managed without creating ongoing budget pressures.

6.134. The Financial Monitoring report for Period 6, presented to Mayor and Cabinet in December 2025, included an MTFS update that acknowledged that these assumptions were not holding and that despite the £6.669m of cost reduction measures identified for 2025/26 as part of the budget reductions exercise, slippage and pressures were arising in 2025/26 that cannot be contained. Therefore, the Council has allowed for £18.133m of permanent pressures to be funded in 2026/27, plus some additional once-off. These can be funded from the increase in Core Spending Power announced in the final Local Government Finance Settlement.

6.135. Following the announcement of the final Local Government Finance Settlement, and the finalisation of the budget reduction proposals, the level of funding available for pressures in 2026/27 will cover £18.133m. After allowing funding for salary inflation, non-salary inflation and the unwinding of Reserves, the pressures will be principally funded through growth in Council Tax income, and the availability of the new Recovery Grant Guarantee and Uplift, all of which are the primary factors leading to the increase in available Core Spending Power for 2026/27. The once-off pressures will be funded via Reserves.

6.136. The Recovery Grant Guarantee and Uplift, which were not fully explained until the provisional and final Local Government Finance Settlements respectively, will be the substantial contributing factors preventing the £18.133m from increasing the £36m budget reduction target accordingly. However, the Recovery Grant Guarantee and Uplift will only be available until 2028/29, further highlighting its associated 'cliff edge' risk.

6.137. The pressures to be funded in 2026/27 fall into a number of broad categories:

- Salary inflation;
- Non-salary inflation linked to general inflationary pressures across the Council, principally services and works contract spend;
- The unwinding of 2025/26 Reserves funding; and
- Service pressures arising in 2025/26 unable to be contained within existing budgets and new service pressures anticipated to arise in 2026/27 where there is an evidence base to support these.

6.138. The total level of base budget funding required is £53.992m for budget growth in 2026/27 (£54.640m including once off), which, due to the increase in Core Spending Power announced as part of the final Local Government Finance Settlement, can be resourced successfully without the need for Reserves funding to balance the Budget. The once-off growth will need to be funded by Reserves, however.

6.139. In terms of accounting for these elements of growth in the Budget, it is proposed that these investments and pressures are allocated in line with the

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decisions of this Budget to the relevant Directorates when determining their cash limits for 2026/27. These will be set out in the Budget book to be published at the start of the financial year.

6.140. The budget pressures anticipated in 2026/27 have been reviewed and it is recommended that the following identified pressures are funded now, set against the Corporate Strategy priorities. Table A5 provides a summary of the corporate risk and pressures budget and those pressures and risks that are being recommended to be funded. The detail of these and the allocation between once off and ongoing funding is in Appendix Y4.

Table A5: Summary of 2026/27 Budget Pressures to be Funded

Description:	£'000:	£'000:
Available Resources:		
Ongoing		
Increase in Core Spending Power	23,922	
2026/27 Budget Reductions	30,070	
Ongoing:		*53,992*
Once-Off		
Planned Use of Reserves	648	
Once-Off:		*648*
Total Resources Available for Risks and Pressures in 2026/27:		**54,640**
Recommended Allocations:		
Corporate Priorities		
Cleaner and Greener	(280)	
A Strong Local Economy	(364)	
Quality Housing	(150)	
Children and Young People	(5,000)	
Safer Communities	(230)	
Open Lewisham	(263)	
Health and Wellbeing	(7,736)	
Total Allocations towards Corporate Priorities in 2026/27:		**(14,023)**
Additional Allocations:		
Organisational Value for Money		
Corporate Services		**(4,758)**
Salary Inflation for 2026/27:		**(5,299)**
Non-Salary Inflation for 2026/27:		**(8,664)**
Unwinding of 2025/26 Reserves Funding:		**(21,895)**
Grand Total Funded Pressures:		**(54,640)**

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Cleaner and Greener: Public Spaces (-£0.130m)

6.141. The Council has a duty to ensure that the borough's public spaces are safe, accessible, and properly maintained. However, persistent pressures within the service area are making it increasingly difficult to meet these responsibilities. Mayor and Cabinet previously agreed to remove the regular weed spraying service as part of a previous year's savings programme. It has been established that this service should be re-instated and so additional funding is therefore required to fund this service.

Cleaner and Greener: Bulky Waste (-£0.150m)

6.142. During 2025/26 a decision was taken to reduce the fees and charges in relation to the collection and disposal of bulky waste items in the borough. This was linked to a borough wide crack down on fly tipping and associated anti-social behaviour to improve the street scape within the borough. This initiative has proven successful, however, as expected this has resulted in a reduction in the overall level of income generated from bulky waste collections.

A Strong Local Economy: Environmental Health (-£0.200m)

6.143. The new Food Standards Delivery Model was published by the Food Standards Agency in 2025. Under this model, local authorities have a statutory responsibility to deliver official food standard controls and Lewisham Council will be required to carry out additional inspections in order to meet these duties. In combination with increasing numbers of registered food businesses in the borough and a national shortage of qualified enforcement officers, the service requires growth of £0.200m to carry out its responsibilities within budget.

A Strong Local Economy: Business Partnerships and Engagement (-£0.089m)

6.144. An investment of £0.089m into the Economy and Partnerships service is needed to develop positive relationships and strategic partnerships with businesses. This funding will be used to support the strategic development and implementation of a programme of inward investment support for the borough, including the marketing of town centres and new developments.

A Strong Local Economy: Marketing and Sponsorship (-£0.075m)

6.145. The Council is clear on its ambition of inward investment and ensuring that it can deliver on a programme of events and engagement with residents and within the borough. This model is intended to be self-sustaining through attracting and achieving marketing and sponsorship income. However, for the first year of this approach once off funding will be required to enable this service to be embedded.

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Quality Housing: Renters' Rights Act 2025 (-£0.150m)

6.146. The Renters' Rights Act, which will begin to take effect in stages during 2026, is a major reform of the private rented sector in England, introduced to strengthen tenant protections and improve housing standards while creating a fairer, more transparent system for landlords and renters. Local authorities will be central to delivering the new Act; they will have new statutory duties and powers to enforce the legislation in their area by investigating and acting against non-compliance.

6.147. To make it possible for the Council to carry out their new duties, the recruitment of two enforcement officers will be required, and this will require £0.150m of additional budget.

Children and Young People: Family Help and Care (-£5.000m)

6.148. The Council continues to experience both slight increases in the number of children coming into care, but also critically the complexity and costs of these placements. The placements pressure in 2025/26 is £4.1m, this despite significant budget growth in 2023/24, 2024/25 and 2025/26. The underlying driver for these increases is primarily the cost of placements although in 2025/26 we have also seen a slight increase in the number of Looked After Children (LAC), which was relatively stable in 2024/25. This trend highlights the importance of the work being undertaken in the service to transform into a preventative model of care to act early and recue the complexity of support needed by those children who do need to come into care. The directorate have been working towards more intervention and support strategies. This involves improved commissioning work with the PAN London Commissioning Alliance to secure the most competitive rates possible, and work undertaken to create alternative capacity, such as the capital works on Amersham and Northover in house provision and the more recently approved delivery of further Council owned units approved in 2024. Noting that many of these are medium to long term solutions.

6.149. The service has committed to cost reduction and savings measures across 2025/26 – 2026/27. However, despite these measures and in light of current and anticipated service spending levels, it is considered prudent to recognise the likely growth in service spending through 2026/27 so that the budget is further stabilised and to provide capacity to complete the transition to a more preventative model.

Safer Communities: High Street Safety & Cleanliness (-£0.230m)

6.150. Safer Community services continue to face a number of persistent, service-specific pressures. These include, for example, challenges in meeting the requirements to improve safety and maintain cleanliness across the borough's town centres and high streets. Currently, there are significant demands for investment in additional safety enforcements including CCTV, which would improve the safety of our high streets which is expected to encourage greater footfall and support for local businesses.

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6.151. Growth of £0.230m is requested by the service on a once-off basis to allow additional investments towards safety and cleanliness to be made in 2026/27.

Open Lewisham: Broadway Theatre (-£0.150m)

6.152. The Broadway Theatre is the cultural anchor for Catford, and the only Council owned theatre in the borough. Since its re-opening in February 2023, it has been busier than ever supporting the borough's diverse cultural programme and the Catford economy. An implication of this increased trade is an increase in the need for facility management including general management of the facility, cleaning and security. To allow these services to be maintained at the expected standard, growth of £0.150m is required.

Open Lewisham: Strategy, Transformation, Equality and Performance (-£0.081m)

6.153. Lewisham Council is continuously looking for ways to become a more representative and inclusive council. In line with this priority, the team are recruiting an officer to develop policies designed to increase accessibility and support for deaf and/or disabled residents. A Disability and Co-Production Policy Officer will provide advice to senior officers on the impact of decisions on deaf and/or disabled residents. It is proposed to provide £0.099m of growth to the service's budget in 2026/27 in light of this pressure, to allow this area of work to be delivered successfully. Once embedded within core Council practice it is expected that this budget pressure will fall away.

Open Lewisham: Customer Relations (-£0.032m)

6.154. The Council has made significant change and improvement in its approach to complaints handling. In part this has been driven by the national change from a three stage to two stage handling process in line with the Local Government and Social Care Ombudsman and Housing Ombudsman codes. This has included significant standardisation and Council wide training. It was previously thought that these changes would enable the corporate service to reduce in size, however, it's been deemed necessary to continue with the current level of resources to ensure that this change and improvement is fully embedded and that the Council can continue to drive further improvements in its complaints handling processes and outcomes.

Health and Wellbeing: Adult Social Care (-£6.506m)

6.155. Adult Social Care is under significant pressure due to a combination of factors, including increasing demand for care driven by the borough's ageing population, increased complexity of care needs, the high cost of providing care, and the additional demands associated with children and young people transitioning into adult services.

6.156. The ageing population is a major driver of growth in demand for Adult Social Care, with the number of adults over 65 in the borough expected to rise by 3.3% per year between 2025 and 2030. In addition, demand for services for

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younger adults (aged 18–64) is increasing, both due to overall population growth and the transition of young people with complex needs from children's services. These factors create substantial pressure on Adult Social Care. Further pressures in 2026/27 arise from changes to business processes and equipment, resulting in a requirement for £6.506m of additional funding.

Health and Wellbeing: Concessionary Fares (-£1.000m)

6.157. The concessionary fares budget is held within Corporate Resources but is shown on a separate line reflecting that this is not expenditure that the service can influence. The expenditure is based on the number of people travelling on public transport who are eligible for free or discounted travel and is set annually by the GLA and payable to it. It is expected that the expenditure in 2026/27 will be £1.000m more than the budgeted level based on information provided to the Council in September 2025.

6.158. Whilst the Council is able to use any surpluses generated from its on-street parking, (see below) there is the need to set aside further budget growth in 2026/27 for the cost of concessionary fares levied.

6.159. Under the Road Traffic Regulation Act (1984), the Council is required to keep an account of its income and expenditure in respect of its on-street parking places, and in respect to its functions as an enforcement authority, as stated within paragraphs 2 and 3 of Schedule 7 to the Traffic Management Act (2004). The use of any surplus from on-street parking is governed by Section 55 of the Act, which specifies that the surplus may be used for:

- Making good to the General Fund for any deficits incurred in the on-street parking account during the previous four years; or
- Meeting the cost of the provision and maintenance of off-street car parking in the borough, or in another Local Authority. However, if it is considered unnecessary or undesirable to provide further off-street parking in this area, the surplus may then be used to fund:
    - Public passenger transport services;
    - Highway or road improvement projects;
    - Highway maintenance;
    - Environmental improvements in its area; or
    - The cost of anything that has the approval of the Mayor of London, and which facilitates the implementation of the Mayor's Transport Strategy.

6.160. All the surplus generated for 2024/25 was used to fund concessionary fares, and the Council intends to continue to use future years' surpluses to fund concessionary fares, however there may still be the need for additional Council budget to be set aside in future years.

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Health and Wellbeing: Bereavement Services (-£0.230m)

6.161. The Council is part of a tri-borough arrangement for its Coroners Court services, and the budget and spend for this is outside of the Council's control. There have been overspends in prior years which have been funded from either reserves or underspends elsewhere in the Place directorate. This is not sustainable and so it's proposed that £0.150m of budget growth is allocated for 2026/27.

6.162. The spend the Council incurs on mortuary services is also outside of the Council's control. This is because Lewisham Council does not have a mortuary and is therefore dependent on the Royal Borough of Greenwich for provision of the service. There has been an increase in overall post-mortem costs, therefore growth of £0.080m is required to avoid an overspend in 2026/27. The Council continues to closely monitor and challenge all costs but is unable to contain these within the existing budget, despite this concerted effort.

Organisational Value for Money: IT and Digital (-£0.799m)

6.163. In addition to the corporate strategic objectives for front line services, the Council is a large and complex organisation. Over the previous decade the Council's support services have borne a significant proportion of the budget cuts, therefore this investment is to ensure that the resourcing for some corporate services remains sufficient. In particular, technology and digital services – which underpins the Council's ability to transform its ways of working and its engagement with residents. The Council will need to fund additional IT contracts, software enhancements and support costs of £0.470m above existing budgets.

6.164. Alongside this, the Council will need to allocate an additional £0.329m above existing budgets to address the impacts and requirements associated with developments in Artificial Intelligence (AI). As part of the Council's digital transformation agenda, the workforce will be adopting AI tools to streamline processes and improve output quality.

Organisational Value for Money: Corporate Estate (-£0.200m)

6.165. As of 2026/27, Government will be introducing new Rateable Values (RVs) for non-domestic properties based on the Valuation Office Agency's 2026 Revaluation, alongside new non-domestic rating multipliers. Periodic revaluations ensure that the rateable values of non-domestic properties reflect changes in the rental property market across England. This is expected to lead to an upward pressure of £0.200m on the business rates liability of the Council's Corporate Estate.

Organisational Value for Money: Utilities (-£1.227m)

6.166. The Council is allocating £1.227m of additional funding for utilities, including electricity and gas, to ensure continued operation of its buildings and services

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in the face of rising energy costs. This investment reflects increases in market prices, inflationary pressures, and the need to maintain reliable and safe services for residents. In 2026/27, the Council expects to experience an increase in electricity, gas and liquid fuel costs of approximately 10%, with an increase of approximately 8% for water costs.

Organisational Value for Money: Other (-£1.395m)

6.167. The Council has a significant programme of facilities management including building maintenance, helpdesks, cleaning and security. The persistent pressures being faced to manage Council facilities at the expected standard are as a result of the increase in materials costs in line with inflation and an increase to the London Living Wage of 6.9%. This was announced in October 2025, for implementation in 2026/27. To manage the pressures being faced within budget, the service requires £0.467m of growth.

6.168. Secondly, the scale rates for external audit have significantly increased above inflation allowances and the Council is bound to these fees through the framework. This, alongside pressures within the internal audit and assurance service including risk management and insurance costs, has led to £0.210m of growth being required across audit and assurance.

6.169. Thirdly, the People and Organisational Development service require £0.468m of budget growth to support investment in the service to ensure that this service can support the necessary transformation of services, including ensuring that we appropriately support our vital staff networks and forums. The Council is committed to ensuring that its workforce is both representative of the residents its serves and is as inclusive as possible. Staff networks and forums are an integral part of this.

6.170. Furthermore, Legal Services faces a £0.250m pressure due to the essential support they provide in areas such as debt collection; specifically probate, charging orders, and insolvency. Additional funding is required to manage the workload, sustain the required level of service, and continue supporting the Council effectively.

6.171. The late announcement of additional funding as part of the final Local Government Settlement has resulted in the Council no longer needing to utilise £2.442m of reserves to set a balanced budget for 2026/27. The increased grant funding has, in fact, resulted in a net increase of £1.137m of funding for 2026/27. It is proposed that these monies are held corporately in 2026/27 to set this as a risk contingency through corporate provisions against slipped savings, overspend or transformation. If this is used for transformation funding on a once off basis this could then be offered back as part of the £36m savings target in 2027/28. If these monies are needed for savings not delivered or ongoing service pressure (overspend) then it will have been allocated by default effectively.

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Inflation

6.172. The Government's inflation target for the United Kingdom is defined in terms of the CPI measure of inflation which excludes mortgage interest payments. Since April 2011, the CPI has also been used for the indexation of benefits, tax credits, and public service pensions.

6.173. Within the Economic and Fiscal Outlook released in November 2025, the Office for Budget Responsibility (OBR) predicts that inflation in 2026 will average at 2.5%, significantly lower than the 2025 average of 3.5%, and fall to an average of 2.0%, the Bank of England's target, in 2027. There is also a lag between the rate of CPI and the level of inflation experienced by the Council through its contract inflation uplift obligations and salary negotiations and agreements.

6.174. Whilst the OBR is forecasting inflation to fall to 2.5% in 2026, we anticipate that the London Living Wage (LLW) will be significantly more than this. The Council is committed to paying the LLW in its London based contracts, and so it's necessary to budget for an average 3% inflation pressure for 2026/27.

6.175. There remains some risk that if inflation does not return to the Bank of England's long-term forecast of 2% as quickly as expected that there may be additional pressures in 2026/27 and/or 2027/28. This is reviewed as part of the MTFS within this report and will continue to be reviewed and reported to Members as part of the MTFS update in 2026 and the regular financial monitoring reports.

6.176. Unless pre-defined by statute or otherwise agreed, all services are expected to uplift their fees and charges annually in line with inflation plus 1%, or for full cost recovery if this is higher, to allow for stability in real terms.

Salary Inflation 2026/27 (-£5.299m)

6.177. The 2026/27 assumed salary uplift has been based on a pay award of 3%. This reflects a judgement based on the final 2025/26 agreement which was 3.2%, and a combination of the current levels of inflation for 2025 with those anticipated to 2026/27.

Non-Salary Inflation 2026/27 (-£8.664m)

6.178. The 2026/27 assumed non-salary uplift has been based on an uplift of 3%. This is in addition to any specific pressures funding set out above and the Council's policy that fees and charges are uplifted by inflation plus 1% to partially offset non-salary pressures.

Summary of Budget Pressures and Investment

6.179. In conclusion, it is a matter of good budgeting to make a general allowance for risk and uncertainty, particularly at such a time of rapid change in the local government sector.

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6.180. There are a number of pressures to be funded, which can be quantified within a reasonable range. These, including once-off, more than fully commit the MTFS allocation, the additional resources received through the final Local Government Finance Settlement, and increased grants outside of the core spending power for 2026/27.

6.181. The total value of pressures required is £54.640m (both base budget and once off), and this is funded by £53.992m of funding available. This leaves a residual once-off gap of £0.648m (to be funded from Reserves).

6.182. There are also a number of other risks and potential budget pressures to consider which are less easy to quantify with any certainty which may become a call on Reserves through the year if they arise. These will be regularly monitored and reported. However, due to the late announcement of the Recovery Grant Uplift the Council has been able to set aside £1.137m in Corporate Provisions to attempt to fund these risks should they emerge during 2026/27. As such, any further pressures above £1.137m will have to be met from other Corporate Provisions budgets or Reserves pending action being taken to bring spending back in line with the available Council resources and Budget.

Use of Provisions and Reserves

6.183. Following finalisation of budget reduction measures and budget pressures for 2026/27, it is assumed that a balanced budget can be set for 2026/27 without the need for Reserves. If the need should arise to balance the budget for any in-year pressures using Reserves, the Executive Director for Finance, Digital and Corporate Resources advises that ongoing measures should be identified to rectify this position as quickly as possible and, in any event, by the following year. The use of once off resources is therefore just delaying the need to make an equivalent level of saving in the following year.

6.184. Although Reserves are not being used to balance the 2026/27 Budget, the same cannot be said for future budget forecasts. This risk will therefore be mitigated through the immediate action to seek to identify savings to offset this. The Council is presenting a three-year MTFS as part of the report which will be followed by an MTFS update in Summer 2026 and identification of budget reductions in Autumn 2026. The Council will scrutinise, consult, and agree these in the Autumn for planning and implementation over the Winter. This approach enables budget reductions to be delivered in full from the start of the following municipal year. The MTFS section within this report will therefore see the commencement of a three-year budget reduction cycle in which a three-year target will be set, and proposals will be put forward for 2026/27 – 2028/29 to mirror the multi-year Settlement.

6.185. The actions taken in most recent years related to Reserves such as funding the overspend in 2024/25, using £21.895m to set the 2025/26 General Fund Budget and continuing to use Reserves to fund once-off pressures could utilise up to 50% of the Earmarked Reserves available to the Council. Any further call on Reserves may mean that the Council will either need to utilise

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its unearmarked reserves (£30m in 2025/26) or may need to scale back its transformation and capital ambitions.

6.186. Further discussion of the use of Reserves and planning for future budgets form part of the Section 151 Officer's Section 25 Statement at Appendix Y8 and the approach to future years budgeting discussed in Section 7 below.

Overall Budget Position for 2026/27

6.187. For 2026/27, the overall budget position for the Council is an assumed General Fund Budget Requirement of £425.799m, as set out in Table A7.

6.188. To align Lewisham Council's 2026/27 General Fund Revenue Budget with Government's Fair Funding Review, it has been built based on a restated 2025/26 Core Spending Power Budget of £401.877m as opposed to the General Fund Net Revenue Budget of £312.515m. Therefore, the General Fund Budget Requirement for 2026/27 is preceded by a restatement of the 2025/26 General Fund Budget at Table A6. A fully detailed breakdown of the restatement can be found in Appendix Y1.

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Table A6: Summarised Restatement of the 2025/26 General Fund Budget

Core Spending Power Component:	£m:	£m:
Settlement Funding Assessment	138.891	
Council Tax 2025/26	152.280	
Section 31 Business Rates Relief Grant	21.345	
General Fund Net Budget for 2025/26:		**312.515**
Minor Business Rates Adjustment	1.782	
Local Authority Better Care Grant	18.433	
Recovery Grant	5.279	
Social Care Grant	36.537	
Market Sustainability and Improvement Fund	5.984	
Employers National Insurance Contributions Grant	3.108	
New Homes Bonus	0.677	
Children's Social Care Prevention Grant	2.040	
Supporting Families	2.085	
Homelessness Prevention Grant - Prevention, Relief and Staffing	5.503	
Rough Sleeping Prevention and Recovery Grant	0.969	
Domestic Abuse Accommodation Support	0.039	
Other Rolled in Grants	6.924	
Restated 2025/26 General Fund Budget:		**401.877**

Table A7: Overall Budget Position for 2026/27

CSP Element:	£m:	£m:
Council Tax Requirement at 4.99% Increase	(161.903)	
Fair Funding Allocation	(232.629)	
Recovery Grant	(5.279)	
Recovery Grant Guarantee	(10.578)	
Recovery Grant Uplift	(2.991)	
Adjustment Support Grant	(0.173)	
Homelessness, Rough Sleeping and Domestic Abuse Grant	(7.347)	
Families First Partnership	(4.899)	
Total Core Spending Power for 2026/27:		**(425.799)**
Budget Element:	**£m:**	**£m:**
Restated 2025/26 General Fund Budget		401.877
Salary Inflation	5.299	
Non-Salary Inflation	8.664	
Unwinding of Reserves Funding	21.895	
Pressures	18.133	
Savings Previously Agreed for 2026/27	(0.821)	
Savings Agreed in 2025/26 for 2026/27	(29.249)	
Total Budget for 2026/27:		**425.799**

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6.189. The statutory calculation for the 2026/27 Budget Requirement is attached to this report at Appendix Y9.

Fees and Charges 2026/27

6.190. Lewisham Council is involved in a wide range of services and the ability to charge for some of these services has always been a key funding source to support the cost of providing the service. The Local Government Act 2000 gave local authorities a wide power to act for the economic, social, and environmental well-being of their areas. The general power to charge for discretionary services was included in the Local Government Act 2003.

6.191. The Fees and Charges report aims to ensure a structured, transparent process to review and approve the proposed fees and charges for the coming financial year. The report setting out the fees and charges for 2026/27 and the relevant service commentary are included at Appendix Y10.

7. Medium-Term Financial Strategy and Future Risks

7.1. This section of the report considers the draft Medium Term Financial Strategy for the Council, updated to reflect the final Local Government Finance Settlement. It assesses the key financial risks associated with the draft budget for 2026/27, as well as the longer-term risks arising during the remainder of the three-year Spending Review period covered by the multi-year Settlement, and those anticipated following the conclusion of the multi-year Settlement.

Medium-Term Financial Strategy (2026/27 – 2028/29)

7.2. Utilising the known funding from the multi-year Settlement and our assumptions around cost increases, the Council is able to forecast what the likely funding shortfall will be for the period 2026/27 – 2028/29. This analysis produces a base case cumulative budget gap over the three-year period of £35.656m.

7.3. This section of the report sets out the Medium-Term Financial Strategy (MTFS) and is structured as follows:

- Core Spending Power;
- Revenue Expenditure Assumptions;
- The General Fund Budget Gap; and
- MTFS Timetable.

Core Spending Power

7.4. The Core Spending Power envelope which will fund the Council for the next three financial years consists of the following elements:

- Council Tax Requirement;
- Fair Funding Allocation;

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- Recovery Grant;
- Recovery Grant Guarantee;
- Recovery Grant Uplift;
- Adjustment Support Grant (one year only);
- Homelessness, Rough Sleeping and Domestic Abuse Grant; and
- Families First Partnership.

7.5. Full detail on the build of each of these components, and detail of how each compare with the 2025/26 resource envelope, can be found in Section 6.

7.6. Table B1 below shows Lewisham Council's expected Core Spending Power for the Spending Review period (2026/27 – 2028/29) based on the final Local Government Finance Settlement, announced on 9 February 2026.

Table B1: Lewisham Council's Core Spending Power 2026/27 – 2028/29

Core Spending Power:	2026/27:	2027/28:	2028/29:
	£m		
Council Tax Requirement	161.903	170.735	181.227
Fair Funding Allocation	232.629	228.468	224.124
Recovery Grant	5.279	5.279	5.279
Recovery Grant Guarantee	10.578	8.515	6.791
Recovery Grant Uplift	2.991	3.902	5.363
Adjustment Support Grant	0.173	0.000	0.000
Homelessness, Rough Sleeping and Domestic Abuse Grant	7.347	7.417	7.458
Families First Partnership	4.899	4.899	4.184
Total Core Spending Power:	**425.799**	**429.215**	**434.426**

7.7. Unlike in previous MTFS models, the majority of the components outlined above are no longer based on assumptions, but on published allocations forming part of Government's latest final Local Government Finance Settlement. The Council Tax Requirement is the only component listed still based on Council assumptions, although there is greater certainty about future Council Tax income in comparison to previous years also.

7.8. It is important to note that the Budget is set, and the MTFS planning process is undertaken, on the basis of the funding within the Core Spending Power. Whilst this includes the majority of government grant funding streams, there are some grants outside of Core Spending Power which have also been consolidated and for which future Settlement figures have been provided, the largest of which is the Public Health Grant. These are set out in more detail in Section 6 above. For MTFS planning purposes it is assumed that those services in receipt of the consolidated grants outside of Core Spending Power adjust their service spend to align with the annual allocations announced. If

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services are not able to do so, the savings target will then need to be commensurately increased.

Council Tax Income

7.9. In considering savings proposals and the level of Council Tax, members make political judgements balancing these with their specific legal responsibilities to set a balanced budget and their general responsibilities to stewardship of the Council's finances over the medium term.

7.10. As well as decisions about the level of Council Tax, Council Tax income is also affected by growth in the number of properties in the borough, the rate of Council Tax collection, and the Local Council Tax Reduction Scheme (CTRS).

7.11. The government annually sets the limit by which Council Tax can be increased locally without triggering the requirement to hold a referendum. The level is set at 2% and was applied for 2020/21, 2021/22 and 2022/23. Due to exceptionally high levels of inflation, in the Autumn Budget 2022, Government lifted the limit to 2.99% for 2023/24, 2024/25 and 2025/26. The final Local Government Finance Settlement on 9 February 2026 confirmed the continuation of the 2.99% uplift limit for each year of the Spending Review period, as announced in the Spending Review 2025 on 30 June 2025. This has been extended to meet the recognised funding pressures faced by the sector.

7.12. The Adult Social Care Precept is in addition to this. It was introduced by Government from 2016/17, and the percentages available to levy annually have varied over the ten-year period. In 2021/22 government gave local authorities the option of levying a 3% Adult Social Care Precept over two years. This option was agreed by the Council and included in the 2021/22 Budget. A further 1% precept was included in the 2022/23 Budget. In light of the high cost of care driven by general inflation, local authorities have been permitted to levy a 2% Social Care Precept in 2023/24, 2024/25 and 2025/26. To date, Lewisham Council has applied a 20% increase over the ten-year period. Government is again allowing councils to apply a precept of 2%, this time for each year of the Spending Review period.

7.13. For 2026/27, Council Tax has been raised by 4.99% in total (pending Mayor and Cabinet and full Council approval); the 2.99% core Council Tax increase and the 2% Adult Social Care precept as set out above. This has increased the Band D amount by £82.07, from £1,644.75 to £1,726.82, and is expected to result in additional funding of £9.624m when combined with a 1.27% increase in Council Tax Base, and a consistent collection rate of 96%.

7.14. As stated above, the multi-year Settlement has given the council greater certainty surrounding the future referendum limits for Council Tax and the 4.99% increase per annum has been assumed in Government's calculations of Core Spending Power. Therefore, the Council's MTFS will build the same uplifts into its forecasts of Council Tax income. Any decision to increase Council Tax by a lesser percentage will directly increase the savings target

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facing the Council.

7.15. In addition, the MTFS builds in the increase in Council Tax Base for 2026/27 of 1.27%, approved by Council on the 28 January 2026. Following this, the MTFS assumes a 1.5% average increase in the Council Tax Base for 2027/28 and a 1.1% average increase for 2028/29. This is based on a culmination of factors including the Council Planning Service's housing trajectory and assumptions published by Government. Within the multi-year Settlement, Government have used each local authority's assumed Council Tax raising potential to adjust their need for Government funding and within this calculation they have forecast future Council Tax Base growth in line with the Council's average annual growth over the last five years.

7.16. For 2026/27, it is assumed that the collection rate will remain at 96%. This was approved by Full Council on 28 January 2026. It is then assumed that it will reduce by 1% in 2027/28 to 95% and continue at this level in 2028/29. This reduction has been assumed to better reflect the continued challenges faced by the Council in collecting Council Tax. The current collection rate is circa 92%, and whilst the Council makes every attempt to ensure that those who can pay do so, it is more prudent and realistic to reduce this target to 95% in the last two years of the Settlement period to acknowledge that the assumed 4.99% increase of this regressive tax is above inflation.

7.17. Over the three-year period from 2026/27 to 2028/29, these collective changes would add approximately £19.3m to the Council Tax income compared to if the figures remained the same as for 2026/27. Given that Council Tax is the second greatest contributor to the Council's Core Spending Power as of 2026/27, it is critical that we can and do collect from those able to pay, and that we can maintain collection rates at those assumed in the MTFS model.

7.18. Forecast Council Tax income from 2026/27 – 2028/29 is set out in Table B2. The amounts collected here are after allowing for the cost of the Council Tax Reduction Scheme and any uncollected debts.

Table B2: Council Tax Income Future Year Projections

Council Tax Assumptions:	2026/27:	2027/28:	2028/29:
Increase in Band D	4.99%	4.99%	4.99%
Uplift in Council Tax Base	1.27%	1.50%	1.10%
Collection Rate	96.00%	95.00%	95.00%
Total Council Tax Income (£m):	**161.903**	**170.735**	**181.227**

Revenue Expenditure Assumptions

7.19. While the certainty provided by a multi-year Settlement is welcomed and offers the Council greater clarity when forecasting future budget assumptions, the Council still faces a number of budget pressures which continue to add to the overall revenue expenditure.

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Salary Inflation

7.20. The MTFS model assumes a pay award of 3.0% in 2026/27, 2.5% in 2027/28, and 2.0% in 2028/29 as these assumptions seek to align with long-term inflation forecasts from the Bank of England, whilst accounting for the lag often seen between actual levels of inflation and inflation experienced in local government. These are also, in part, reflective of the 2025/26 pay award which was agreed at 3.2% for all pay points including chief officers.

Non-Salary Inflation

7.21. General price inflation is calculated on net non-pay expenditure on General Fund services (excluding internal recharges and housing benefit payments). A proportion of this expenditure is contractual with indices linked to inflation and/or the London Living Wage increase but, in many cases, the Council is in a position to re-negotiate increases. The MTFS model assumes price inflation of 3.0% in 2026/27, 2.5% in 2027/28, and 2.0% in 2028/29 as these assumptions seek to align with long-term inflation forecasts from the Bank of England and are consistent with the pay award assumptions. This is deemed appropriate with the OBR forecasting average inflation of 3.5% in 2025, 2.5% in 2026 and 2.0% in 2027.

General Pressures

7.22. Whilst services are expected to generally manage pressures and risks as they come to bear, the MTFS includes a modest annual provision corporately for growth from exceptional demand and unavoidable pressures in the Budget. The model assumes this will continue for future years, with £6m set aside for 2027/28 and 2028/29 (to include the funding needed for any increase in concessionary fares).

7.23. In the MTFS published in July 2025, a provision of only £2m was earmarked for unavoidable pressures in 2026/27 (including concessionary fares). However, the pressures to be funded now total £18.133m. Since the presentation of the July 2025 MTFS, it has been acknowledged that slippage and pressures are arising in 2025/26 that cannot be contained. This combined with a more favourable Core Spending Power for 2026/27 than was forecast in the July 2025, allowed the Council to fund a greater amount of pressures than initially assumed. Further detail of the pressures funded can be found in Section 6. It is noted, however, that the allowance of £6m in each year is significantly lower than the actual level of pressures funded in previous years, so in addition to ensuring that savings are identified and delivered, services will need to ensure that they can manage increases in demand and pressures downwards over the next three years.

7.24. Table B3 sets out the inflation and pressures which have been allowed for in the MTFS model.

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Table B3: Forecast of Inflation and Pressures 2026/27 – 2028/29

Pressures:	2026/27:	2027/28:	2028/29:
	£m		
Salary Inflation	5.299	4.549	3.730
Non-salary Inflation	8.664	7.791	6.478
Concessionary Fares	1.000	1.250	0.500
Future Years Pressures Allowance	17.133	4.750	5.500
Total Inflation and Pressures Funded:	**32.096**	**18.339**	**16.208**

The General Fund Budget Gap

7.25. Using the medium-term Core Spending Power and revenue expenditure projections stated above, the resulting overall forecast position for the authority is shown in Table B4 below.

7.26. The MTFS model does take account of the existing savings measures already identified, which were tabled as a result of the 2025/26 process.

7.27. The projections also incorporate the planned reversal of the £21.895m of Reserves funding required to balance the 2025/26 General Fund Budget.

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Table B4: Summary of the Projected Financial Position

MTFS Projections:	2026/27:	2027/28:	2028/29:
	£m		
Council Tax Requirement	161.903	170.735	181.227
Fair Funding Allocation	232.629	228.468	224.124
Recovery Grant	5.279	5.279	5.279
Recovery Grant Guarantee	10.578	8.515	6.791
Recovery Grant Uplift	2.991	3.902	5.363
Adjustment Support Grant	0.173	0.000	0.000
Homelessness, Rough Sleeping and Domestic Abuse Grant	7.347	7.417	7.458
Families First Partnership	4.899	4.899	4.184
Total Core Spending Power:	**425.799**	**429.215**	**434.426**
Total Revenue Expenditure:	**455.869**	**444.138**	**458.512**
Budget Gap (Before Measures):	**30.070**	**14.924**	**24.086**
Approved Savings	(30.070)	(1.834)	(1.520)
Additional Annual Savings Required:	**0.000**	**13.090**	**22.566**
Cumulative Savings Required:	**0.000**	**13.090**	**35.656**

7.28. The Council will be pursuing a savings target of £36m for the next three years to ensure that it can live within its funding envelope and avoid the use of Reserves to set a balanced budget.

7.29. The multi-year Settlement means that the Council has real clarity over the scale of savings required for the next three years, although there are further significant risks beyond this period (see below). The Council must seek to identify and deliver up to £36m of savings, the scale of which will require transformative change to service delivery. This savings target represents nearly 10% of the 2026/27 budget envelope.

7.30. Transformation projects have already been identified and implemented by the Council in 2025/26 and will continue into 2026/27. These were introduced to support the Council's MTFS savings target and to help the Council operate in the more challenging environment that now exists. Demand is rising, needs are more complex and residents expect accessible, responsive and joined-up services whilst at the same time, the Council continues to face significant financial and services pressures. The Transformation plan is a cornerstone in ensuring that it can respond to these challenges and build a more sustainable and efficient organisation.

7.31. Programmes within the Transformation Portfolio are supporting improvements

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across resident experience, workforce and culture and financial sustainability. Not all improvements will produce immediate savings, but the combined effect of clearer pathways, modern tools and more consistent processes will reduce avoidable demand, increase efficiency and support better financial decisions. This will help the Council meet its statutory duties and manage pressures in a more sustainable way.

7.32. These programmes within the existing Transformation Portfolio fall into the following categories:

- Corporate Projects (including Asset Transformation and No Wrong Front Door);
- Directorate Transformation (within the Housing, Adult Social Care, Children's Social Care and Waste service areas); and
- Enablers (including Workforce Transformation and Corporate Capabilities including strengthening our digital abilities).

7.33. For 2026/27, these projects will need to clearly set out agreed savings targets where these have not yet been identified and will form part of the savings process.

7.34. Existing governance arrangements will be utilised where appropriate to ensure that there is rigorous oversight of the programmes that are brought forward to support these reduction measures. In particular, EMT sitting as a strategic change board.

7.35. In addition to the agreed transformation programme, all services will also need to seek to identify budget reductions or income generating activities to forward for agreement.

MTFS Timetable

7.36. The setting of the 2026/27 Budget is the start of the process to begin bringing forward savings proposals.

7.37. Officers will begin immediately, and proposals are to be prepared and submitted to EMT during the Spring. These will be refined in discussion with Cabinet in early Summer, and an updated MTFS will be presented to Mayor and Cabinet in June/July alongside the first Monitoring Report for 2026/27. This MTFS update will helpfully re-confirm the quantum of the savings target and also seek to quantify the current risks for year four (post multi-year Settlement) discussed in more detail below.

7.38. Refinement of the proposals will take place over the course of the Summer, and the formal scrutiny process will take place in September 2026, culminating in these being tabled to Mayor and Cabinet in September/October 2026. Those savings agreed will be able to be implemented from October 2026 onwards, ensuring that the forecast reliance on Reserves can be reduced in advance of setting the 2027/28 Budget.

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Risks

7.39. Setting a balanced budget is a statutory requirement for a local authority, and the Council's inability to do this without the planned use of Reserves introduces additional risk to the long-term financial sustainability of the Council. The Council has a good level of Reserves, and, when benchmarked, performs well against both London and the UK as a whole. The governments data explorer tool shows that, based on 2023/24 data, the Council's non-ringfenced Reserves as a percentage of its net revenue expenditure is 95.6%, compared to the median of similar local authorities at 50.4% and the rest of England at 39.9%. Based on the 2024/25 revenue outturn reports, Lewisham had the 5th highest level of total Reserves in London, including DSG and schools reserves, and the unallocated financial reserves. However, it's important to note that seven London Boroughs were in receipt of Exceptional Financial Support in 2025/26, with more expected in future years.

7.40. The clarity of the three-year Spending Review means that the Council has confirmation that its real terms funding levels will fall over this period, even with above inflation increases in Council Tax. The use of Reserves to fund previous overspends, set previous budgets and support once-off pressures has meant that some of this resilience has been eroded, even if not as quickly as other boroughs.

7.41. It is therefore imperative that the MTFS savings targets are both identified early and delivered in full.

7.42. The second key risk is that of the future funding levels for local authorities post the current Spending Review period. Whilst there is clarity with regards to 2026/27 – 2028/29, there is no confidence that funding levels will not decrease significantly thereafter. Whilst the transitional protections offered are all very welcome, such as the late confirmation of the continuing Recovery Grant, plus the introduction of the Recovery Grant Guarantee and Uplift, these offer potential funding 'cliff edges'. The combined allocation of these in 2028/29 is £17.433m, and it remains very likely that these will fall away in 2029/30. The current MTFS does not extend beyond 2028/29; therefore, the summer update, which will include 2029/30, is expected to result in an upward revision of the savings target.

7.43. As part of the reform to local government finance, the Business Rates Retention Scheme was reset and to smooth the risks associated with this, a safety net of 100% will be implemented for 2026/27 only. This means that a local authority is guaranteed to receive 100% of its Baseline Funding Level regardless of retained business rates income. This will reduce to 97% in 2027/28 and 92.5% in 2028/29. Whilst the 100% safety net is very welcome in 2026/27, there have been substantial changes to business rates, including the introduction of the new Rateable Values listing. This introduces significant risk and there is concern that the reduction in the safety net to 97% in 2027/28 may pose a funding risk to the Council. Whilst it's likely that the treatment of any shortfall will be to fund this from Reserves, the Council will need to better understand the potential impact and quantum before it can be confident that it

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will not need to budget for any permanent shortfalls via its annual revenue budget setting process.

7.44. The scale of social care funding is increasing, and local government grows ever more reliant on both local taxes and the various social care funding streams both within and outside of Core Spending Power. There is significant health reform anticipated, but delayed, and current spend on both adult and children's social care accounts for nearly two thirds of the Council's net budgets. Any wider reforms within social care and health may transfer responsibility onto local government without additional funding to match.

7.45. There also remains the significant risk that the general fund may be required to support both the ringfenced HRA and School's Budget. The HRA financial position has improved significantly from 2024/25 and whilst the current 30-year business plan demonstrates that the HRA can remain financially sustainable, the risk of failure will fall to the Council's general fund to meet.

7.46. The cumulative DSG deficit was just over £18m at the end of 2024/25 and is expected to grow by a further £4.1m in 2025/26. The 2025/26 deficit has increased by £1.6m since Period 8. The number of EHCP's has increased by 45 since November to 3,741, the associated increase in expenditure is made up of a combination of additional in-borough placement and commissioning (£0.7m), and out of borough maintained and independent placements (£0.9m). Whilst the Delivering Better Value programme supported by the Department for Education (DfE) has contributed to the Council being able to, in prior years, maintain this annual increase at circa £2m per annum, the overall quantum continues to grow, including growing by £4.1m in 2025/26. The statutory override (which ringfences the current unfunded Special Education Needs (SEN) deficit to schools reserves) is only in place until 31 March 2028.

7.47. On 9 February 2026, Government announced support to local authorities with DSG deficits as they transition to a reformed SEND system. The support will to be introduced in phases, with the first phase addressing historic deficits accrued up to 31 March 2026. All local authorities with a SEND deficit will be eligible to receive a High Needs Stability Grant in 2026/27, covering 90% of their High Needs-related DSG deficit. For Lewisham, it is therefore estimated that £20.4m of Government support will be received, leaving the Council a residual £2.3m of deficit. Details are still to be confirmed on further support for deficits arising before the accounting override ends on 1 April 2028. From 2028/29, SEND spending will be covered by the overall Government DEL budget, meaning local authorities are not expected to fund future SEND costs.

7.48. Apart from Reserves and funding stream risks there are a number of other risks and issues which, although difficult to quantify with absolute certainty, could prove significant should they materialise.

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7.49. Officers continue to undertake work to fully assess and monitor these risks. These risks and other potential budget pressures are discussed in more detail below:

- Legislative or policy changes;
- Service Investment;
- National / London Living Wage;
- Redundancy;
- Unachieved budget reductions;
- Wider public service delivery failure; and
- Further inflation.

Legislative or Policy Changes

7.50. Since the start of the new Government in July 2024, there has been significant reform and change in a number of policy areas, requiring new legislation to be enacted to support the new policy framework and priorities. The full extent of these, or the impact on local authorities is not yet known and therefore provides risk.

7.51. Should government not provide new burdens funding and specific grant funding to support any new responsibilities which local government may be required to assume, this will cause further budget pressures.

Service Investment

7.52. It may be that in addition to the broader, macro-economic pressures set out below, that specific service pressures will arise in year that cannot be contained within existing budget and will require specific and additional funding. There is an allowance for very modest service investment within the MTFS, anything higher than this will need to be funded from further savings.

National/London Living Wage

7.53. The Council has, for some years now, ensured it pays the London Living Wage to staff and contractors where this has been possible to contract for. However, the LLW has tended to increase by a greater margin that general inflation and whilst there has been marginal recognition of this is setting the inflation assumptions within the MTFS, there remains a real risk that the LLW increases may not be contained within these allowances.

Redundancy

7.54. The Council will seek to minimise the impact of cuts on services and jobs. However, a significant proportion of the Council's budget goes on staff salaries and wages, so it will not always be possible to make significant

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investments in service transformation and redesign to achieve budget cuts over the next four years without an impact on jobs. The cost of redundancy depends on age, seniority, and length of service of the individuals affected, and it is not possible to calculate the overall financial impact at this stage. For these reasons the risk cannot be easily quantified at this time.

Unachieved Budget Reductions

7.55. The strategic governance process for monitoring the delivery of agreed budget reduction measures, overseen by EMT, will provide visibility of progress, risks, challenges, and robust governance of the programme as a whole. Alongside this, the PMO will be monitoring and reporting on programme-wide delivery of cuts, risks and equalities impact. Clear roles and responsibilities (between the PMO and service Directors) have been drawn up in order to ensure there are clear lines of accountability.

7.56. In the event that this approach cannot ensure the full delivery of the budget cuts and pressures arise in the year and are not able to be contained with Directorate budgets, they may become an additional call on Corporate Provisions and Reserves until alternative cuts are agreed and implemented.

Wider Public Service Delivery Failure

7.57. There is risk from immediate cost of living pressures growing due to the risk of future economic growth stalling with associated rising unemployment which sits alongside the risk of service pressures in other areas of the public sector driving need onto local authorities as the public provider of last resort. For example, the risks of failing infrastructure for energy, water and transport, rising health waiting lists and delays to treatment, withdrawal of financial support through the benefits system, and rising crime and anti-social behaviour increasing community tensions. These risks combine with a growing and longer living population in the Borough with greater needs and more vulnerabilities, all of which put demand on Council services at greater cost. Estimating these potential impacts is challenging.

Inflation

7.58. Prior to the introduction of the LLW as a requirement for all contracted services, and the period of historic high inflation, the Council's approach of budgeting for a net increase in non-salary budgets of CPI broadly held.

7.59. However, this simplistic approach to forecasting for inflation is no longer a robust proxy for actual costs. Furthermore, the Council only budgets for inflation uplift on a net basis, and if fees and charges are not raised by inflation (and this is possible where these are set by Government) or if the level of demand for the services means that less income is generated overall, this will also increase the inflationary pressure on budgets.

7.60. The Council will ensure that it monitors these and any other risks materialising via the monthly financial monitoring to EMT, and the quarterly reporting to

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Mayor and Cabinet. These will inform the 2026/27 Medium-Term Financial Strategy update in the Summer and will ensure that service pressures are contained within the forecast budgetary allowances in order to ensure the financial robustness of the Council.

8. Dedicated Schools Grant and Pupil Premium

8.1. This section of the report sets out the construction of the 2026/27 Dedicated Schools Grant (DSG) and Pupil Premium and is structure as follows:

- Update on the 2025/26 DSG; and
- DSG and Pupil Premium for 2026/27.

Update on the 2025/26 DSG

8.2. The 2025/26 Dedicated Schools Grant (DSG) grant allocation was advised by the Department for Education (DfE) in December 2024 and reported to Schools Forum at the January 2025 meeting. These figures have been revised following adjustments to the High Needs Block (academy recoupment and placements made in other LA/from other LA's) and early years block (revised following January census validation).

Table C1: DSG Projected Outturn 2025/26

DSG Projected Outturn:	Schools Block:	Central School Services Block:	High Needs Block:	Early Years Block:	Total DSG Allocation:
	£m				
Gross Budget	257.1	3.0	84.1	51.7	395.9
Academy Recoupment	(98.9)	0.0	(0.7)	0.0	(99.6)
DSG Budget:	158.2	3.0	83.4	51.7	296.3
Expenditure	158.2	3.0	87.5	51.7	300.4
Total Spend:	158.2	3.0	87.5	51.7	300.4
Variance:	**0.0**	**0.0**	**4.1**	**0.0**	**4.1**

8.3. *Schools Block:* Expenditure will be in line with the allocation as the disbursement of funding has already been agreed with the DfE in January 2025. The overall net budget position reflects schools that converted to academies, from a funding perspective the impact is cost neutral.

8.4. *Central School Services Block:* The funding received from the Central Services Schools Block, which has an annual reduction of 20%. The Service is reviewing spend within this area with the aim of reducing the cost pressure on the General Fund as shown in Section 6.

8.5. *High Needs Block:* The High Needs Block has a £4.1m pressure against the available funding; an increase of £1.6m since Period 8. The number of

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EHCP's has increased by 45 since November to 3,741, the associated increase in expenditure is made up of a combination of additional in-borough placement and commissioning (£0.7m), and out of borough maintained and independent placements (£0.9m).

8.6. *Early Years Block:* The DfE has now confirmed the final position for 2024/25 allocation. There was a £1.3m drift between the January pupil validation and the final 2024/25 position, of which the DfE clawback was £0.4m. It was agreed with Schools Forum at the December meeting that £0.9m can be used to meet the pressure can be used to support the High Needs Block.

8.7. In overall terms the DSG cumulative deficit is expected to be £22.7m at the end of 2025/26, reflecting the pressure on the High Needs Block.

DSG and Pupil Premium for 2026/27

8.8. This section of the report considers the DSG and the Pupil Premium Grant for 2026/27.

DSG for 2026/27

8.9. The DSG is the main source of funding for Schools and Early Year Providers. The grant is constituted of four parts; the Schools Block, Central Schools Services Block, High Needs Block, and the Early Years Block. Funding, excluding the High Needs Block in 2026/27, is based on National Funding Formulae which determines each of the blocks and collectively determines the overall DSG. The gross allocation of DSG for 2026/27 is £418.82m, compared with £395.85m in 2025/26, representing an increase of £22.97m.

Table C2: DSG 2025/26 vs. 2026/27

	Schools Block:	Central Schools Services Block:	High Needs Block:	Early Years Block:	Total DSG Funding:
	£m				
2026/27	263.55	2.80	89.21	63.26	418.82
2025/26	257.08	2.96	84.11	51.70	395.85
Net Movement on Summarised Position:	6.47	(0.16)	5.10	11.56	22.97

8.10. The 2026/27 overall DSG allocation is £418.82m suggesting an increase of circa 5.8% compared to 2025/26. This is the gross position for Lewisham Council; therefore, it includes funding for academy schools.

8.11. It should be noted that the grants relating to Teachers Pay and Pensions have, in the main, been streamlined into the DSG and are therefore not new funding; £11.6m is streamlined grants relating to pay and pensions.

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8.12. *Schools Block:* It is estimated that, of the £6.47m increase in funding, £6.51m relates to pay, therefore the non-salary decrease is £0.04m. There is an overall reduction in the Primary and Secondary Phase of 700 pupils which equates to £4.8m, which offsets some of the increase.

8.13. *Central Schools Support Block:* The Central Schools Support Block continues to reduce by 20% or £0.16m, which is partially negated by an increase in the formula led element of the grant which is ringfenced for the LA statutory role. The increase in the formula led element also includes streamlining for pay awards for centrally based teachers and uplift to support some changes to fund additional copyright licences (not new funding).

8.14. *High Needs Block:* A net increase of £5.10m (6.1%), which is funding to support young people with Special Needs. In addition, Schools Forum have agreed to supplement this budget by £0.60m in 2026/27. The Council continues to work with the DfE on the national cumulative deficit being carried by Councils for running these services. The DSG Override (which effectively ringfences the overall deficit) has been extended to 31 March 2028.

8.15. *Early Years Block:* The provisional allocation advised is £63.26m. This allocation includes the full year effect of the under 2s funding and streamlining of the teachers' pay grant. It should be noted that, as the early years offer is still in the process of being embedded in 2025/26, local authorities were allowed to centrally hold back 4%, but this has now reduced to 3%.

Pupil Premium Grant for 2026/27

8.16. It is understood that the Pupil Premium will continue, and the funding levels have been confirmed. The Pupil Premium is based on factor known as Free School Meals Ever 6. For context, Lewisham schools would receive a total of £15.0m using the revised rates.

Pupil Numbers

8.17. Schools Funding is based on numbers from the previous year, and as such the 2026/27 Schools Funding Settlement is based on October 2025 which shows a decrease of 700 for 2026/27: 664 across the primary phase and 36 in the secondary phase. On a school-by-school basis there is a vast variation with some experiencing large increases, some large decreases and some remaining consistent. In 2024/25 there was a net reduction of 251, with a reduction of 311 pupils in 2025/26. This will be the 8th consecutive year of falling pupil numbers which has varying implications for individual schools.

8.18. The primary numbers are continuing to decrease year-on-year, with some secondary schools now benefitting from the previous primary school bulge classes/expansions feeding into them. Also, more secondary school aged children are choosing to stay in Lewisham secondary schools, however as the Primary Numbers work through the year groups the pressure will start to impact on secondary schools (there is a net reduction of 36 in October 2025 census, as noted).

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Potential Risks

8.19. As set out in this section, there remain a number of risks in respect of funding for schools. These include:

- Impact of any overspends and the resultant requirement to establish a deficit recovery plan if the overspend is greater than 1%. In the event that the deficit cannot be contained, this pressure could potentially fall to the General Fund triggering a review of services within CYP.
- In 2019, the DfE introduced changes which now mean that, where schools have deficits, these must be held against the overall schools reserves not exceeding 40%. This ratio will be hard to contain with more schools forecasting deficits, and the pool of surpluses reducing due to schools academising.
- Schools continue to face pressures arising from changes in policy. Examples include teachers' pay awards, support staff pay award, and pension's changes. This could have a varying degree of impact for Schools.
- Budget plans from Schools suggest that some are operating with a structural deficit relying on their reserves to provide balanced budgets. Schools Finance are working with these schools to mitigate this risk, however there is capacity issues as more and more schools need support.
- The rising costs of utilities and other pressures, e.g., increase in contracts such as school meals has not been recognised in full in the funding allocations, and schools may struggle to meet these costs over the coming year.
- Cost-of-living crisis for individuals may potentially mean that more children need additional support.
- Early Years National Policy - The DfE is keen to expand the Early Years offer, however there are various challenges. These challenges include, for example, birth rates, take up (more parents now working from home) and the hourly rate provided to Lewisham, which remains significantly lower than that allocated to neighbouring boroughs.
- The 2026/27 pay offer - the funding made available for 2026/27 is expected to meet the 2026/27 pay award for teachers and support staff. The current suggested offer from the pay review body suggests 2.0%, with the pay review body suggesting this would be affordable with the funding Settlement allowing for some "efficiencies". Schools are likely to struggle with this, especially those with falling numbers.
- Wider stakeholders, e.g. Early Years providers, are likely to exit the market. Providers supporting High Needs services are already asking for larger increases in costs.

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- Certain contracts may be affected in particular such as School Meals and Transport services.
- The Schools White Paper delayed to early 2026 focusing on reforming the struggling Special Educational Needs and Disabilities (SEND) system, emphasizing early, local, fair support and the implications for funding.

8.20. The most significant risk for the Council is the current DSG deficit totalling just over £18m at the end of 2024/25 and forecast to grow by £4.1m in 2025/26. Government introduced a Statutory Override, which effectively ringfenced this deficit to the DSG and protected the Council's General Fund Reserves. This mechanism has been extended multiple times, with the current deferment until April 2028.

8.21. As part of the Local Government Funding Reform, Government committed to supporting local authorities with these deficits, and it was expected that the detailed announcement of this mechanism would be made in the Autumn Policy Statement. This was not the case, however, on 9 February 2026, Government did announce support for local authorities with DSG deficits to be introduced in phases as they transition to a reformed SEND system. The first phase will address historic deficits accrued up until 31 March 2026. All local authorities with a SEND deficit will be eligible in 2026/27, to receive a High Needs Stability Grant covering 90% of their High Needs-related DSG deficit.

8.22. Details are still to be confirmed on further support for deficits arising before the accounting override ends on 1 April 2028. For Lewisham, it is therefore estimated that £20.4m of Government support will be received, leaving the Council a residual £2.3m of deficit, plus any increase to this for the 2026/27 and 2027/28 likely overspends. From 2028/29, SEND spending will be covered by the overall Government DEL budget, meaning local authorities are not expected to fund future SEND costs.

9. Housing Revenue Account

9.1. The budgeted expenditure for the Housing Revenue Account (HRA) in 2026/27 is £275.71m, including the capital and full new build programme.

9.2. This section of the report sets out the construction of the 2026/27 HRA and is structured as follows:

- Update on the HRA financial position for 2025/26;
- Update on the HRA Business Plan; and
- Future Years' Forecast.

Update on the HRA Financial Position for 2025/26

9.3. The HRA is budgeted to spend over £116m in 2025/26. The latest forecast on the HRA for 2025/26, is that net expenditure cannot be contained within budget by the year end. Revenue Repairs and Maintenance is forecast to

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overspend by £1m as at P8 and Major Works recovery is expected to be lower than budget by approximately £2m. Overall the HRA is forecasting a deficit of £0.10m as at Period 8 after taking management action. This will be mitigated by the use of once-off contingencies, reserves and revenue working balances to ensure the HRA is in balance by year end.

Update on the HRA Business Plan

9.4. The Housing self-financing system was implemented on 1 April 2012 when the HRA subsidy scheme was abolished. The 30-year financial model has been developed based on current management arrangements and rental income estimates, updated for efficiencies and cost pressures. In addition, policy objectives such as decent homes, sheltered housing and new build plans are incorporated into the modelling.

9.5. The plan underwent a major revision in 2015 for a 1% reduction in social rents applied each year for four years from 2016/17 to 2019/20. The impact of the change was a loss of actual rental income of £2.80m when measured against the actual rent roll for the 4 financial years. A loss of £25m against the budgeted resources for the same period and an overall loss of resources assessed at £374m over the life of the 30-year business plan.

9.6. Subsequently, from April 2020 government lifted the rent reduction policy and allowed councils with social housing stock to return to the previous method of rent increase calculations to at least 2025.This method of rent increase is based on CPI + 1%, which was the Government's policy for rent increases. This method had been implemented in Lewisham and became effective for rental increases applied from April 2020 onwards.

9.7. However, due to the cost-of-living crises and high inflation which would impact on rent increases, Government issued a consultation in September 2022 seeking opinion from Local Authorities on capping rent increases for 2023/24 to 3%, 5% or 7%, or to allow increases to follow the policy guidance of CPI + 1%. Any capping of increases would result in a loss to the HRA. The consultation closed on 12 October 2022.

9.8. The government's response to the consultation was to confirm and issue a notice to the regulator of social housing to cap rent increase to a maximum of 7% in 2023/24, without additional funding to housing providers. The implementation of the cap on increases cost in the region of £3.20m for Lewisham, which impacts on our ability to invest in our stock and meet our obligations.

9.9. For financial years 2024/25 and 2025/26, Government did not reduce or cap the forecast rent increases which were based on CPI + 1%, however due to the capping of previous years increases, rents are no longer at the formula/target rent levels. The difference between actual rent charges and the formula/target rent was £3.6m based on stock in the HRA as at 1st April 2025.

9.10. For financial year 2026/27, Government has confirmed that they are not

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seeking to cap or reduce rental increases based on the formula rent calculation of CPI + 1%. The CPI data for September 2025 was 3.80% and therefore rent will increase by a minimum of 4.80% based on the government's formula rent calculation. This results in an average increase of £5.95pw over a 52-week period. This will increase the full year average dwelling rent for the London Borough of Lewisham HRA stock (as at April 2024) from £123.96pw to £129.91pw.

9.11. However, Government has consulted on reintroducing rent convergence to bring actual current rents back up to formula/target rent levels. Rent convergence was a social housing policy that aimed to make rents for similar properties across the country more consistent by aligning them with a national formula rent. It works by allowing rents to increase faster than inflation until they reached a target level based on property size and value and local incomes used within the formula rent calculation. This is normally implemented by allowing rents to increase by an additional factor for example +£1 or +£2 per week within the usual formula increase which is based on CPI+1%. As part of the 2025 Autumn Budget, the Government stated that they would confirm the convergence value in January 2026. The announcement was then made on 28 January 2026.

9.12. In the announcement on 28 January 2026, Government confirmed that, Registered Providers will be able to increase weekly rents for Social Rented homes, currently below the formula level, by up to an additional £1 per week over and above CPI+1% from 1 April 2027. This followed on from their consultation on how to implement social housing rent convergence to bring actual rent levels up to formula rent levels. They further confirmed that up to an additional £2 per week could be applied over and above CPI+1% from 1 April 2028, until formula rent levels are reached.

9.13. Based on the Government decision that rent convergence will not be permitted until 2027/28; there will be no extra rental income for the HRA in 2026/27. The HRA Business Plan has, however, been updated, and forecast rent levels adjusted, to reflect the additional allowance from 2027/28.

9.14. The changes to rental income forecasts are shown in Table D1 below, together with an estimate of the numbers of units reaching Formula/Target rent.

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Table D1: Forecast Additional Income Generated by Rent Convergence

	2026/27:	2027/28:	2028/29:	2029/30:	2030/31:
Number of Units at Formula/Target Rent	282	282	4,804	11,724	12,752
Number of Units not at Formula/ Target Rent	13,387	13,387	8,865	1,945	917
	£m				
Revised Rental Income	93.60	98.57	105.05	109.38	113.86
Original Forecast Rental Income	93.60	97.94	103.14	106.24	110.23
Additional Income:	**0.00**	**0.63**	**1.91**	**3.14**	**3.63**

9.15. Current estimates indicate that the majority of units will reach Formula/Target rent in 17 years (2042/43) with 150 units, or 1%, not at Formula/Target by this date.

9.16. As stated above, the CPI figure for the 12-month period ending September 2025 was 3.80%. This means that the Council can increase rents for 2026/27 by 4.80% (3.80% +1%). Table D2 demonstrates the average increase that would be applied based on CPI+1%.

Table D2: HRA Dwelling Stock Rent Increase 2026/27

	CPI +1% Increase:
Current Average Rent:	**£123.96**
% Increase:	4.80%
Increase in Weekly Rent:	£5.95pw
New Weekly Rate:	**£129.91pw**

9.17. The HRA financial model has therefore been updated with current government formula rent calculations at a minimum of 4.80% for financial year 2026/27. Government have confirmed that rent increase for 2027/28 to 2035/36 will also be based on a minimum of CPI+1% and CPI+0.5% thereafter.

9.18. Our top priority is to make our blocks safe; we also want to get all of our homes to decent homes standard and, particularly following the tragic case of Awaab Ishaak, and the subsequent passing of Awaab's Law as part of the Social Housing Regulation Act, make all homes safe from damp and mould. Given the age of much of our stock, these works are costly and will severely impact the HRA. The lack of funding from the government means we are

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increasingly having to choose which of these crucial works to prioritise.

9.19. There is a further complication in that due to recent legislative changes, leaseholders cannot be recharged for some of the fire remediation works leading to further income losses.

9.20. Sustainability and carbon reduction ambitions, as well as improving thermal comfort for our tenants is another pressure on the HRA.

9.21. The Government's inflation target for the United Kingdom is defined in terms of the Consumer Price Index (CPI) measure of inflation. Since April 2011, the CPI has also been used for the indexation of benefits, tax credits, and public service pensions.

9.22. For financial planning purposes, the HRA is assuming average pay inflation, for the longer term of 2% per annum, based on the Governments CPI Inflation target. Non-pay inflation is also based on the Governments CPI inflation target of 2.0% per annum. In the short term, pay inflation is estimated at 3.8% for 2026/27. Non-pay inflation such as repairs and maintenance, materials and contract costs are forecast at 3.8% for 2026/27.

9.23. In order to protect the business plan and provide the same level of investment and services, any reduction in income will need to be off set though savings or increased efficiencies and reprioritisation of investment requirements across stock condition and/or development plans.

9.24. A review of current investment needs and priorities continues to be refreshed, based on updated surveys and inflation estimates. The stock condition survey was completed in 2025 and has provided an update on assumptions on future liabilities, such as maintaining decent homes, fire programme, sustainability, planned works and improvements, cuts, and other requirements. These assumptions will be used to inform the ongoing resource need and identify potential gaps in funding and opportunities for additional income and grants. This could include continuing a programme of disposals of long-term voids with the capital receipt being invested into the HRA capital programme.

9.25. The plan also contains costs associated with the new build programme currently being implemented by the authority. It should be noted that the Government reduced Right to Buy discount in London to a maximum of £16,000 from 21st November 2025. This generated significant new RTB applications which are currently being worked though. This has caused a spike in forecast RTB sales for 2026/27 and 2027/28 but reduces forecasts from 2028/29 onwards. This also has the effect of reducing the 1-4-1 receipts received by the authority for investment in New Supply. This will have an impact on the authorities ability to deliver the development programme, if additional grant is not secured to replace the reduced 1-4-1 receipts.

9.26. The 2026-2031 draft major works capital investment programme has been significantly influenced by the stock condition survey and the challenges and emphasis of legislation on Building safety, decent homes and compliance

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including Housing Health and Safety Rating system (HHSRS) assessments. The 2025/26 also contains a significant percentage of schemes which were carried forward for completion from 2024/25. The emphasis for the period 2026/2031 will be to improve the weather tightness and comfort of Lewisham's homes. The prioritisation of window and roofing works will support the significant revenue challenges of the Housing Revenue Account and reduce over time the demands on the responsive repairs service. The service is also seeking to resolve HHSRS category one hazards which will support an improvement in the proportion of council homes achieving the decent homes standard. Building safety works and energy efficiency works will also feature strongly in the 2026/2031 period. The stock condition survey identified a sharp increase in the number of components such as kitchens and bathrooms which will require replacement between 2030-2035 and annual reviews of the capital programme will refine the programmes as the short-term programme is delivered.

9.27. To comply with the Consumer Standards from the Regulator of Social Housing the service will need to update its stock condition survey every five years. The service intends to carry this out through an annual rolling programme ideally using an inhouse team to support efficiencies.

9.28. It should be noted that the major works capital programme has a requirement to appoint a principal designer for all building works. The Council in some cases will act as principal designer however in more cases the council will be appointing a contractor.

9.29. Table D3 provides an illustration of the expected HRA budget for the next five years, which includes 4.80% rent increase estimates for 2026/27. The HRA debt cap which was imposed when the self-financing regime was implemented (£127.3m) has now been abolished. The HRA will now be subject to prudential borrowing rules (as per the General Fund).

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Table D3: HRA Business Plan Update

HRA Income & Expenditure Estimates:	2026/27:	2027/28:	2028/29:	2029/30:	2030/31:
	£m				
Income:					
Rental income	(93.60)	(98.57)	(105.05)	(109.38)	(113.86)
Tenants service charge income	(8.29)	(8.33)	(8.41)	(8.57)	(8.74)
Leasehold service charge income	(7.02)	(7.16)	(7.31)	(7.45)	(7.60)
Hostel charges and grant income	(1.60)	(1.63)	(1.67)	(1.70)	(1.73)
Major Works recoveries	(5.94)	(5.94)	(5.94)	(5.94)	(4.95)
Other income	(2.56)	(2.57)	(2.18)	(2.19)	(2.21)
Interest earned on balances	(0.60)	(0.30)	(0.31)	(0.32)	(0.32)
Total Income:	**(119.60)**	**(124.50)**	**(130.87)**	**(135.55)**	**(139.41)**
Expenditure:					
Management costs	46.93	51.82	53.25	52.44	53.70
Repairs & maintenance	25.40	24.40	26.48	26.98	27.50
Repairs Project	5.00	0.00	0.00	0.00	0.00
PFI Costs	6.96	1.70	0.00	0.00	0.00
Interest & other finance costs	11.00	13.77	16.65	19.00	20.96
Depreciation	28.80	29.08	29.54	30.26	30.99
Revenue Contribution to Capital	2.92	3.24	4.34	6.46	5.90
Total Expenditure:	**127.01**	**124.01**	**130.26**	**135.14**	**139.05**
Surplus/(deficit):	**(7.42)**	**0.49**	**0.61**	**0.41**	**0.36**
HRA Reserves:					
Opening HRA reserves	17.58	10.17	10.66	11.27	11.68
Contribution to/(Drawdown) from reserves	(7.41)	0.49	0.61	0.41	0.36
Closing HRA Reserves:	**10.17**	**10.66**	**11.27**	**11.68**	**12.04**
Forecast Capital Programme & Funding:					
HRA Capital programme (including decent Homes)	66.11	66.43	66.45	66.50	55.42

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HRA Income & Expenditure Estimates:	2026/27:	2027/28:	2028/29:	2029/30:	2030/31:
	£m				
Housing Management System - HRA	0.30	0.00	0.00	0.00	0.00
HRA Allowances for Buybacks & Brockley PFI	2.80	4.00	7.00	7.00	5.90
Aids & Adaptations	0.70	0.70	0.70	0.80	0.80
New Build construction & on-going costs	78.79	96.29	37.53	25.25	12.84
Total Capital Expenditure:	**148.71**	**167.42**	**111.68**	**99.53**	**74.95**
Capital Programme Funded By:					
MRR Opening Balance	0.00	0.00	0.00	0.00	0.00
Revenue Contribution to Capital	(2.92)	(3.24)	(4.34)	(6.46)	(5.90)
Depreciation	(28.80)	(29.08)	(29.54)	(30.26)	(30.99)
GLA Grants	(45.63)	(26.32)	(12.45)	(3.43)	0.00
RTB Receipts	(18.61)	(20.68)	(4.17)	(0.71)	0.00
Sale Receipts	0.00	(9.47)	(12.02)	(3.54)	(6.08)
Other Receipts	(8.10)	0.00	0.00	0.00	0.00
Borrowing	(44.65)	(78.63)	(49.16)	(55.13)	(31.98)
Total Capital Funding	**(148.71)**	**(167.42)**	**(111.68)**	**(99.53)**	**(74.95)**
Capital Shortfall:	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
HRA Actual Debt Level (Forecast):	**265.37**	**344.01**	**393.16**	**448.31**	**480.29**

Note: *The New Build construction costs include all approved schemes and unapproved pipeline schemes within the programme and may change as scheme assessments progress.*

9.30. As can be seen from Table D3, the expected total expenditure, before financing, for the HRA in 2026/27 is £275.71m, comprising £127.01m operational costs and £148.71m capital and full new build costs.

9.31. The HRA capital forecasts in the Table D3 differ from the figures presented in Section 11 (Table F3). This is because the overall capital programme in Section 11 only includes schemes that have been approved by Mayor and Cabinet, whereas the HRA forecast business plan includes both approved schemes and unapproved pipeline schemes.

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Future Years' Forecast

9.32. The key purpose of the proposed HRA budget is to ensure that there are sufficient resources to support lifecycle works, such as; repairs and maintenance, the Decent Homes programme and, a key priority for the current administration, delivery of new social homes in the borough.

9.33. There is an ongoing process to identify opportunities for efficiencies to deliver services for improved value for money and this will be further developed and implemented in 2026/27. Any savings and efficiencies delivered against the HRA business model and future budgets can be re-invested to off-set constrained rent rises or to help bridge any investment gap identified. Discussions are ongoing to identify appropriate savings. For example, there is already an assumed reduction in management costs in 2026/27 to reflect stock losses through Right to Buy Sales. In addition, income generation through full cost recovery on service charges, additional grants and SLA efficiencies will all be explored.

9.34. Separate reports which set out in detail the proposals relating to service charges for Brockley and Council housing residents are attached at Appendices X2a and X2b and Appendix X3, respectively.

Rental Income and Allowances

9.35. Proposals for rent increases in 2026/27 reflects the Government's current Rent Policy and the Regulatory Rent Standard, which allows registered providers to increase rents by the annually reported September CPI inflation index plus 1%. Formula/target rent is the basis for setting social housing rents in England, calculated using this government formula that combines property valuation data, local income levels, and a "bedroom weight" for property size.

9.36. In line with the formula rent calculation policy, rents for 2026/27 would normally increase by 4.80% based on CPI of 3.80% (as at September 2025) + 1% and CPI + 1% for the period 2027/28 to 2035/36.

9.37. However, there have been two recent government consultations on changes to policy on rents and rent increases.

9.38. The first consultation was the 'Future of social housing rent policy' which related to a 5- or 10-year policy of rent increases based on the current formula of CPI + 1%. Lewisham's Forecast for rent increases within the HRA Financial Model was CPI + 0.5% from 2027/28 onwards. The consultation closed on 23 December 2024.

9.39. Lewisham Council responded to the consultation stating that it was imperative that the Government recognise the financial pressures on Councils and provide us with additional funding. Significant financial pressures are already bearing down on local authority HRAs. Primarily these pressures have been driven by the previous policy to reduce social housing rents by 1% for four years from 2016/17 but have also been compounded by the impacts of the

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COVID-19 pandemic, rising inflation impacting on the HRA cost-base, and increasing demands on funding as noted above whilst continuing to achieve a balanced HRA.

9.40. Government subsequently confirmed that rents would be allowed to increase by CPI+1% for 10 years from 2026/27 to 2035/36. This provides certainty of rent increases for planning purposes and will generate an additional £500k per year above the forecast amounts within the HRA Business Plan.

9.41. The second consultation was related to "How to implement social housing rent convergence" issued on 2 July 2025. The deadline for responses was 11.45pm on 27 August 2025.

9.42. The consultation had five questions related to options to allow current rent to increase and 'converge' with formula/target rent, which is higher than current rent levels due to the reductions and caps put in place for previous rent increases, for local authority HRA stock. This mainly revolved around increasing rents by an additional £1 or £2 per week for a period of 5 or 10 years.

9.43. Based on analysis undertaken the current difference between total actual rental income for dwelling stock @ £89.4m and the formula/target rent level @ £93.0m was £3.6m annually.

9.44. The authority responded to the consultation showing that at the levels of £1 or £2 the authority will not get all stock to formula/target rent within ten years and that even at CPI +1% + £3 will not bring all properties to formula/target rent.

9.45. Analysis showed that at £1 per week the additional income to the HRA after 10 years is £4.98m cumulative per year but after 10 years the model shows that 605 units would not be at formula/target rent, unless there are some relets within that period.

9.46. At £2 per week the additional income to the HRA after 10 years is £5.23m with 254 units not at formula/target rent.

9.47. Given that neither of the options put forward by the government leads to all units at formula rent after 10 years the authority modelled a £3 per week increase. Under this increase the model delivers £5.34m with 83 units not at formula rent and is a more acceptable outcome. This was put forward by the authority in its response, together with a comment that stock should be allowed to converge over a longer period than 10 years if necessary.

9.48. Following these consultations, it was announced on 28 January 2026, that Registered Providers would be able to increase weekly rents for Social Rented homes, by up to an additional £1 per week over and above CPI+1% from 1 April 2027, and an additional £2 per week over and above CPI+1% from 1 April 2028. However, it was also announced that there would be no allowance for 2026/27.

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9.49. In line with the revised formula rent calculation policy, rents for 2026/27 will rise by 4.8% based on CPI of 3.8% (as of September 2025) + 1%. London Affordable Rents, which is set by the Mayor of London will also increase by the formula of CPI + 1%.

9.50. As shown in Table D2, a 4.8% increase in average rents for HRA dwelling stock 2026/27 equates to an average increase of £5.95pw over a 52-week period. This will increase the full year average dwelling rent for the London Borough of Lewisham from £123.96pw to £129.91pw. The proposed increase will result in a minimum additional income of £4.268m for the HRA.

9.51. The business plan assumes a 4.80% increase for 2026/27 and the period that it is effective for e.g. 5 or 10 years. A 4.8% increase in average rents for HRA dwelling stock 2026/27 equates to an average increase of £5.95pw over a 52-week period. This will increase the full year average dwelling rent for the London Borough of Lewisham from £123.96pw to £129.91pw. The proposed increase will result in additional income of £4.268m for the HRA against 2025/26 income levels.

9.52. A rent rise higher than the rent limit calculation, set by Government, will result in additional recharges to the HRA via the Housing Benefit (HB) subsidy limitation charges. Any rise above this level will be lost through additional limitation recharges and therefore result in no benefit to the HRA.

9.53. It should be noted that the HRA cost base for management and maintenance, materials and capital investment will be inflated based on inflation increases similar to or based on the CPI/RPI output data. In addition, debt interest charges will also increase based on the need to borrow for HRA investment needs and increase in interest rates applied to debt.

9.54. At the present time, for financial planning purposes, the financial models used by the council currently forecast future CPI to be 2% annually for the period beyond 2026 and would equate to an annual average increase of 3% (plus convergence) to be applied to rents. It should be noted that any variation to the forecast CPI rate of 2% would affect the annual average forecasts stated above. The financial model for the HRA is assuming average pay inflation, for the longer term of 2% per annum, based on the Governments CPI Inflation target. Non-pay inflation is also based on the Governments CPI inflation target of 2% per annum. In the short term, pay inflation is estimated at 3.80% for 2026/27. Non-pay inflation such as repairs and maintenance, materials and contract costs are forecast at 3.80% for 2026/27.

9.55. Residents were asked to provide comments and feedback on the proposed rent changes and illustration for inclusion in the Budget Report at meetings held with Brockley PFI, Council tenants and leaseholders. Full details of residents' feedback, additional comments received, minutes of meetings and the response to the additional comments received are contained in Appendices X1a to X1c.

9.56. The main comments received from Council residents concerning the

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proposals for rents and garages was that there are issues of affordability given the current cost of living crises and standard of service. The main comments regarding service charges were questioning value for money as charges are increasing but service delivery is not necessarily seen to be improving.

9.57. Details of the options for the rent and service charge changes for 2026/27 were presented to the Housing Select Committee on 14 January 2026. The committee noted the contents of the report.

9.58. Having regard to the outcomes of the consultations held in December 2025 as set out above (and with more detail in Appendices X1, X2, X3, and X4), Council is asked to agree a 4.8% rent increase as per the Governments formula rent calculation for 2026/27. Based on this, the new average rent for 2026/27 will be £129.91pw, an increase of approximately £5.95pw from 2025/26 levels.

Other Associated Charges

9.59. There are a range of other associated charges. These include garage rents, tenants levy, hostels, Linkline, private sector leasing, heating, and hot water. These charges and any proposed changes to them for 2026/27 are set out in detail in Appendix X4 and Appendix X6.

Former Tenant Arrears Write Offs

9.60. The HRA self-financing of 2012 means that the Council now has considerably greater control over the long-term planning of its Housing Revenue Account, and this longer-term focus has allowed excellent progress to be made in delivering investment into new Council homes for the first time in 30 years.

9.61. As part of the annual review of the HRA and the setting of associated budgets, this long-term focus also requires officers to review both the assumptions that underpin long term plans and the operational performance of delivering that plan. In that regard it is important for officers to consider at this time the likelihood of recovering all of the income to which the Council is due.

9.62. The service has improved the way its income collection processes work and has addressed the majority of historic arrears cases. The percentage of rent collected for 2024/25 as at March 2025 was over 99% and at the latest update for 2025/26, approximately 99.4% had been collected at the end of December 2025. This high-income collection rate strengthens the performance of the HRA and enables greater levels of investment for both existing residents and to build the new Council homes Lewisham so desperately needs.

9.63. However, there remains a limited number of historic bad debt cases in which officers, despite exhausting all possible options, have been unable to collect. In total there are 28 such cases, which in total constitute outstanding arrears of £468,680.52 and relate to both temporary accommodation (General Fund)

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and HRA stock. Of the 28 cases, 20 cases of Former Tenants' Arrears totalling £346,896.56 relate to Temporary Accommodation stock and eight cases totalling £121,783.96 relate to HRA stock. A summary of these cases is set out at Appendix X5. It is proposed that these are now written off.

Summary

9.64. The gross budgeted expenditure for the HRA in 2026/27 is £275.73m, £127.02m revenue and £148.71m capital. Council is asked to approve a rent increase of 4.8%, having considered tenant's feedback following consultation held in December 2025. The current average weekly rent is £123.96 in 2025/26. This will increase to an average of £129.91pw in 2026/27.

10. Treasury Management Strategy 2026/27

10.1. The Council is required to operate a balanced budget, which broadly means that cash raised during the year will meet cash expenditure. Part of the treasury management operation is to ensure that this cash flow is adequately planned, with cash being available when it is needed. Surplus funds are invested in low-risk counterparties or instruments commensurate with the Council's low-risk appetite, providing adequate liquidity initially before considering investment return.

10.2. The second main function of the treasury management service is the funding of the Council's capital plans. These capital plans provide a guide to the borrowing need of the Council, essentially the longer-term cash flow planning, to ensure that the Council can meet its capital spending obligations. This management of longer-term cash may involve arranging long or short-term loans or using longer-term cash flow surpluses. On occasion, when it is prudent and economic, any debt previously drawn may be restructured to meet Council risk or cost objectives.

10.3. The contribution the treasury management function makes to the authority is critical, as the balance of debt and investment operations ensure liquidity and the ability to meet spending commitments as they fall due, either for day-to-day revenue purposes or for larger capital projects. Treasury operations will see a balance of the interest costs of debt and the investment income arising from cash deposits which affects the available budget. Since cash balances generally result from reserves and balances, it is paramount to ensure adequate security of the sums invested, as a loss of principal will in effect result in a loss to the General Fund balance.

10.4. Whilst any commercial initiatives or loans to third parties will impact on the treasury function, these activities are generally classed as non-treasury activities, arising usually from capital expenditure, and are separate from the day-to-day treasury management activities.

10.5. Chartered Institute of Public Finance and Accountancy (CIPFA) defines treasury management as:

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"The management of the local authority's borrowing, investments and cash flows, including its banking, money market and capital market transactions; the effective control of the risks associated with those activities; and the pursuit of optimum performance consistent with those risks."

10.6. Additionally, this report sets out the current economic conditions in which the Council is operating in respect of its investments and borrowing. It details the Council's treasury performance (focused on security, liquidity and return in that order) and forecast capital position and provides updates on performance against the current Treasury Management Strategy as required by the Chartered Institute of Public Finance and Accountancy (CIPFA) Treasury Management Code of Practice published on 20 December 2021.

10.7. During 2025/26 the Council did not exceed its Prudential or Treasury indicators, and it managed its investments in accordance with the treasury management guidelines.

10.8. This section of the report sets out the Treasury Management Strategy 2026/27 and is structured as follows:

- Capital Strategy;
- Capital Investment Plans 2026/27-2028/29 (including Prudential Indicators);
- Borrowing Strategy (including prudential indicators);
- Minimum Revenue Provision (MRP) Policy Statement;
- Investment Strategy and Creditworthiness Policy; and
- Training.

Treasury Management Strategy for 2026/27

10.9. The strategy for 2026/27 covers two main areas:

10.10. Capital issues:

- The capital expenditure plans and the associated prudential indicators, which are designed to assist members' overview and confirm capital expenditure plans are prudent, affordable and sustainable.
- The minimum revenue provision (MRP) policy.

10.11. Treasury management issues:

- The current treasury position;
- Prudential indicators which limit the treasury risk and activities of the Authority;
- Prospects for interest rates;
- The borrowing strategy;

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- Policy on borrowing in advance of need;
- Debt rescheduling;
- The investment strategy;
- Creditworthiness policy; and
- The policy on use of external service providers.

10.12. These elements cover the requirements of the Local Government Act 2003, Investment Guidance, MRP Guidance, the CIPFA Prudential Code and the CIPFA Treasury Management Code.

Capital Strategy

10.13. The CIPFA 2021 Prudential and treasury Management Codes require all local authorities to produce an annual Capital Strategy, which will provide the following:

10.14. A high-level long-term overview of how capital expenditure, capital financing and treasury management activity contribute to the provision of services;

10.15. An overview of how the associated risk is managed; and

10.16. The implications for future financial sustainability.

10.17. The aim of the strategy is to ensure that all elected Members on the full Council completely understand the overall long-term policy objectives and resulting Capital Strategy requirements, governance procedures and risk appetite.

10.18. The Capital Strategy is presented separately from the Treasury Management Strategy and will also cover the reporting of non-treasury investments. This ensures the separation of the core treasury function under security, liquidity and yield principles, and the policy and commercialism investments usually driven by expenditure on an asset. The Capital Strategy shows:

- The corporate governance arrangements for these types of activities;
- Any service objectives relating to the investments;
- The expected income, costs and resulting contribution;
- The debt related to the activity and the associated interest costs;
- For non-loan type investments, the cost against the current market value; and
- The risks associated with each activity.

Capital Investment Plans 2026/27 – 2028/29

10.19. The council's capital expenditure plans are the key driver of treasury

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management activity. The output of capital expenditure plans is reflected in the prudential indicators, which are designed to assist members' overview and confirm capital expenditure plans.

10.20. The treasury management function ensures that the Council's cash is organised in accordance with the relevant professional codes so that sufficient cash is available to meet service activity and the council's programme. This involves both the management and monitoring of cash flows and, where capital plans require, the arrangement of appropriate borrowing facilities.

Capital Expenditure and Financing

10.21. This prudential indicator is a summary of the Council's capital expenditure plans, both those agreed previously, and those forming part of this budget cycle. Members are asked to approve the capital expenditure forecasts:

10.22. Tables E1 and E2 below summarises the above capital expenditure plans and how these plans are being financed by capital and revenue resources. Any shortfall of resources results in a funding borrowing need.

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Table E1: Capital Expenditure Forecast

Capital Expenditure Forecast:	2024/25: Actual	2025/26: Forecast	2026/27: Estimate	2027/28: Estimate	2028/29: Estimate
	£m				
Resources	0.1	2.8	0.0	0.0	0.0
Communities	2.6	0.4	0.0	0.0	0.0
Children & Young People	5.9	11.4	7.5	0.9	0.0
Place	16.7	30.4	38.2	10.2	7.4
GF Housing	9.5	51.0	30.5	4.8	5.1
Total GF:	**34.8**	**96.0**	**76.2**	**15.9**	**12.5**
Building for Lewisham Programme - HRA	16.3	21.2	66.8	50.2	17.5
HRA Capital Programme (Inc. Decent Homes)	64.0	60.0	66.1	66.4	66.4
Housing Management System	0.8	0.2	0.3	0.0	0.0
Aids & Adaptions	0.5	0.5	0.7	0.7	0.7
HRA - Fleet Replacement Programme	0.0	0.0	0.7	3.1	1.3
HRA Allowances for Buybacks & Brockley PFI	0.0	0.0	2.8	4.0	7.0
Total HRA:	**81.6**	**81.9**	**137.4**	**124.4**	**92.9**
Total Capital Programme:	**116.4**	**177.9**	**213.6**	**140.3**	**105.4**

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Table E2: Capital Financing Forecast

Capital Financing Forecast:	2024/25: Actual	2025/26: Forecast	2026/27: Estimate	2027/28: Estimate	2028/29: Estimate
	£m				
General Fund:					
Capital Receipts	0.2	0.8	2.7	0.3	0
Capital Reserves	2.7	5.3	4	2	0.4
Section 106 & CIL	5.1	6.2	10.6	2.1	4
Corporate Reserves	2.7	7	6.1	7.2	2.8
Grants	16.9	48.5	28.4	0	0.7
Revenue Contribution	0	0.1	0.2	0	0
Right to By Receipts	1.1	0.6	0	0	0
Prudential Borrowing	6.1	27.5	24.2	4.3	4.6
Total General Fund:	**34.8**	**96.0**	**76.2**	**15.9**	**12.5**
HRA:					
Major Repairs Reserve	25.4	27.2	28.8	29.1	29.5
Revenue Contribution	0	29.9	4.4	3	1.3
Right to By Receipts	4.6	7.6	20.3	10.8	2.5
Grants	4.5	11.4	32.2	14.2	1.7
Section 106	0	0.7	0	0	0.7
Capital Receipts	4.6	5.1	1.1	10.4	3.7
Prudential Borrowing	42.5	0	50.6	56.9	53.5
Total HRA:	**81.6**	**81.9**	**137.4**	**124.4**	**92.9**
Total Capital Financing:	**116.4**	**177.9**	**213.6**	**140.3**	**105.4**

10.23. Other long-term liabilities - the above financing need excludes other long-term liabilities, such as PFI (Private Financing Initiative) and leasing arrangements that already include borrowing instruments.

The Council's Borrowing Need or CFR (Capital Financing Requirement)

10.24. The CFR is simply the total historic outstanding capital expenditure which has not yet been paid for from either revenue or capital resources. It is essentially a measure of the Council's indebtedness and so its underlying borrowing need. Any capital expenditure above, which has not immediately been paid for through a revenue or capital resource, will increase the CFR.

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10.25. The CFR does not increase indefinitely, as the Minimum Revenue Provision (MRP) is a statutory annual revenue charge which broadly reduces the indebtedness in line with each asset's life, and so charges the economic consumption of capital assets as they are used.

10.26. The CFR includes any other long-term liabilities (e.g., PFI schemes, leases). Whilst these increase the CFR, and therefore the council's borrowing requirement, these types of schemes include a borrowing facility by the PFI, PPP lease provider and so the council is not required to separately borrow for these schemes.

10.27. Forward projections for borrowing as at 31 March 2026 are summarised below in Table E3, which shows the actual external debt from treasury management operations and other long-term liabilities against the underlying capital borrowing need (the Capital Financing Requirement).

Table E3: External Debt Projections

	2025/26 Forecast	2026/27 Forecast	2027/28 Forecast	2028/29 Forecast	2029/30 Forecast
	£m				
External Debt at 1 April	207.90	232.90	255.60	301.90	342.10
Expected change in External Debt	25.00	22.70	46.30	40.20	6.00
PFI and other Long-Term Liabilities	173.10	155.60	142.90	130.10	117.40
Gross Debt at 31 March:	**406.00**	**411.20**	**444.80**	**472.20**	**465.50**
CFR - HRA	220.70	271.30	328.20	381.70	423.80
CFR - General Fund PFI and other Long-Term Liabilities	462.90	463.30	457.40	433.90	414.80
Total Capital Financing Requirement at 31 March:	683.60	734.60	785.60	815.60	838.60
Borrowing - Over/(Under):	**(252.60)**	**(298.40)**	**(315.80)**	**(318.40)**	**(348.10)**

Borrowing Strategy

10.28. The capital expenditure plans set out in Section 11 provide details of the service capital projects of the Council. The treasury management function ensures that the Council's cash is organised in accordance with the relevant professional codes, so that sufficient cash is available to meet this service activity and the Council's Capital Strategy.

10.29. The Council's external debt as at 31 March 2026 is expected to be circa

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£406.0m and made up of £188.6m PWLB loans, £44.3m LOBO loans plus £173.1m PFI and other long-term liabilities. The Council's borrowing strategy is consistent with last year's strategy.

10.30. The Council is currently maintaining an under-borrowed position. This means that the capital borrowing need, (the Capital Financing Requirement), has not been fully funded with loan debt as cash supporting the Council's reserves, balances and cash flow has been used as an alternative funding measure. This strategy is considered prudent while investment returns are lower than the cost of borrowing and counterparty risk remains an issue to be considered.

10.31. The Executive Director for Finance, Digital and Corporate Resources will continue to monitor interest rates in the financial markets and adopt a pragmatic and cautious approach to changing circumstances. For instance, if it was felt that there was a significant risk of a sharp fall in long and short-term rates then long-term borrowing will be postponed.

10.32. Alternatively, if it was felt that there was a significant risk of a much sharper rise in long- and short-term rates than that currently forecast (perhaps arising from an acceleration in rate of increase in central rates in the USA and UK, an increase in world economic activity or a sudden increase in inflation risks) then the portfolio position will be re-appraised. Most likely, fixed rate funding will be drawn whilst interest rates are lower than they are projected to be in future years.

Policy on Borrowing in Advance of Need

10.33. Members should note that the Council's policy is not to borrow more than or in advance of its needs purely in order to profit from the investment of the extra sums borrowed. Any decision to borrow in advance will be within the approved forward Capital Financing Requirement estimates and will be considered carefully to ensure that value for money can be demonstrated and that the Council can ensure the security of such funds.

Debt Rescheduling

10.34. Rescheduling of current borrowing in our debt portfolio is more likely to occur now that interest rates have risen to the same level as some of our current loans.

10.35. The reasons for any rescheduling to take place will include:

- The generation of cash savings and/or discounted cash flow savings;
- Helping to fulfil the Treasury Strategy; and
- Enhancing the balance of the portfolio (to amend the maturity profile and/or the balance of volatility).

10.36. The Council will continue to explore rescheduling opportunities as appropriate

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in respect of the financing of its PFIs and external loans.

10.37. The Council repaid a further Lenders Option Borrowers Option (LOBO) loan of £25m on 19 January 2026. The Council's LOBO loans are expected to be £44.3m as at 31 March 2026 (£90m as at 31 March 2025) of which £7.5m will be in their call period during 2026/27. In the event that the lender exercises the option to change the rate or terms of the loans within their call period, the Council will consider the terms being provided and will also the option of repayment of the loan without penalty.

10.38. Debt rescheduling opportunities will be monitored on a regular basis and if an opportunity arises to repay borrowing on favourable terms, then this will be considered by the Executive Director of Finance, Digital and Corporate Resources. Any debt rescheduling that takes place will be reported to Mayor and Cabinet and subsequently to Council at the earliest meeting possible.

Sources of Borrowing

10.39. The approved sources of long-term and short-term borrowing are:

1. HM Treasury's PWLB lending facility (formerly the Public Works Loan Board).
2. any institution approved for investments (see below).
3. any other bank or building society authorised to operate in the UK.
4. any other UK public sector body.
5. Public and private sector pension funds (except Lewisham Pension Fund).
6. UK Municipal Bonds Agency plc and other special purpose companies created to enable local authority bond issues.
7. National Wealth Fund formerly the UK Infrastructure Bank.
8. Insurance Companies.
9. investors in capital market bonds and retail bonds issued by the Council.
10. individuals lending via a peer-to-peer platform where appropriate Individuals lending via a peer-to-peer platform where any necessary counterparty checks are conducted by the platform. e.g. Community Municipal Investments.
11. investors in capital market bonds and retail bonds issued by the Council.

10.40. Other sources of debt finance: In addition, capital finance may be raised by the following methods that are not borrowing, but may be classed as other debt liabilities:

- Leasing,
- Hire purchase,
- Private Finance Initiative (PFI),

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- Sale and leaseback.

Treasury Indicators: Limits to Borrowing Activity

10.41. There are two measures of limiting external debt; the 'operational boundary' and 'authorised limit for external debt', which the Council reports on as part of its prudential indicators. Both are described in further detail in the following paragraphs.

The Operational Boundary

10.42. This is the limit beyond which external debt is not normally expected to exceed. In most cases, this would be a similar figure to the CFR but may be lower or higher depending on the levels of actual debt and the ability to fund under-borrowing by other cash resources. The Council's operational boundary is set out in Table E4 below.

10.43. IFRS 16 will came into effect in financial year 2025/26 and operating leases are now recognised on the balance sheet as debt liability. The lease finance is a form of debt, so it is included in other long-term liabilities.

Table E4: Operational Boundary

	2026/27:	2027/28:	2028/29:	2029/30:
	£m			
Debt	330.6	376.9	417.1	423.1
PFI and other Long-Term Liabilities	155.6	142.9	130.1	117.4
Operational Boundary:	**486.2**	**519.8**	**547.2**	**540.5**

The Authorised Limit for External Debt

10.44. This is a key prudential indicator represents a control on the maximum level of borrowing. This represents the legal limit beyond which external debt is prohibited, and this limit needs to be set or revised by Full Council. It reflects the level of external debt which, while not desired, could be afforded in the short term but is not sustainable in the longer term.

10.45. This is a statutory limit determined under Section 3(1) of the Local Government Act 2003 and needs to be set and revised by full Council. The Government retains an option to control either the total of all Councils' plans, or those of a specific Council, although this power has not yet been exercised. The authorised limits are as set out in Table E5 below.

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Table E5: Authorised Limits for External Debt

	2026/27: £m	2027/28: £m	2028/29: £m	2029/30: £m
Debt	363.7	414.6	458.8	465.4
PFI and other Long-Term Liabilities	155.6	142.9	130.1	117.4
Authorised Limit:	**519.3**	**557.5**	**588.9**	**582.8**

Ratio of Financing Costs to Net Revenue Stream

10.46. This indicator identifies the trend in the cost of capital, (borrowing and PFI and other long-term obligation costs), against the net revenue stream.

Table E6: Ratio of Financing Cots to Net Revenue Stream

	2024/25: Actual	2025/26: Estimate	2026/27: Estimate	2027/28: Estimate
Ratio of Financing Costs to Net Revenue Stream (including PFI interest and MRP costs)	15.40%	16.00%	18.10%	16.30%

Table E7: Ratio of Financing Costs to Net Revenue Stream (not including PFI interest)

	2024/25: Actual	2025/26: Estimate	2026/27: Estimate	2027/28: Estimate
Ratio of Financing Costs to Net Revenue Stream (excluding PFI interest and MRP costs)	4.30%	4.90%	6.20%	6.90%

10.47. A prudential indicator is required for the net income from commercial and service investments as a proportion of the net revenue stream.

10.48. The Council does not invest in commercial or service investments primarily for a return therefore there is nothing to report for this indicator.

Liability Benchmark

10.49. The Liability Benchmark (LB) is now a required treasury management prudential indicator under the CIPFA Treasury Management Code. It provides a forward-looking measure of a council's optimal level of external borrowing, based on its balance sheet resources and liquidity needs.

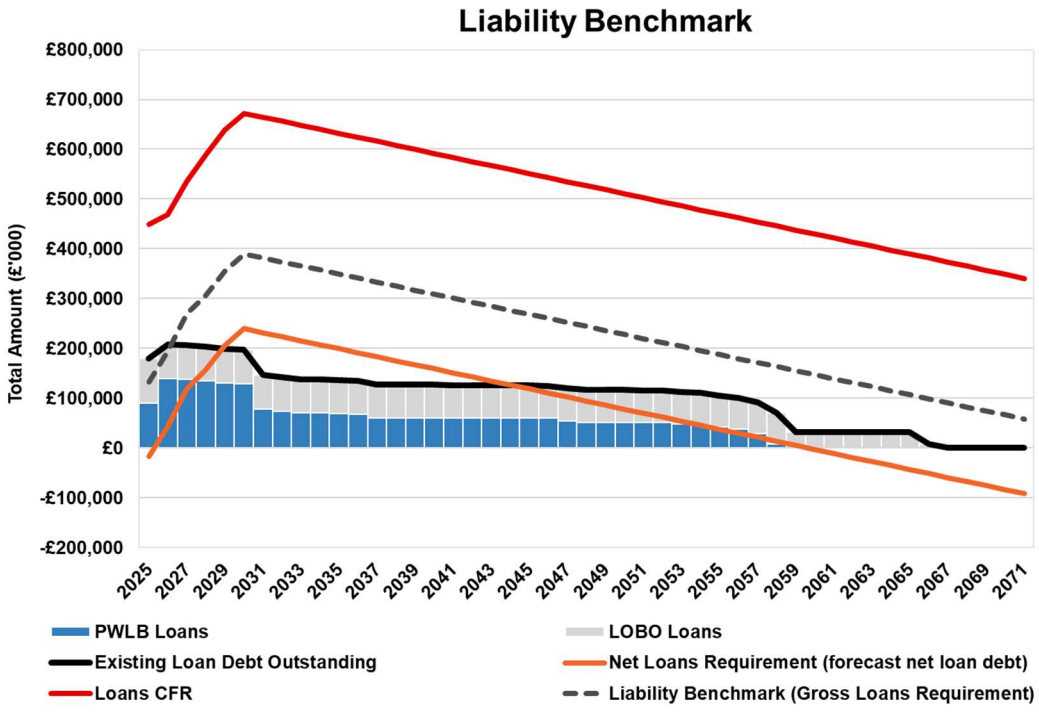
10.50. The Council is required to estimate and measure the Liability Benchmark for the forthcoming financial year and the following two financial years, as a minimum.

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10.51. There are four components to the LB:

- Existing loan debt outstanding: the Council's existing loans that are still outstanding in future years.
- Loans CFR: this is calculated in accordance with the loans CFR (Capital Financing Requirement) definition in the Prudential Code (CFR less other long-term liabilities) and projected into the future based on approved prudential borrowing and planned MRP.
- Net loans requirement: this will show the Council's gross loan debt at the last financial year-end, projected into the future and based on its approved prudential borrowing, planned MRP and any other major cash flows forecast.
- Liability benchmark (or gross loans requirement): this equals net loans requirement plus short-term liquidity allowance (the liquidity allowance is cash that is kept as working capital for day-to-day cash flow variations and has been set at £150m).

Chart E7: Liability Benchmark



10.52. Please note that only approved capital projects and approved prudential borrowing are include in Chart E7 above. Therefore, Chart E7 shows the Loans CFR (top red line) (CFR less other long-term liabilities) rises in the first three years for the approved prudential borrowing but does not account for future prudential borrowing capital projects.

10.53. The Liability Benchmark (dotted line) shows the borrowing need based on a

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net book approach, with the difference between the current borrowing portfolio (black line Existing Loan Debt Outstanding) and benchmarks the additional external borrowing required based on current forecasts.

10.54. The existing loans (grey and blue blocks) are repaid over time as the loans mature.

10.55. The Liability Benchmark is produced for the General Fund and for the Housing Revenue Account (HRA). These can be seen in Appendix Z7. The two liability benchmarks are shown separately because the General Fund and the HRA operate under different accounting rules, borrowing regimes, and policy objectives. This means each side of the council faces different long-term borrowing needs, cash flow patterns, and risk profiles; therefore they must have their own benchmark.

Borrowing Structure and Pooling Approach

10.56. The Council operates a two-pool borrowing structure, maintaining separate notional debt pools for the General Fund (GF) and the Housing Revenue Account (HRA). This approach ensures a transparent and equitable apportionment of borrowing costs between the two statutory funds and reflects sector endorsed good practice for managing HRA and General Fund debt independently.

10.57. A notional exercise is undertaken to allocate existing and future borrowing between the General Fund Pool and the HRA Pool, based on each fund's Capital Financing Requirement (CFR) and historic debt attribution.

10.58. Each pool carries its own share of debt, including its respective proportion of both historical and new borrowing.

10.59. Interest costs are charged separately to the General Fund and HRA, based on the characteristics of the loans within each pool, ensuring that neither fund subsidises the other.

10.60. This approach supports fairness, stability, and transparency in the allocation of borrowing costs. It also shields the HRA from changes in General Fund borrowing activity (and vice versa), helping to maintain a consistent Consolidated Rate of Interest (CRI) within each pool. This aligns with CIPFA endorsed principles for self-financing authorities and supports robust financial planning and compliance with prudential requirements.

10.61. Managing Borrowing Within Each Pool: New borrowing is allocated to the relevant pool based on the purpose of the capital expenditure it finances. Internal borrowing, where used, is also allocated separately between the two pools, ensuring clarity on under borrowing or over borrowing. Maturity profiles, refinancing decisions, and interest rate risk management are monitored and reported for each pool in line with the Prudential Code and the Council's wider treasury risk management framework.

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10.62. In terms of the rationale for the two-pool approach, the Council considers this approach to be the most appropriate model because:

- It provides a fair and transparent allocation of borrowing costs, ensuring the HRA bears only the debt attributable to housing assets.
- It promotes sound treasury decision making, avoiding cross subsidy and improving the integrity of business planning, particularly the 30-year HRA Business Plan.
- It is consistent with sector guidance, including CIPFA supported methodologies for separating debt between the General Fund and HRA.

10.63. The explicit inclusion of this arrangement within the Treasury Management Strategy is now deemed necessary for two further reasons. Firstly, due to the scale of current and forecast borrowing within the HRA as required for the delivery of its capital programme. Secondly, Government has also sought to encourage the delivery of new homes and housing investment through the introduction of a further 0.2% discount on the Public Works Loan Board (PWLB) borrowing rates but only where this borrowing is explicitly for housing purposes. The HRA concessionary rate is currently available until 31 March 2027.

10.64. The HRA took out new borrowing of £50m from the PWLB in April 2025 at the PWLB's concessionary HRA interest rate. The associated interest costs will be met by the HRA as part of its overall borrowing costs.

10.65. The Council has recorded this loan as being for HRA purposes and will allocate the related interest payments directly to the HRA. Any future borrowing undertaken by the HRA at the concessionary HRA rate will be recorded and treated in the same way.

Minimum Revenue Provision (MRP) Policy Statement

10.66. The Council is required to pay off an element of the accumulated General Fund capital spend each year (the Capital Finance Requirement - CFR) through a revenue charge (the MRP), although it is also allowed to undertake additional voluntary payments if required (Voluntary Revenue Provision – VRP). The MRP must be determined by the Council as being a prudent provision having regard to Capital Finance and Accounting Regulations 2003.

10.67. The MRP is the amount the Council charges to the revenue account and does not correspond to the actual amount of debt repaid, which is determined by treasury related issues. MRP is not charged on capital expenditure financed by borrowing until the year following the expenditure or the in the financial year following the one which the assets become available for use.

10.68. Historically the Council has applied a consistent MRP policy which comprises of previous borrowing being repaid at the rate of 4% (equivalent to 25 years) of the outstanding balance.

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10.69. In 2016/17, this policy was changed to reflect the useful lives of the specific asset classes on the Council's balance sheet. It moved to:

- A straight line MRP of 14% equivalent to seven years for plant and equipment (such as IT and vehicles); and
- A straight line MRP of 2.5% equivalent to forty years for property (such as land and buildings).

10.70. In 2019/20 the Council commissioned an independent review of its current MRP policy to ensure it is fit for current and future spending plans, as well as a review of historic calculations and a reconciliation to the CFR to identify any potential efficiencies. The review was undertaken by the Council's treasury advisors, MUFG Corporate Markets.

10.71. The Council implemented one of the recommendations from the report from 2019/20 onwards, specifically to adjust for an historic overcharging of MRP from 2003/04 as a result of a miscalculation in the 'Adjustment A' figure (an accounting adjustment designed to ensure minimal changes in liability when new capital financing regulations were introduced in 2003/04). The Prudential Code allows for MRP to be reduced appropriately, in line with an authority's own judgement, where Adjustment A reflects an error that increases the current MRP liability. As such, the Council reduced its ongoing liability by reducing its MRP charge to account for the higher Adjustment A figure, whilst additionally offsetting current and future years' MRP charges to recover the historic overcharging since 2003/04.

10.72. Under the MRP guidance, any charges made in excess of the statutory MRP can be made, known as voluntary revenue provision (VRP). Current VRP as at December 2025 is £nil.

10.73. There is no requirement on the HRA to make a minimum revenue provision but there is a requirement for a charge for depreciation to be made.

10.74. Capital expenditure incurred during the year will not be subject to an MRP charge until the year after the asset becomes operational.

10.75. MRP in respect of assets acquired under Leases or PFI will be charged at an amount equal to the principal element of the annual repayment.

10.76. For capital expenditure on loans to third parties where the principal element of the loan is being repaid in annual instalments, the capital receipts arising from the principal loan repayments will be used to reduce the CFR instead of MRP.

10.77. Capital Loans are covered in paras 71-78 of the new MRP Guidance and supported by the statutory instrument 2004/478 (The Local Authorities (Capital Finance and Accounting) (England) (Amendment) Regulations 2024). This recognises that an Authority could elect not to make MRP on service-related capital loans to 3rd parties. However, if an Expected Credit Loss (ECL) is recognised on that loan, MRP must be made for the ECL recognised in that financial year.

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Leases/PFI

10.78. The adoption of International Financial Reporting Standard 16 (IFRS16) has introduced a single lessee accounting model and requires a lessee to recognise assets and liabilities for all leases with a term of more than 12 months unless the underlying asset is low value.

10.79. When such lease contracts and the related assets and liabilities are brought onto the balance sheet, a local authority will increase its long-term liabilities and as a result this will increase the debt liability.

10.80. Regarding MRP in respect of assets acquired either under leases where a right-of-use asset is on the balance sheet or where on-balance sheet PFI contracts are in place, the prudent charge to revenue can be measured as being equal to the element of the rent/charge that goes to write down the balance sheet liability.

10.81. Where a lease (or part of a lease) or PFI contract is brought onto the balance sheet, having previously been accounted for off-balance sheet, the MRP requirement is regarded as having been met by the inclusion in the charge for the year in which the restatement occurs, of an amount equal to the write-down for that year plus retrospective writing down of the balance sheet liability that arises from the restatement.

Capital Loans

10.82. Regulation 27(4) allows a local authority to exclude capital loans that are financed by debt from the requirement to make MRP, provided the loan is not a commercial loan. A commercial loan is defined in regulation 27(5) as a loan from the authority to another entity for a purpose which, if the authority were to undertake itself, would be primarily for financial return; or, where the loan is itself, capital expenditure undertaken primarily for financial return. Local authorities must make MRP with respect to any debt used to finance a commercial capital loan.

10.83. A local authority may choose not to charge MRP in respect of the financing by debt of a loan issued by an authority to any person or body, where —

(a) the loan is treated as capital expenditure in accordance with regulation 25(1)(b),

(b) the loan is not a commercial loan, and

(c) the local authority has not recognised, in accordance with proper practices(c), any expected or actual credit loss in respect of that loan.

10.84. Example approach:

The Council has not issued capital loans that are categorised as commercial and therefore does not to apply MRP. However, in accordance too the current

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regulations if a provision for Expected Credit Loss is made then the council must pay the same amount of MRP.

Capital Receipts

10.85. For capital expenditure on loans to third parties where the principal element of the loan has been repaid in annual instalments, the capital receipts arising from the principal loan repayments will be used to reduce the CFR instead of MRP.

10.86. Where a loan is required to make principal repayments in a given year, but they fail to do so, MRP will be charged in line with the Council's MRP policy above.

Share Capital

10.87. Where an Authority incurs expenditure that is capitalised on or after April 2008, which is financed by borrowing for the acquisition of share capital, Regulation 25(1)(d) Acquisition of share capital sets out the maximum period for an authority to provide MRP of 20 years. The Council's policy is consistent with this.

Investment Strategy and Creditworthiness Policy

Investment Policy – Management of Risk

10.88. The Ministry of Housing, Communities and Local Government (MHCLG) and CIPFA have extended the meaning of 'investments' to include both financial and non-financial investments. This report deals predominantly with financial instruments (as managed by the Strategic Finance – Treasury Management Team); non-financial investments, essentially the purchase of income yielding assets, are summarised at the end of this report and covered in Investment Management Practices (IMPs) and within the separate Capital Strategy.

10.89. The Council's investment strategy has regard to MHCLG's Guidance on Local Government Investments ("the Guidance"), the CIPFA Treasury Management in Public Services Code of Practice ("the CIPFA TM Code"), and CIPFA's Treasury Management Guidance Notes 2021.

10.90. The Council's investment priorities will be security first, liquidity second, then return. The Council will aim to achieve the optimum return (yield) on its investments commensurate with proper levels of security and liquidity and with regard to the Council's risk appetite.

10.91. In the current economic climate it is considered appropriate to maintain a degree of liquidity to cover cash flow needs to meet the day-to-day needs of the Council and to meet its obligations. The Council invests its surplus cash in Money Market Funds. It makes investment for periods up to 12 months with high credit rated financial institutions.

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10.92. The Council uses MUFG Corporate Markets (MUFG) as its external treasury management advisor. The Council recognises that responsibility for treasury management decisions remains with the Council at all times and will ensure that undue reliance is not placed upon our external service providers. All decisions will be undertaken with regards to all available information including, but not solely, our treasury advisors.

10.93. It also recognises that there is value in employing external providers of treasury management services to acquire access to specialist skills and resources. The Council will ensure that the terms of their appointment and the methods by which their value will be assessed are properly agreed and documented and subjected to regular review.

10.94. The Guidance and CIPFA Treasury Management Code places a high priority on the management of risk. The Council has adopted a prudent approach to managing risk and defines its risk appetite by the following means:

- Minimum acceptable credit criteria are applied in order to generate a list of highly creditworthy counterparties which also enables diversification and thus avoidance of concentration risk. The key ratings used to monitor counterparties are the short term and long-term ratings.
- Other information; ratings will not be the sole determinant of the quality of an institution; it is important to continually assess and monitor the financial sector on both a micro and macro basis and in relation to the economic and political environments in which institutions operate. The assessment will also take account of information that reflects the opinion of the markets. To this end, the Council will engage with its advisors to maintain a monitor on market pricing such as “credit default swaps” and overlay that information on top of the credit ratings, as well as information on outlooks and watches. This is fully integrated into the credit methodology provided by the advisors in producing its colour codings which show the varying degrees of suggested institution creditworthiness. This has been set out in more detail at Appendix Z2.
- Other information sources used will include the financial press, share prices and other such information pertaining to the financial sector in order to establish the most robust scrutiny process on the suitability of potential investment counterparties.
- The Council has defined the list of types of investment instruments that the treasury team are authorised to use in the financial year, and these are listed in Appendix Z2 under the categories of “specified” and “non-specified” investments:
- Specified investments are those with a high level of credit quality and subject to a maturity limit of one year or have less than a year left to run to maturity, if originally, they were classified as being non-specified investments solely due to the maturity period exceeding one year; and

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- Non-specified investments are those with less high credit quality, may be for periods in excess of one year, and/or are more complex instruments which require greater consideration by Members and officers before being authorised for use.
- Lending limits (amounts and maturity) for each counterparty will be set through applying the credit criteria provided by advisors and are set out in Appendix Z2.
- The Council has placed a limit on the amount of its investments which are invested for longer than 365 days see Table E9.
- Investments will only be placed with counterparties from countries with a specified minimum sovereign rating (see Appendix Z5).
- All investments will be denominated in sterling.
- As a result of the change in accounting standards for 2023/24 under IFRS 9, this Authority will consider the implications of investment instruments which could result in an adverse movement in the value of the amount invested and resultant charges at the end of the year to the General Fund. The government has allowed an extension to the statutory override to 31 March 2029 for English local authorities who purchased pooled investments before 1 April 2014. It allows these authorities to disapply IFRS 9 fair value movements from the General Fund and instead record them in an unusable reserve, maintaining budget stability. The Council does not at present have any pooled investments, though has scope to do so as per the creditworthiness policy in Appendix Z2.

10.95. Investments will be made with reference to the core balances and cash flow requirements and the outlook for short-term interest rates (i.e. rates for investments up to 12 months). In order to maintain sufficient liquidity, the Council will seek to utilise its notice accounts, certificates of deposit, money market funds and short-dated deposits (overnight to three months). The remainder of its investments will be placed in fixed term deposits of up to 24 months to generate improved returns, depending on prevailing market conditions.

10.96. The Council will pursue value for money in treasury management and will monitor the yield from investment income against appropriate benchmarks for investment performance. Regular monitoring of investment performance will be carried out during the year.

Creditworthiness Policy

10.97. The Council's Treasury Management Team applies the creditworthiness service provided by the MUFG Corporate Markets. This service employs a sophisticated modelling approach utilising credit ratings from the three main credit rating agencies - Fitch, Moody's and Standard and Poor's. The credit ratings of counterparties are supplemented with the following overlays:

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- Credit “watches” and credit “outlooks” from credit rating agencies;
- CDS spreads that may give early warning of changes in credit ratings; and
- Sovereign ratings to select counterparties from only the most creditworthy countries.

10.98. This modelling approach combines credit ratings, credit watches and credit outlooks in a weighted scoring system which is then combined with an overlay of CDS spreads for which the end product is a series of colour coded bands which indicate the relative creditworthiness of counterparties. These colour codes are used by the Council to determine the suggested duration for investments. The Council will therefore use counterparties within the following durational bands:

- Yellow 5 years*
- Dark pink 5 years for Ultra-Short Dated Bond Funds with a credit score of 1.25
- Light pink 5 years for Ultra-Short Dated Bond Funds with a credit score of 1.5
- Purple 2 years
- Blue 1 year (only applies to nationalised or semi nationalised UK Banks)
- Orange 1 year
- Red 6 months
- Green 100 days
- No colour Not to be used**

*For UK Government debt or equivalent and collateralised deposits where the collateral is UK Government debt.

**Except for those building societies rated BBB- or higher as set out in the policy and LVNAVs (Low Volatility Net Asset Value) in Money Market Funds which will have a yellow colour.

Country Limits

10.99. The Council has determined that it will only use approved counterparties from the UK and from other countries with a minimum sovereign credit rating of AA- from Fitch. The list of countries that qualify using this credit criteria as at the date of this report are shown in Appendix Z5. This list will be added to, or deducted from, by officers should country ratings change in accordance with this policy.

Building Societies

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10.100. The Council can invest in UK building societies with a minimum credit rating of BBB- from Fitch (or equivalent), specifically those that are shown on MUFG's lending list only (but which may be rated 'No colour') for a maximum of three months and limited to £10m per institution.

10.101. Very few building societies have credit ratings assigned to them due to the lack of large ticket funding transactions that would warrant a formal credit rating being issued by one of the three main ratings agencies, and only a select few within the top ten by asset size have been issued with one. A credit rating of BBB- remains within the 'investment grade' category, subject to moderate credit risk, which is reflected by the monetary and duration limits as set out above.

10.102. This addition to the strategy was made as a result of economic conditions and the reduced options available for investing at positive yields; in practice it opens up a limited number of two-three additional counterparties for consideration. Officers will continue to monitor the rating movements against these counterparties to ensure that any investments fall within the set criteria.

Treasury Investment

10.103. Investment returns are likely to reduce during 2026/27 as interest rates continue to fall. Inflation has fallen to around 4% and is expected to continue to fall slowly over next 12 months but with some fluctuations. During 2025 the Bank of England reduced the Bank Rate four times with the last being in December to reduce the bank rate to 3.75%. We have seen the investment market rates fall in line with the Bank of England and we can expect further cuts in 2026/27. The war in Ukraine and the conflict in the Middle East continues to cause uncertainty in the financial markets. It also causes economic damage to the UK and economies around the world with increased oil, gas and raw materials prices.

10.104. The Council uses the services of its treasury management advisors the MUFG Corporate Markets.

10.105. The MUFG Corporate Market's view on interest rates is that there will be a gradual fall in the Bank Rate during 2026/27 and into 2027/28. The UK economic is expected to grow very slowly over the next few years. Given this uncertainty, suggested fixed investment returns are expected to fall and money market funds for short term cash investment will provide lower returns.

10.106. In light of uncertainty in the market the Council will continues to invest in fixed term deposits of 3-to-12-month duration. The Council will continue to look for investments up to 12 months so that it can fix into a good rate of return as the interest rates are expected to continue to fall in 2026/27.

10.107. The Council's investments will be reviewed on a regular basis so that it can monitor the Council's liquidity requirements and the requirement for cash towards the capital programme. The capital programme is expected to require funding from the Council as set out in Capital Funding in section 6 of this

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report. The Council can use the cash from its investments or take out new borrowing to fund the capital programme. Any new investments will be carried out using guidance from the Council's advisors and will continue to meet the objectives of security, liquidity and return.

10.108. Money Market Fund (MMF) yields are expected to continue to fall in line with the decreases in the Bank of England base rate during 2026/27. The cash held in the MMF for cash flow purposes can still earn a good return, but it is expected to provide a smaller return for the council in 2026/27.

10.109. A more extensive table of interest rate forecasts for December 2025 onwards, including Public Works Loan Board (PWLB) borrowing rate forecasts, is set out in Appendix Z1.

Non-Treasury Investments

10.110. Treasury management investments represent the placement of cash in relation to the S12 Local Government Act 2003 investment powers, i.e. they represent investments using the residual cash available to the Council from its day-to-day activities, under security, liquidity and yield principles.

10.111. The Council recognises that non-treasury investments in other financial assets and property primarily for financial return, taken for non-treasury management purposes, requires careful management. It is also included in the Investment Management Practises. Such investments tend to be either:

- Service type investments; whereby capital or revenue cash is advanced for a specific Council objective and will be approved directly through Committee. This may be an advance to a third party for economic regeneration, investments in subsidiaries and joint ventures, etc.
- Commercial type investments; whereby the objective is primarily to generate capital or revenue resources to help facilitate Council services. The Code of Practice does not allow this type of investment.*

*The Council will not be making investments primarily for a financial return.

The Council's risk appetite for these investments is reviewed on a case-by-case basis depending on the scale and nature, and strategic fit, of the proposed investment. Where such non-treasury investments exist, they will be identified and summarised at high level within this strategy. The detail and rationale for non-treasury investments are covered in the separate Capital Strategy.

Subsidiary Companies and Joint Ventures

10.112. The Council has two wholly owned subsidiary companies, Lewisham Homes Limited and Catford Regeneration Partnership Limited (CRPL). It has invested in these subsidiaries as summarised below.

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Lewisham Homes Limited

10.113. Lewisham Homes was an arms-length management organisation (ALMO) set up in 2007 as part of the Council's initiative to deliver better housing services and achieve the Decent Homes Standard.

10.114. On 1 October 2023 Lewisham Homes was taken back into the Council. The management of the approximately 19,000 homes is now carried out by the Council. The Council has to date agreed two separate loan facilities with Lewisham Homes Ltd, the first on commercial terms financed from internal borrowing and the second on cost-neutral terms financed through the PWLB. Both loans will continue to be serviced by Lewisham Homes Ltd.

10.115. As at 31 March 2026, the commercial loan to Lewisham Homes is expected to remain at £40m.

Catford Regeneration Partnership Limited (CRPL)

10.116. The CRPL is a property investment company created in January 2010 which owns the Catford Shopping Centre and several neighbouring properties used to generate income whilst driving forward a regeneration programme for the town centre and surrounding area.

10.117. The Council has existing loan agreements in place with the CRPL, and it has agreed to charge interest only for the next five years with options for CRPL to make repayments depending on their cashflow. The interest will be capitalised to the loan during this period. As at 31 March 2026 the Council expects the outstanding loan principal to be approximately £17.6m.

10.118. At the 31 March 2026 the value of the loan principal may be higher than the value of the CRPL properties held as security against the loan. If this is the case the council will make a provision against any potential losses, and this is called an Expected Credit Loss. This will be a charge to the General Fund, and the amount will be assessed at the year-end. The Council's regular CRPL shareholder update reports to Mayor and Cabinet provide more details of the loan.

Besson Street Joint Venture

10.119. The Council is an equal equity partner in a joint venture with Grainger Plc. to bring forward the development of the currently vacant Besson Street site to provide properties for the Private Rented Sector on long term tenancies. The Council has invested land at this stage and will be required to put forward 50% of the borrowing during the development phase, which is currently forecast to be in 2027/28 (February 2028).

10.120. At the operational stage, currently forecast as 2030/31, each partner will be responsible for providing half of the funding. For the Council, this will be made up of 20% equity (£27-£30m) and 30% of external borrowing (£41-£44m). The scheme is proposing to increase from the original plan of 324

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homes to 378 homes, of which 35% will be affordable homes.

Performance as at 30 September 2025

10.121. The Council is a member of a treasury benchmarking group (organised by MUFG Corporate Markets containing 13 authorities, including 10 other London authorities. An extract from the latest available benchmarking report is shown in Appendix Z3; this shows that the return on investments as at September 2025 is above the benchmarking group model weighted average rate of return, which is adjusted for the risks inherent in the portfolio. The Council's portfolio performance is ahead of the overall benchmarking group, as well as a wider group of 19 London boroughs.

Table E8: Investments Held as at 31 December 2025

Counterparty:	Duration (Days):	Value (£m):	Interest Rate:	Interest (£):
Fixed Rate Investments – Banks and Building Societies				
Landesbank Hessen-Thueringen Girozentrale	184	15	4.15%	313,808
Goldman Sachs International Bank	186	10	4.17%	212,499
Australia and New Zealand Banking Group	277	5	4.36%	165,441
DBS Bank Ltd.	182	10	4.16%	207,430
Australia and New Zealand Banking Group	182	5	4.20%	104,712
National Bank of Canada	276	10	4.14%	313,052
DBS Bank Ltd.	364	15	4.20%	628,274
Toronto-Dominion Bank	364	10	4.34%	432,811
National Bank of Canada	364	15	4.30%	643,233
Australia and New Zealand Banking Group	273	10	4.16%	311,145
Standard Chartered Bank	364	25	4.13%	1,029,671
Canadian Imperial Bank of Commerce	364	10	4.05%	403,890

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Counterparty:	Duration (Days):	Value (£m):	Interest Rate:	Interest (£):
Certificates of Deposit				
Toronto-Dominion Bank	363	15	4.76%	712,044
Lloyds Bank Corporate Markets	364	10	4.52%	450,762
Local Authorities				
London Borough of Hillingdon	273	15	4.30%	482,285
Variable Rate Investments – Money Markets				
Aberdeen	N/A	10.1	3.91%	Variable
Federated Hermes	N/A	27.2	3.92%	Variable
Total Investments (£m):		**217.3**		

10.122. The current investment counterparty criteria is set out in the Credit Worthiness Policy and included at Appendix Z2 of this report.

Long Term Investments

10.123. This table sets a limit on the total principal funds invested for greater than 365 days. This limit is set with regard to the Council's liquidity requirements and to manage the risks associated with the possibility of loss which may arise as a result of having to seek early repayment, or redemption of, principal sums invested.

10.124. As at 31 March 2026, the Council is not expected to hold any investments for longer than 365 days.

Table E9: Long Term Investments

Maximum Principal Sums Invested for Longer than 365 days			
	2026/27	2027/28	2028/29
	£m	£m	£m
Limit on principal sums invested for longer than 365 days	50	50	50

Training

10.125. The CIPFA Treasury Management Code requires the responsible officer to ensure that members with responsibility for treasury management receive adequate training in treasury management. This especially applies to members responsible for scrutiny.

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10.126. The Public Accounts Select Committee scrutinises Treasury Management.

10.127. The Code state that they expect “all organisations to have a formal and comprehensive knowledge and skills or training policy for the effective acquisition and retention of treasury management knowledge and skills for those responsible for management, delivery, governance and decision making.

10.128. The scale and nature of this will depend on the size and complexity of the organisation’s treasury management needs. Organisations should consider how to assess whether treasury management staff and board/ council members have the required knowledge and skills to undertake their roles and whether they have been able to maintain those skills and keep them up to date.

10.129. As a minimum, authorities should carry out the following to monitor and review knowledge and skills:

- Record attendance at training and ensure action is taken where poor attendance is identified.
- Prepare tailored learning plans for treasury management officers and board/council members.
- Have regular communication with officers and board/council members, encouraging them to highlight training needs on an ongoing basis.

10.130. The training needs of treasury management officers are reviewed regularly. Officers attend regular Treasury Management training and events such as the Senior Officer Treasury Group and the London Treasury Officers Forum.

10.131. Officers also keep up to date with the financial press, Bank of England monitory committee, investment dealers, MUFG’s updates and many other current affairs information, worldwide and UK that is not only financial but also social, political and economic. Officers and finance trainees attended MUFG’s ‘Introduction to Treasury Management’ on 15 and 16 October 2025.

10.132. Here is a list of some of the training events attended by officers in 2025:

- 10 March 2025 – MUFG Quarterly Strategic meeting
- 24 March 2025 – MUFG Strategic Treasury Issues Webinar
- 29 April 2025 - London Treasury Officers Forum
- 4 June 2025 – MUFG An Introduction to Treasury Management Activity: The Backdrop
- 5 June 2025 – MUFG An Introduction to Treasury Management Activity: Investment and Debt Considerations

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- 16 June 2025 – MUFG Quarterly Strategic meeting
- 16 September 2025 – MUFG Quarterly Strategic meeting
- 24 September 2025 – MUFG Strategic Treasury Issues Webinar
- 15 and 16 October 2025 - MUFG Introduction to Treasury Management
- 16 October 2025 - London Treasury Officers Forum
- 25 October 2025 - MUFG Treasury Management Strategy Statement Webinar
- 8 December 2025 - MUFG Quarterly Strategic meeting

10.133. The following training has been undertaken by members of Public Accounts Select Committee;

- 20 November 2025 – MUFG 'Introduction to Treasury Management'
- Continued reading of financial news and economic reports.

11. Capital Programme

11.1. This section of the report sets out the construction of the Capital Programme and is structured as follows:

- Update on the 2025/26 Capital Programme;
- Proposed Capital Programme 2026/27 to 2029/30; and
- Proposed Financing 2026/27 to 2029/30.

Update on the 2025/26 Capital Programme

11.2. Progress in delivering the 2025/26 Capital Programme has been reported to Mayor and Cabinet and the Public Accounts Select Committee throughout the year. The latest position reported to Mayor and Cabinet was as part of the P6 Budget Monitoring Report which went to Mayor and Cabinet in December 2025.

11.3. In October a re-profiling exercise was undertaken to allow project managers to align the budget profiles to the latest cash flow projections. There have also been several projects either added to the programme, removed from the programme or that have their budget allocation increased or reduced. The outcome of this exercise was a net reduction to the programme of £7.8m and a reduction to the 2025/26 budget of £23.4m. The updated Capital Programme can be seen in Tables F1 and F2.

11.4. The revised Capital Programme budget allocation for the year 2025/26 is now £177.88m, of which £95.97m relates to GF schemes and £81.91m to HRA schemes. The revised 2025/26 Capital Programme is summarised in Table F1 and the financing for the revised 2025/26 Capital Programme is summarised in Table F2.

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Table F1: Current Position of the 2025/26 Capital Programme

Directorate:	Category:	2025/26 Budget:	Spend to 31 Dec 2025:
		£m	
General Fund:			
COR	ICT - Tech Refresh	2.79	0.00
ASC	LinkLine Hardware Purchase	0.37	0.00
CYP	Education Services - School Places Programme	6.41	3.45
CYP	Education Services - School Minor Works Programme	4.66	3.47
CYP	Children's Social Care	0.08	0.03
CYP	Families, Quality and Commissioning - Youth Service	0.13	0.12
CYP	Myatt Garden RAAC	0.00	0.00
CYP	CSC Specialist Accommodation	0.14	0.08
PLA	Parks, Sports and Leisure	1.19	0.53
PLA	Safer Communities	0.10	0.00
PLA	Highways & Bridges – TfL	2.81	1.70
PLA	Highways & Bridges – LBL	7.44	5.42
PLA	Parking	0.30	0.23
PLA	Asset Management Programme	2.00	0.64
PLA	Corporate Estates Maintenance Programme	3.43	1.30
PLA	Strategic Regeneration - Catford Programme	2.47	2.47
PLA	Planning	0.01	0.00
PLA	Environmental Health	0.04	0.03
PLA	LUF Programme - Cultural Hub	2.50	0.65
PLA	LUF Programme - Public Realm	7.17	2.90
PLA	Simpler Recycling	0.88	0.02
PLA	Surrey Canal Station	0.00	0.00
HOU	General Fund Housing	48.42	35.84
HOU	Hostel Refurbishment Programme	0.20	0.00
HOU	Housing Services	2.44	1.73
	Total General Fund:	**95.97**	**60.58**
HRA:			

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Directorate:	Category:	2025/26 Budget:	Spend to 31 Dec 2025:
		£m	
HRA	Building for Lewisham Programme - HRA	21.18	3.26
HRA	HRA Capital Programme (Inc. Decent Homes)	60.00	18.94
HRA	Housing Management System	0.23	0.05
HRA	Aids & Adaptations	0.50	0.43
HRA	HRA Allowances for Buybacks & Brockley PFI	0.00	0.03
	Total HRA:	**81.91**	**22.71**
	Total Capital Programme:	**177.88**	**83.29**

Table F2: 2025/26 Capital Programme Financing

Financing Source:	2025/26:
	£m
General Fund:	
Capital Receipts	0.81
Capital Reserves	5.35
CIL	2.13
Corporate Reserves	6.99
Grants	50.43
Prudential Borrowing	25.65
Revenue Contribution	0.08
RTB Receipts	0.60
Section 106	3.96
Total General Fund:	**95.97**
HRA:	
Major Repairs Reserve	27.20
Revenue Contribution	29.85
RTB Receipts	7.64
Grants	11.42
Section 106	0.69
Capital Receipts	5.10
Prudential Borrowing	0.00
Total HRA:	**81.91**
Total Capital Programme:	**177.88**

11.5. The current in-year expenditure across all projects is £83.29m or 48% of budget. If spend is consistent across the year, we would expect spend at Period 9 to be 75%. There are various reasons why spend is usually below the expected value such as delays receiving invoices from suppliers and

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certain projects with large current years budgets, where the spend is forecast to be spent later in the year.

11.6. It is important to note that of the current General Fund programme for 2025/26, more than half of the programme is funded by grants, Section 106 and CIL contributions. This therefore very much dictates in large part the scale and direction of the General Fund programme, and there is often very little or no discretion to alter this. Those schemes which are funded solely by reserves, receipts, revenue or borrowing are the schemes where the Council has fuller discretion over the project, but these are in the minority.

Proposed Capital Programme 2026/27 to 2029/30

11.7. The proposed Capital Programme budget for the General Fund and Housing Revenue Account for the four years from 2026/27 to 2029/30 is £539.25m. This is split into £109.96m for the General Fund and £429.30m for the Housing Revenue Account. Of this programme £213.61m is allocated into 2026/27 with £76.20m within the General Fund and £137.41m within the Housing Revenue Account. This is detailed in Table F3.

Table F3: Proposed Capital Programme 2026/27 to 2029/30

	2026/27:	2027/28:	2028/29:	2029/30:	Total:
	£m				
General Fund:					
Directorate of Children & Young People:					
Education Services - School Places Programme	4.00	0.48	0.00	0.00	4.48
Education Services - School Minor Works Programme	2.41	0.37	0.00	0.00	2.78
Children's Social Care	0.05	0.00	0.00	0.00	0.05
Families, Quality and Commissioning - Youth Service	0.07	0.00	0.00	0.00	0.07
Myatt Garden RAAC	0.10	0.00	0.00	0.00	0.10
CSC Specialist Accommodation	0.84	0.02	0.00	0.00	0.86
Total CYP:	**7.46**	**0.87**	**0.00**	**0.00**	**8.33**
Directorate of Place:					
Parks, Sports and Leisure	3.14	0.00	0.00	0.00	3.14
Highways & Bridges – TfL	0.00	0.00	0.00	0.00	0.00
Highways & Bridges – LBL	5.12	2.82	0.54	0.00	8.48
Parking	0.00	0.00	0.00	0.00	0.00

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	2026/27:	2027/28:	2028/29:	2029/30:	Total:
	£m				
Asset Management Programme	11.60	0.42	0.00	0.00	12.01
Corporate Estates Maintenance Programme	1.04	0.00	0.00	0.00	1.04
Strategic Regeneration - Catford Programme	2.49	1.00	4.14	0.00	7.63
Planning	0.00	0.00	0.00	0.00	0.00
Environmental Health	0.06	0.00	0.00	0.00	0.06
LUF Programme - Cultural Hub	4.40	0.51	0.00	0.00	4.91
LUF Programme - Public Realm	5.71	0.00	0.00	0.00	5.71
Simpler Recycling	0.31	0.00	0.00	0.00	0.31
Surrey Canal Station	2.00	0.00	0.00	0.00	2.00
GF - Fleet Replacement Programme	2.38	5.46	2.84	5.36	16.03
Total PLA:	**38.24**	**10.21**	**7.51**	**5.36**	**61.32**
Directorate of Housing:					
General Fund Housing	27.13	4.30	4.62	0.00	36.06
Hostel Refurbishment Programme	1.86	0.00	0.00	0.00	1.86
Housing Services	1.51	0.50	0.38	0.00	2.39
Total HOU:	**30.50**	**4.80**	**5.00**	**0.00**	**40.31**
Total General Fund:	**76.20**	**15.89**	**12.52**	**5.36**	**109.96**
HRA:					
Building for Lewisham Programme - HRA	66.86	50.22	17.47	0.00	134.55
HRA Capital Programme (Inc. Decent Homes)	66.10	66.40	66.40	66.50	265.40
Housing Management System	0.30	0.00	0.00	0.00	0.30
Aids & Adaptations	0.70	0.70	0.70	0.80	2.90
HRA - Fleet Replacement Programme	0.65	3.08	1.30	0.31	5.35
HRA Allowances for Buybacks & Brockley PFI	2.80	4.00	7.00	7.00	20.80
Total HRA:	**137.41**	**124.40**	**92.87**	**74.61**	**429.30**
Total Capital Programme:	**213.61**	**140.29**	**105.39**	**79.97**	**539.25**

11.8. Key programme highlights: The sub section below sets out further details on some of the major capital projects / programmes in the Capital Programme by directorate.

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Adult Social Care

11.9. There are no budgets committed from 2026/27 onwards, however, a number of workstreams are in development to scope future capital requirements. There are capital commitments being made under the Corporate Estate Maintenance Programme, referred to below, which are delivering improvements to assets which serve Adult Social Care service users.

11.10. New workstreams are particularly focussed asset modernisation to improve the quality of care, with particular review of daycare services, and work to identify new opportunities for housing typologies which serve specialist requirements.

Children and Young People (CYP)

11.11. School Places Programme:

The focus of this programme is now on provision of Special Educational Needs and Disabilities places across the borough. A programme of work is ongoing to incorporate SEND 'Resource Bases' into several mainstream schools with the latest being Deptford Park School and the permanent Watergate expansion project is currently onsite with works due to finish in June 2026.

11.12. School Minor Capital Works Programme:

The School Minor Works Programme is an annual programme of urgent capital infrastructure projects carried out across the borough's school estate. Works are due to take place at twenty different school sites this year and include roof replacements; drainage works; heating and hot water system upgrades; carbon reduction measures, and toilet refurbishment. There is a budget of £2.8m in 2026/27 which is for prior year projects that yet to be completed (including retention), and a new programme of works for 2026 will be developed early in the New Year.

11.13. Children Social Care (Specialised Accommodation):

The Children Social Care service have a launched a specialist housing programme which seeks to refurbish and convert a number of old premises officers' houses into specialist housing units to support the service as a cost avoidance measure. This is supported by grant from central government but has a council capital contribution of £0.8m in the current programme.

Place

11.14. Highways Programme:

The Transport and Highways programme includes a range of public realm, highways improvement projects and climate action projects, which form part of the Council's annual capital programme. The programme is predominantly

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funded by the TfL LIP allocation, Highways and Bridges Capital Programme, Lewisham Climate Action Investment, and Section 106 contributions. In total there is an approved budget of £5.1m for resurfacing and footway improvement works for 2026/27. £2.5m is funded using the Council's Capital Reserves and £2.6m is funded using Section 106. The TfL LIP allocation for 2026/27 is not yet known and therefore not included in the Capital Programme, however this has been assumed as c£2.5m annually in the Capital Strategy in Appendix W1 and will be added to the Capital Programme once confirmed.

11.15. Fleet Replacement:

The Council's fleet plays an important role is supporting the delivery of essential services to residents. While the fleet function for LBL sits within Street Environment Service (SES), it is utilised by different directorates and teams for the procurement, maintenance, and management of operational vehicles. A review of all services' fleet requirements has been undertaken to ensure service requirements are being planned for. This review has reflected legislative changes and a plan to 2030 has been established that aims to proactively manage a transition towards a more sustainable, low-emission fleet. This investment plan has been approved by Mayor and Cabinet.

11.16. Corporate Estate Maintenance Programme:

The CEMP is an ongoing programme of work to deliver essential maintenance in the Council's corporate estate. To date, the programme has refurbished 35 sites through small packages of work in 7 phases across the portfolio with works based on 2019 condition survey data and prioritisation.

A new condition survey in 2025/26 will provide a more accurate and detailed technical picture of the condition and highlight estate wide opportunities for investment. It will also provide more robust and comprehensive data so that opportunities can be identified for investment with the net zero ambition in mind. The survey will ensure that the programme from 2026 forwards will be proactive with a key focus on decarbonisation and transformation to meet service need.

Assets included in the CEMP are constantly under review, in parallel to the Asset Review, to ensure the limited budget is spent in the most effective way. The CEMP continues to be delivered in parallel to the Asset Review, helping to define future investment need of the estate.

11.17. Catford Town Centre (Phase 1):

Thomas Lane Yard now forms part of the Building for Lewisham programme. It secured a c.£500k budget from the Housing Revenue Account to progress designs, and a Planning Application was approved at Committee in April. The former Catford Constitutional Club completed in late 2025 and the building has been handed over to the operator. Separately, the council has Section 106 funding to deliver improvement works between Catford stations with an

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estimated budget of £1.4m over the period. Works on this scheme will commence in 2026.

The Catford A205 road re-alignment scheme continues to be progressed by TfL. Planning permission was secured in 2025. Delivery of the scheme is still reliant on additional investment to the £10m of Housing Infrastructure Funding (HIF) and £3.8m of CIL secured by the Council. The TfL business plan publication is awaited. Further scheme spend will be reviewed pending the business plan outcome.

Work to review the Council's estate in Catford is ongoing.

11.18. Lewisham Town Centre Improvement Programme:

The Council's improvement programme for Lewisham Town Centre consists of projects that will see investment in the public realm, Lewisham market and the library. A series of public realm improvements have now been completed, and construction works have begun on the library. Procurement for the delivery of the market canopy is ongoing with construction to commence in 2026.

Lewisham Library is being renovated to create a new Library, Culture and Business Hub - safeguarding the future of this vital local service. As well as books and improved study spaces, the refurbished library will also include new community spaces, meeting rooms and workspaces for local businesses and students. There will also be a new café and hospitality offer.

The library closed temporarily in September 2023 so works can take place. Construction is expected to reopen to the public in late 2026.

Lewisham's historic market will be transformed to support local traders, encourage visitors a more inclusive space. Plans include a new layout with improved stalls and a permanent market house and canopy, meaning more trading capacity and creating opportunities for pop-ups and evening events. The Council is also refurbishing the Grade II listed Clock Tower and improving the area surrounding the market, so it has better lighting and pavements, plus more trees and planting.

General Fund Housing

11.19. Housing Services - Disabled Facilities Grant (DFG):

The DFG is a capital grant contributing to the cost of home adaptations, to enable eligible disabled people to continue living safely and independently. The project currently has a budget of approximately £1m over the MTFS period. The DFG allocation for 2026/27 is not yet known and therefore not included in the Capital Programme, however this has been assumed as c£1.5m annually in the Capital Strategy in Appendix W1 and will be added to the Capital Programme once confirmed.

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11.20. Housing Acquisition Programme:

The General Fund housing scheme delivers temporary accommodation for the Building for Lewisham Programme and facilitates regeneration schemes through land assembly. A new scheme was approved by Cabinet in March 2023, to purchase up to 300 properties for temporary accommodation to deal with pressures in the service. By end 2025, this scheme had completed over 200 acquisitions.

11.21. Hostel accommodation:

In March 2025, the Regeneration and Capital Programme Delivery Board granted approval to seek funding from the general fund to deliver refurbishments and improvements at Hamilton Lodge to ensure it is compliant, safe and fit for habitation offering decent accommodation for residents.

A programme of repair and maintenance and regularisation of planning status is now being developed to commence in 2026, which will secure the buildings continued use.

A wider review of investment requirements in General Fund hostel accommodation is ongoing with sinking fund provisions being made to enable future capital investment need.

HRA

11.22. Building for Lewisham (BFL):

The BfL programme has been in delivery since 2018 and continues to deliver much needed housing supply for those on the Council housing register. The programme has adapted over recent years to reflect the challenging conditions for the delivery of new affordable homes. Alongside the partners and Registered Providers (RPs), this programme delivers against the 800 genuinely affordable homes target held by the Council. Schemes at Bampton and Algernon, are expected to complete in early 2026. The Thomas Lane Yard scheme has achieved planning consent, and likewise, the Achilles Estate scheme secured consent in December 2025. The Council has issued an invitation to tender for a 10-year strategic partnership to deliver large scale projects starting with Thomas Lane Yard and Achilles. The contractors for Ladywell Park Garden and Mayfield have been appointed, and both schemes will start on site early in 2026.

As part of the programme's mixed economy risk management approach, Mayor and Cabinet authorised the acquisition of two land-led developments at Willow Way and Parker House and of the Section 106 homes in Apollo Business Centre scheme. However, a sign of the ongoing volatility in the market, the contractor at New Cross Road unilaterally terminated their contract and the developer at Parker House lost their option to develop the site and the Council is assessing alterative options to bring the site forward. The Council continues to proactively engage with the GLA and MHCLG, to

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maximise grant funding and reduce borrowing within the programme.

11.23. HRA Capital Programme (Inc. Decent Homes):

This budget is for works to ensure council owned stock is brought up to and maintained to a decent level, covering both internal and external works. This includes works for damp and disrepair, building safety, refurbishment, and others.

The 2026-2031 draft major works capital investment programme has been significantly influenced by the stock condition survey and the challenges and emphasis of legislation on Building safety, decent homes and compliance including Housing Health and Safety Rating system (HHSRS) assessments. The emphasis for the period 2026/2031 will be to improve the weather tightness and comfort of Lewisham's homes. The prioritisation of window and roofing works will support the significant revenue challenges of the Housing Revenue Account and reduce over time the demands on the responsive repairs service. The service is also seeking to resolve HHSRS category one hazards which will support an improvement in the proportion of council homes achieving the decent homes standard. Building safety works and energy efficiency works will also feature strongly in the 2026/2031 period. The stock condition survey identified a sharp increase in the number of components such as kitchens and bathrooms which will require replacement 2030-2035 and annual reviews of the capital programme will refine the programmes as the short-term programme is delivered.

To comply with the Consumer Standards from the Regulator of Social Housing the service will need to update its stock condition survey every 5 years. The service intends to carry this out through an annual rolling programme ideally using an inhouse team to support efficiencies.

Please note that the major works capital programme has a requirement to appoint a principal designer for all building works. The Council in some cases will act as principal designer however in more cases the council will be appointing a contractor.

More detail on the HRA capital programme can be found within the HRA section of this report in Section 9 and the HRA Business Plan (Appendix X7).

11.24. The HRA figures in the above table differ from the figures presented in Section 9 and in the HRA Business Plan (Appendix X7). This is because the above table only includes schemes that have been approved by Mayor and Cabinet, whereas section x includes both approved development schemes and unapproved pipeline development schemes.

11.25. The assumptions used within the BFL programme, are consistently reviewed. Any change to the assumptions may drive the need to revise programme parameters and if this in turn affects the budget, then this will formally come back to Mayor and Cabinet for approval.

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11.26. Although the value of the overall Capital Programme will remain largely the same, it is subject to change for various reasons:

- New schemes may be agreed and added to the programme throughout the remainder of 2025/26 and into future years, reflecting the work of ongoing capital re prioritisation.
- The General Fund Capital Programme will need to adapt to reflect the priorities of the corporate strategy and the pressures of the Council's building stock condition.
- Some schemes may no longer be seen as viable and may be paused or aborted.
- The Council will continue to look for opportunities to secure additional funding from sources such as grants, which can be used to pursue alternative or additional Capital Projects.
- There will also be a twice-yearly re-profiling exercise, in which project managers will have an opportunity to change the profile of their budget to reflect any changes in the project.
- If a scheme is underspent at the end of a financial year, then the remaining budget will be rolled forward and added to the budget for the following financial year. Therefore, the 2026/27 budget will be amended to include any 2025/26 outturn slippage.

11.27. Proposals to bring forward pipeline schemes or amend individual schemes within the programme will be subject to future Member approvals for their inclusion in the funded capital programme. This will ensure the overall strategic fit and affordability criteria for the programme are assured.

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Proposed Financing 2026/27 to 2029/30

Table F4: Proposed Capital Programme Financing 2026/27 to 2029/30

	2026/27	2027/28	2028/29	2029/30	Total
	£m				
General Fund:					
Capital Receipts	2.72	0.28	0.00	0.00	**3.00**
Capital Reserves	3.98	1.98	0.38	0.00	**6.34**
CIL	5.67	0.00	3.45	0.00	**9.13**
Corporate Reserves	6.12	7.18	2.84	5.36	**21.50**
Grants	28.39	0.01	0.68	0.00	**29.08**
Prudential Borrowing	24.24	4.32	4.62	0.00	**33.19**
Revenue Contribution	0.15	0.00	0.00	0.00	**0.15**
RTB Receipts	0.00	0.00	0.00	0.00	**0.00**
Section 106	4.92	2.11	0.54	0.00	**7.57**
Total General Fund:	**76.20**	**15.89**	**12.52**	**5.36**	**109.96**
HRA:					
Major Repairs Reserve	28.80	29.10	29.50	30.30	**117.70**
Revenue Contribution	4.40	3.00	1.30	2.20	**10.90**
RTB Receipts	20.29	10.83	2.51	0.00	**33.63**
Grants	32.21	14.22	1.67	0.00	**48.11**
Section 106	0.00	0.00	0.66	0.00	**0.66**
Capital Receipts	1.07	10.36	3.73	0.00	**15.16**
Prudential Borrowing	50.64	56.89	53.50	42.11	**203.14**
Total HRA:	**137.41**	**124.40**	**92.87**	**74.61**	**429.30**
Total Capital Programme:	**213.61**	**140.29**	**105.39**	**79.97**	**539.25**

11.28. Explanations of the different funding streams are detailed below:

- Capital Receipts – These are receipts from the sale of Council assets, which are pooled and then used to fund new Capital Projects.
- Capital and Corporate Reserves – This is money put aside by the council either for a specific capital project (for example for Refreshing the IT), or as a general reserve for capital projects.
- Community Infrastructure Levy (CIL) - This is a levy that local authorities can choose to charge on new development in their area, which local authorities must spend on infrastructure needed to support the development of their area.
- Grants – These are sums of money given to the council, usually from central government bodies, which are predominantly for a specific purpose detailed in the grant agreement.
- Prudential Borrowing – This is money borrowed externally which is used to finance capital expenditure. The borrowing is then repaid over

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the useful life of the asset via the Minimum Revenue Provision (MRP). This financing option is usually the last resort for when there are no other financing options available.

- Revenue Contribution – Similarly to Capital and Corporate Reserves, this is money set aside from revenue fund capital expenditure. However, this is set aside from the in-year revenue budget.
- Right to Buy (RTB) Receipts – These are receipts from housing sales that are part of the RTB scheme. These can be used by local authorities to fund the development of affordable housing, both new build and refurbishment of existing stock, on a one-to-one basis.
- Section 106 (S106) – Similarly to CIL, these funds are receipts from charges made to developers. These are used to mitigate the impacts that developments will have on the local community and infrastructure.
- Major Repairs Reserve – This is a self-financing reserve within the HRA, that accounts for the depreciation charge of the Council's housing stock and applies this to finance further HRA capital expenditure.

11.29. There is a total Prudential Borrowing of £236.3m for the proposed Capital Programme, which equates to 44% of total financing. This is broken down into £33.2m, or 30% of the proposed financing, for GF projects and £203.1m, or 47% of the proposed financing, for HRA projects. Accurate borrowing forecasts are important for the council, and they link heavily with the TMS.

11.30. The financing profile of the Capital Programme is flexible and may change as the Council is constantly looking for external funding opportunities such as additional grants and contributions, in order to reduce the requirement to finance Capital Projects using reserves and borrowing.

11.31. Two budgets can be set from Strategic CIL (SCIL) each year, the In-Year Demand (IYD) budget and SCIL Budget. In the 2025-2026 financial year, the IYD budget was set at £243,963 and the SCIL budget at £2m. The SCIL budget was allocated towards Surrey Canal Station which was approved at Mayor and Cabinet in September 2025.

11.32. It is important to note that for both the future General Fund and HRA programme, a high proportion of this is funded by grants, Section 106 and CIL contributions. This therefore very much dictates in large part the scale and direction of the schemes, and there is often very little or no discretion to alter this. Those schemes which are funded solely by reserves, receipts, revenue or borrowing are the schemes where the Council has fuller discretion over the project. Should the Council wish to have more discretion in setting its programme it could only do this via increased use of internal resources or borrowing.

11.33. There are many risks to the Capital Programme, some of the key ones and how they are being mitigated are listed below:

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- Contractors going into administration and being unable to complete work on projects. This risk has become heightened due to some of the factors listed below. This risk has recently materialised in a number of schemes, most notably the Home Park and Edward Street housing schemes which have now been aborted for this reason, causing losses to the council. This risk is mitigated through effective and robust procurement processes.
- Delays to projects caused by supply chain disruptions, labour shortages and other factors, which may cause costs to increase due to inflation or additional costs such as storage, as well as a potential increase in interest costs for projects that require external borrowing to fund them. Contingencies can be built into the project cost plans to allow for these delays and potential additional costs.
- The Council may need to make additional savings meaning certain schemes may need to be paused/aborted. This risk is especially prevalent as the Council is currently using reserves to set a balanced budget.
- Competing priorities for limited resources requires statutory requirements (for example Health and Safety works or changes resulting from new building regulations) to be met first, potentially limiting the number or scale of schemes within the programme.
- A project may not deliver the expected benefits. This can be mitigated by being prudent with any assumptions made when initiating the project, as well as building in a defects period to projects to rectify scenarios where the benefits are not being delivered due to problems with work done by the contractors.
- A project may not meet the criteria laid out in its funding requirements (for example grant funding with date conditions attached expiring due to delays to the project), leading to a potential re-payment of this funding. If this materialises then there is a possibility some or all of the funding would need to be repaid. This can be mitigated by close monitoring of the conditions of funding and, in cases where there are changes to projects, communication with the funding issuer.

11.34. The Council's Capital strategy and priorities drive the Proposed Capital Programme set out in this section of the report. The Capital Strategy and suggested Capital Programme beyond the current MTFS period are detailed in Appendix W1.

11.35. It is recommended that Council:

- agrees the reprofiled and amended 2025/26 Capital Programme of £177.88m as set out in this section of the report;
- agrees that any programme slippage in 2025/26 be added to the 2026/27 Capital Programme project budgets and reported in 2026/27;

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- approves the 2026/27 to 2029/30 Capital Programme of £539.25m as set out in this section of the report;
- agrees the Capital Strategy set out in Appendix W1;
- agrees to delegate authority to the Executive Director for Finance, Digital and Corporate Resources authority to amend the scheme mix within the Capital Programme to respond to the risks as set out as long as this is done within the total programme parameters approved and that regular updates on the Capital Programme, reflecting any changes, are regularly reported back to Mayor and Cabinet.

12. Climate Budget 2026/27 – 2028/29

12.1. The Council produced its second Climate Budget as part of the 2025/26 Budget Report. This supported the Council's ambition for the borough to be net zero carbon by 2030 and the revised Climate Action Plan as published in 2024.

12.2. A climate budget is a governance process intended to support the implementation of short-term actions and the long-term ambition to reduce the borough's carbon emissions to net zero. The intention is that the climate budget is integrated within the Council's financial reporting and budget setting processes.

12.3. Council is now setting its 2026/27 – 2028/29 Climate Budget and this is included at Appendix V1. The Climate Budget sets out the Council's carbon emissions for the period 2018/19 – 2023/24, noting that the Council's emissions have reduced by just over 25% in the six-year period covered by the data.

12.4. The budget also assesses the total estimated cost of full decarbonisation of both its corporate and housing assets as being circa £743m, with £21m as the estimated three-year budget for the period 2026/27 – 2028/29. Any decarbonisation projects will be delivered via the Council's established Capital Programme as set out in Section 11.

12.5. Council is asked to note that Mayor and Cabinet approved the Climate Budget 2026/27 – 2028/29 as set out at Appendix V1.

13. Consultation on the Budget

13.1. In setting the various budgets, it is important to have extensive engagement with citizens to consider the overarching challenge facing public services in Lewisham over the next few years. To this end, the Council has undertaken the necessary statutory consultation exercises. The specific consultation exercises were:

- Rent Setting and Housing Panel; and
- The Business Ratepayer Consultation.

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Rent Setting and Housing Panel

13.2. As in previous years, engagement meetings on rents, service charges and garage rent proposals have taken place in line with the existing arrangements through tenant representatives. A meeting on 2 December 2025 presented tenant representatives with an opportunity to consider the position and to feedback any views to Mayor and Cabinet. Resident representatives of Brockley attended a meeting on 3 December 2025 to consider the proposals and feedback comments to Mayor and Cabinet. Leaseholders were asked for their views at the Leasehold Forum on 11 December 2025.

13.3. Details of comments from the residents' meetings, and officers responses to these, have been set out in Appendices X1a to X1c.

Business Ratepayer Consultation

13.4. As required under Section 65 of the 1992 Local Government Act, the Council consulted business ratepayers on the indicative General Fund Budget for 2026/27. This consultation took place between 3 December 2025 and 23 December 2025. This was open to all businesses registered in Lewisham, of which there are over 11,500.

13.5. The Council sought to gather high level information as to the nature of the organisation and then sought their views on a range of topics. There were 62 respondents who provided feedback on the Council's Corporate Priorities, specifically what the Council does well and what they believed the Council could do better.

13.6. Of the 62 respondents, 48 confirmed they are paying business rates and of that 48, 28 are receiving some form of business rates relief. Specific details related to the types of organisations that responded can be seen in Table G1.

Table G1: Types of Businesses Operated by Consultation Respondents

Type of Business Operated:	Number of Respondents:
Large Enterprise	0
SME*	31
Micro-enterprise**	29
Charity/Community/Voluntary Sector Organisation	2
Total Respondents:	**62**

** Small to Medium Sized Enterprises.*

*** Including sole traders and partnerships.*

13.7. When asked which of the Council's seven priorities they valued most highly, most of the respondents answered and the top priority was unchanged from the previous year's Business Ratepayer Consultation, although this year it ranked 1st by a much more noticeable margin. Respondents voted 'A Strong Local Economy' as their most valued priority, followed by 'Safer

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Communities', as it was last year. The importance of 'Cleaner and Greener' to respondents has increased in comparison to last year, as this is now ranked 3rd, whereas it was 6th. Table G2 below shows how the respondents voted in more detail.

Table G2: Corporate Priority Rankings by Consultation Respondents

Corporate Priority:	Number of Respondent Votes:			Overall Ranking:
	Most Valued Priority:	Second Most Valued Priority:	Third Most Valued Priority:	
Cleaner and Greener	3	12	15	3rd
A Strong Local Economy	26	7	9	1st
Quality Housing	4	4	6	6th
Children & Young People	9	6	7	4th
Safer Communities	6	20	17	2nd
Open Lewisham	4	1	0	7th
Health and Wellbeing	7	8	5	5th
Total Votes:	**59**	**58**	**59**	

13.8. See Appendix Y6 to show how each of the Corporate Priorities are being supported within the Council's Budget.

What Lewisham Does Well

13.9. The consultation asked business ratepayers what they believe the Council does well. Of the respondents, 32 gave positive feedback in response to this question.

A Strong Local Economy

13.10. Several respondents gave positive feedback regarding the support the Council gives to local businesses and the borough's economy. One respondent highlighted that they feel local businesses are looked after and supported, whilst another commented that the Council's '*overall approach demonstrates a genuine effort to balance the needs of local businesses with the financial responsibilities of the borough*'. Another respondent also commented that '*recently there has been more attention to the wishes of residents*' and highlighted the positive change this is having on their local business.

13.11. Support given to the art and creative field was specifically commended, along with the Council's Economy and Partnership Team. The respondent advised that the team are '*excellent and engage businesses over and beyond what I would expect*'. This particular respondent also praised the team for the local business network they coordinate. Any local business can contact the Council via business@lewisham.gov.uk for further engagement.

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Cleaner and Greener

13.12. The Council's support for the 'Cleaner and Greener' Corporate Priority was also mentioned several times by respondents, especially relating to the borough's green spaces. Several respondents highlighted the parks and green spaces as something the Council does well, with one respondent commenting that they are '*a point of pride for local residents'*.

13.13. Positive feedback was given on the cleanliness of the borough's streets and Lewisham Council's refuse collection. Respondents commented that any reports of fly tipping are dealt with efficiently and refuse collections are always prompt.

13.14. Also, in line with the Council's promotion of sustainable travel, several respondents commended the borough's public transport links.

Open Lewisham

13.15. Several respondents focused on the diversity of the borough in response to this question and the Council's support for the borough's culture. One respondent advised that the Council '*fosters a strong identity of inclusion and diversity*' and praised events across the borough that support this. A strong sense of community and community-minded initiatives were also highlighted by respondents.

Children and Young People

13.16. The Council's commitment towards the Corporate Priority of 'Children and Young People' was also highlighted by a number of respondents. The Council's education service received positive feedback, alongside the Early Years teams including Early Entitlement. The respondent commented that the team are '*helpful, informative and very knowledgeable*'. The respondent highlighted the support nurseries receive when implementing new legislation. Another respondent praised the '*youth voice*' the Council provides through certain projects.

13.17. The Council welcomes a better understanding of what is important to its businesses and is pleased to note that its services are well regarded, and that its priorities align with those of its business base.

What Lewisham Could Do Better

13.18. The consultation asked business ratepayers what they think the Council could improve on. Of the respondents, 55 provided feedback to this question.

A Strong Local Economy

13.19. A number of respondents raised concerns related to the borough's traffic and parking, with a prominent concern being related to parking charges. One respondent commented that '*parking charges put people off visiting the local*

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area' which they therefore believe is detrimental to the local economy. Two respondents raised concerns specifically related to parking in Deptford with one highlighting '*parking issues*' and the other highlighting that they believe parking in the area is highly priced.

13.20. The Director of Public Realm notes these comments and advises that Deptford has received a new Sustainable Street scheme with parking controls. This scheme has been reviewed and amended to help residents park close to homes and discourage erroneous parking. The Director also advises that various on-street parking facilities are provided for residents, and short-term parking is provided for visitors and shoppers, alongside car parks managed by the Council.

13.21. More information on the Sustainable Streets Programme can be found here: Lewisham Council's Sustainable Streets Programme.

13.22. The Director of Public Realm also advises that the cost of parking is based on emissions bands, and the charges are used to fund the service. Any additional income is ringfenced and, under law, can only be placed back into areas dedicated to funding local transport and highways initiatives. Lewisham Council uses this income to subsidise concessionary fares.

13.23. All aspects of parking are monitored regularly, and for any specific issues please contact the Council's parking service: Lewisham Council's Parking Services.

13.24. Another respondent raised concerns around traffic management in the borough and the negative impact this is having as '*people no longer want to travel to Lewisham*'. The Director of Public Realm notes these comments and highlights that, as a borough with no London Underground stations, high volumes of traffic do travel on the borough's roads. Traffic management measures put in place are guided by careful, data-led analysis to ensure that any potential solution minimises unexpected impacts on the wider community, lowers air pollution and noise, eases congestion, protects historic infrastructure, and makes streets safer for residents and visitors, whilst ensuring our local businesses remain accessible and supported.

13.25. Lewisham Council's Active Travel Strategy is aiming to make walking, cycling, and other forms of active travel the first and safest choice for everyday journeys by creating a connected, accessible network across the borough. The full strategy can be found here: Lewisham Council's Active Travel Strategy.

13.26. More general comments were made around the need for more local business support, with one respondent advising that Lewisham needs '*more desirable businesses moving to the area*'.

13.27. The Director of Inclusive Regeneration notes these comments and would like to highlight that the Council is working towards the exercising of high street rental auctions in line with new powers granted by Government. These new

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powers allow local authorities to auction leases for long-term vacant commercial properties to new tenants.

Safer Communities

13.28. A number of respondents believe the Council could do more to improve the safety of the borough. Several comments were made in relation to antisocial behaviour, including '*issues with alcohol consumption*' and the need for '*safer neighbourhoods*'. Concerns around shoplifting and street crimes were also raised with one respondent advising that '*more support officers [are needed to] protect the community*'.

13.29. The Head of Safer Communities notes these comments and recognises the concerns raised around persistent antisocial behaviour, shoplifting and street crime. While many crime-related enforcement responsibilities rest with the police, the Council is working in close partnership with police stakeholders to deliver an integrated approach that improves visibility and strengthens enforcement across the borough. This includes supporting targeted operations in hotspot areas, exploring measures to discourage behaviours such as street drinking, and reviewing environmental design solutions like seating arrangements to reduce opportunities for antisocial activity. Alongside enforcement, the Council is also progressing wider place-based initiatives aimed at prevention, including community engagement, business support, and improvements to public spaces, to create safer and more welcoming neighbourhoods.

13.30. As part of setting the 2026/27 General Fund Budget, pressures funding is also being allocated towards improving the safety of the borough's town centres and high streets including investment in additional safety enforcements such as CCTV. The intention is for this funding to improve the safety of our high streets therefore encouraging greater footfall and local business support.

13.31. Antisocial behaviour can be reported to the Council via the website: Reporting Antisocial Behaviour.

Quality Housing

13.32. A number of comments were made in relation to the borough's housing and what the Council could do better. One respondent raised concerns around the availability of housing for '*young working people and professionals*', whilst another advised that Lewisham Council '*needs to keep space for its local long-term residents and make sure there is good, affordable housing on offer for them*'.

13.33. The Director of Inclusive Regeneration notes these comments and advises that the Council has a robust pipeline for the delivery of social housing, which is in addition to the almost 800 affordable homes which have been delivered by the Council since 2022. The Council continues to explore opportunities to attract grant funding and use its own land to increase the delivery of affordable housing. A recent example is the planning permission secured by

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the Council for the regeneration of the Achilles Estate in New Cross, which will deliver 278 new high-quality homes.

13.34. Another respondent also raised concerns around the lack of social housing which leads families staying '*too long in temporary accommodation'*. This respondent raised concerns that it can lead to residents leaving the borough.

13.35. The Director of Housing Strategy notes these comments. The Housing service works to reduce the length of time families are waiting to be rehoused into a new home. As there is not enough social housing available to accommodate all households on the register, the service works closely with families to resolve their housing needs across both social housing and the private rented sector.

Cleaner and Greener

13.36. Although many respondents gave positive feedback in relation to the Council's 'cleaner and greener' Corporate Priority, some also gave advice on what the Council could do better within this area.

13.37. The first topic highlighted by respondents in relation to 'Cleaner and Greener' was waste collection and fly tipping. One respondent commented that '*fly tipping is a real issue [that has] gotten worse'* and believes this is partially due to the charges for waste disposal, whilst another highlighted the issue of fly tipping on high streets specifically.

13.38. The Director of Public Realm notes these comments and advises that the Council is moving towards a more integrated enforcement approach intended to reduce and better discourage fly tipping. This includes a reduction to bulky waste fees, which will mean the Council's fees become one of the lowest in the country, to encourage more use of this service. This is being funded as part of the 2026/27 budget setting process. The new approach will also include a renewed pressure on businesses to adhere to the legal requirement for them to have commercial waste contracts in place.

13.39. Other respondents raised concerns related to uncollected refuse and new developments being without sufficient waste storage and bins, leading to waste being left on pavements.

13.40. The Director of Public Realm notes these comments and, firstly, apologises for any missed collections of refuse. The Council currently misses less than 1% of its weekly collections and strong efforts are being made to reduce this further by using new technology to better monitor and improve the service. In addition, enforceable time banding waste collections are being rolled out for businesses, to ensure waste is collected within specific, pre-defined time windows during the day, rather than at any time. This is expected to improve reliability, reduce disruption, and benefit the cleanliness of our high streets.

13.41. The Director also advised that bin storage for new developments is designed in adherence with the Operational Waste Management Strategy's design

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guide which includes standards related to storage size, access, safety and discretion. Should there be an issue please contact the Council's planning or street environmental services.

13.42. Concerns related to street cleanliness were also raised. A respondent has advised that '*more attention is needed [for] cleaning streets and public spaces*' and they have highlighted '*leaf removal*' as an area that needs attention.

13.43. The Director of Public Realm notes these comments and confirms that leaves are regularly removed each year during leafing season and efforts are made to reduce inconvenience where possible.

Business Rates

13.44. Finally, respondents suggested that business rates should be reduced generally and there should be more access to reliefs and grants.

13.45. The Executive Director for Finance, Digital and Corporate Resources notes these comments. Business Rates Policy is governed by legislation, in particular the Local Government Finance Act 1992. Whilst the Council appreciates the comments in terms of the charges and applicable reliefs for new businesses, the Council is solely responsible for the billing and collection of Business Rates, not the setting of these. There are several reliefs and discounts available to certain businesses. These can be found on the Council's website; Lewisham Council Business Rates. The Council recommends contacting the Business Rates Team to confirm business rates charges before any business commits to a lease. This will assist with budgeting and forecasting.

13.46. The Council is also aware that the Business Rates system is undergoing a great deal of change from 1 April 2026, including new Rateable Values (RVs), based on the Valuation Office Agency's 2026 Revaluation, and new Non-Domestic Rating Multipliers. There will also be a transitional relief scheme, which will cap the percentage by which Business Rate bills can increase each year between 2026 and 2029, and a new 100% relief for electric vehicle charging points.

13.47. Please continue to monitor Lewisham Council's Business Rates web pages over the coming weeks for new information.

Summary

13.48. The consultation was available to all businesses registered in Lewisham and 62 responses were received.

13.49. There were a number of comments and concerns raised regarding the level of Business Rates tax set by Government, and the accessibility and level of relief measures available. In setting its General Fund Budget, the Council recognises the support local businesses need and is ensuring that its

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Resident and Business Services division is able provide that, whilst recognising that business rates, business rates relief and grants schemes are set centrally by Government.

13.50. There were also a number of comments provided on the General Fund services affecting businesses such as parking, street cleansing, housing, and high street maintenance. The Council uses feedback provided to continue improving its services for residents and businesses, in line with the aims of the Corporate Strategy.

14. Financial Implications

14.1. This entire report deals with the Council's Budget. Therefore, the financial implications are explained throughout.

15. Legal Implications

Budget Setting

15.1. Budget setting is a matter for Council, having considered recommendations by Mayor and Cabinet. The Council's budget-setting process is set out in its Constitution.

15.2. The Council is obliged by section 151 of the Local Government Act 1972 to make proper arrangements for the management of its financial affairs. It must set a balanced budget for 2026/27 by 11 March 2026.

15.3. In approving the recommendations in this report, members must have regard to the Local Government Finance Act 1992 which requires the Council to ensure that budget estimates are robust and reserves adequate. Under section 25 of the Local Government Act 2003, the s151 Officer must provide a statement on the robustness of the budget and the adequacy of reserves.

15.4. The Local Government Act 2003 introduced a prudential system of financial control whereby the Council is free to borrow or invest so long as its capital spending plans are affordable, prudent, and sustainable. The Council must determine and keep under review how much it can afford to borrow having regard to CIPFA's Prudential Code of Capital Finance in Local Authorities. The Code requires that in making borrowing and investment decisions, the Council must consider affordability, prudence, and sustainability, value for money, stewardship of assets, service objectives, and practicality. Members are also reminded of their fiduciary duty to the Council Taxpayer, effectively to act as trustee of the Council's resources and to ensure proper custodianship of Council funds. Furthermore, section 3 of the Local Government Act 1999 places the Council under a duty to secure continuous improvement in the way its functions are exercised, having regard to a combination of economy, efficiency, and effectiveness. Members must have regard to this duty in making decisions in relation to this report.

15.5. The planned use of reserves is lawful, provided members are satisfied that this does not compromise the Council's longer term.

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15.6. Where a service is provided pursuant to a statutory duty, the Council cannot fail to discharge it properly. Where there is discretion as to how to discharge duties, that discretion should be exercised reasonably.

15.7. The Council has carried out budget consultation as set out in this report. Members must consider consultation responses with an open mind before making any decision. The Council should also consider how its decisions will contribute towards meeting its equalities duties, against other relevant circumstances such as economic and practical considerations. Directorates should undertake detailed impact assessments of major proposals to ensure that any proposals for savings are reasonable and meet Equality Act duties.

Housing Revenue Account

15.8. Under sections 74 and 75 of the Local Government and Housing Act 1989, the Council is obliged to maintain a separate HRA and prevent a debit balance on that account. Rents must therefore be set to avoid such a debit. The Council may not subsidise the Housing Revenue Account (HRA) from its General Fund.

15.9. The Council has the power under Section 24 of the Housing Act 1985 to determine rent levels and must review rents from time to time and make such changes as circumstances require but must charge reasonable rents for tenants in its own housing stock. In exercising this function the Council must have regard to any relevant standards set for them under section 193 of the Housing and Regeneration Act 2008 including Government guidance (Guidance on Rents for Social Housing, DCLG, May 2014) and the Rent Standard as set by the regulator of social housing.

15.10. Under Section 76 of the Local Government and Housing Act 1989, the Council is required to prepare proposals in January and February each year relating to the income of the authority from rents and other charges, expenditure in respect of repairs, maintenance, supervision and management of the HRA property and other prescribed matters. The proposals should be based on the best assumptions and estimates available and should be designed to secure that the HRA for the coming year does not show a debit balance.

15.11. Prior to any increase the Council must comply with statutory and contractual consultation and notice requirements.

15.12. In respect of setting service charges, The Landlord and Tenant Act 1985 sets out the basic rules for service charges, defining what is considered a service charge, setting out requirements for reasonableness and for prior consultation of leaseholders.

15.13. Leasehold service charges are required to be transparent and reflect the actual cost of the services incurred and where they are incurred on the provision of services or the carrying out of works, only if the services or works are of a reasonable standard in accordance with the Landlord and Tenant Act

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1985.

Dedicated Schools Grant

15.14. The Schools Budget and Dedicated Schools Grant allocations must be determined in accordance with the School and Early Years Finance (England) Regulations 2025.

Council Tax

15.15. The Council is required by section 33 of the Local Government Finance Act 1992 to calculate for each financial year the basic amount of its Council Tax. The basic amount of Council Tax must be calculated from the Council Tax base. This base is created by applying a prescribed formula under the Local Authorities (Calculation of Council Tax Base) Regulations 2012. The amount of Council Tax must be sufficient to meet the Council's legal and financial commitments, ensure the proper discharge of its statutory duties and lead to a balanced budget. If Council Tax is increased within the referendum thresholds announced by Government, no local referendum is required. The proposed 4.99% increase for 2026/27 is within those thresholds.

15.16. The Council is required to submit its Council Tax base to the Greater London Authority (GLA) between 1 December and 31 January in the financial year preceding the financial year for which the calculation of Council Tax base is made. If it fails to do so, then the GLA is required to determine the calculation for itself, in the manner prescribed in the above Regulations.

15.17. Members should have regard to Section 106 of the Local Government Finance Act 1992 which states that members who are in arrears on their Council Tax for two or more months may not vote on matters concerning the level of Council Tax or the administration of it.

Budget Reductions

15.18. The Council is entitled to make decisions to reduce or reorganise services to deliver required savings, provided decisions are taken lawfully, rationally, in accordance with relevant duties and do not prevent the Council from meeting its statutory obligations. Some savings proposals may require statutory or non-statutory consultation before implementation. Whenever consultation is carried out, the Council must comply with the Gunning principles governing lawful consultation. An Equality Impact Assessment should be conducted for all proposals with potential equality impacts, and those assessments must be considered when making decisions.

Fees and Charges

15.19. Certain fees for services provided by the Council are prescribed in statute. There are a further range of services where the is permitted Council to decide whether to charge and how much. In addition, section 93 of the Local Government Act 2003 (the Act) and its associated guidance allows the

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Council to charge for discretionary services. The Council must have regard to the guidance when charging for discretionary services under the Act.

15.20. The Council also has power under section 1 of the Localism Act 2011 to do anything that individuals generally may do, subject to restrictions and limitations imposed by other statutes. The general power of competence extends to charging for a discretionary service where there is no other power to charge for the service, including the power in section 93 of the Act.

15.21. For each discretionary service which a charge is made, there is duty to secure that, taking one year with another, the income from charges for that service does not exceed the costs of provision. Any over or under recovery that results in a surplus or deficit of income in relation to costs in one period should be addressed by the Council when setting its charges for future periods so that over time income equates to costs.

15.22. In reviewing fees and charges, the Council must have due regard to the Public Sector Equality Duty as set out in section 149 of the Equality Act 2010. Equality screening tools have been used appropriately in this regard.

Debt Write-Off

15.23. The write-off of debts at the quantum set out in this report is a matter reserved under the Council's constitution to Mayor and Cabinet.

Strategy Approval

15.24. The recommendations in respect of the Treasury Management Strategy, the Annual Investment Strategy and the Investment Strategy are in accordance with the Council's statutory duties under the Local Government Act 2003 and statutory guidance and comply with the CIPFA Code of Practice on Treasury Management. The strategies each require full Council approval.

16. Risk Implications

16.1. This report considers all the elements forming the Council's 2026/27 Budget. For each of the various component elements, there are a variety of associated risks associated for the forthcoming year, and for future years. The specific risks and mitigations of each Budget component are set out in the relevant sections above.

17. Equalities Implications

17.1. The Equality Act 2010 (the Act) introduced the public sector equality duty (the equality duty or the duty). It covers the following nine protected characteristics: age, disability, gender reassignment, marriage and civil partnership, pregnancy and maternity, race, religion or belief, sex, and sexual orientation.

17.2. In summary, the Council must, in the exercise of its functions, have due regard to the need to:

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- eliminate unlawful discrimination, harassment and victimisation and other conduct prohibited by the Act;
- advance equality of opportunity between people who share a protected characteristic and those who do not; and
- foster good relations between people who share a protected characteristic and those who do not.

17.3. The duty continues to be a "have regard duty", and the weight to be attached to it is a matter for the Mayor and Cabinet, bearing in mind the issues of relevance and proportionality. It is not an absolute requirement to eliminate unlawful discrimination, advance equality of opportunity or foster good relations. Assessing the potential impact on equality of proposed changes to policies, procedures and practices is one of the key ways in which the Council can demonstrate that they have had 'due regard'.

17.4. The Equality and Human Rights Commission issued Technical Guidance on the Public Sector Equality Duty and statutory guidance entitled "Equality Act 2010 Services, Public Functions & Associations Statutory Code of Practice". The Council must have regard to the statutory code in so far as it relates to the duty and attention is drawn to Chapter 11 which deals particularly with services and public functions. The Technical Guidance also covers what public authorities should do to meet the duty. This includes steps that are legally required, as well as recommended actions. The guidance does not have statutory force but nonetheless regard should be had to it, as failure to do so without compelling reason would be of evidential value. The statutory code and the technical guidance can be found at https://www.equalityhumanrights.com/guidance/public-sector

17.5. The Equality and Human Rights Commission (EHRC) has previously issued five guides for public authorities in England giving advice on the equality duty:

1. The essential guide to the public sector equality duty.
2. Meeting the equality duty in policy and decision-making.
3. Engagement and the equality duty.
4. Equality objectives and the equality duty.
5. Equality information and the equality duty.

17.6. The essential guide provides an overview of the equality duty requirements including the general equality duty, the specific duties, and who they apply to. It covers what public authorities should do to meet the duty including steps that are legally required, as well as recommended actions. The other four documents provide more detailed guidance on key areas and advice on good practice. Further information and resources are available at https://www.equalityhumanrights.com/guidance/public-sector-equality-duty-psed

17.7. The EHRC has also issued Guidance entitled "Making Fair Financial

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Decisions". It appears at Appendix Y14, and attention is drawn to its contents.

17.8. Assessing impact on equality is not an end to itself and it should be tailored to, and be proportionate to, the decision being made. Whether it is proportionate for the Council to conduct an Equalities Analysis Assessment of the impact on equality of a financial decision or not depends on its relevance to the Authority's particular function and its likely impact on people from protected groups, including staff.

17.9. Where proposals are anticipated to have an impact on staffing levels, it will be subject to consultation as stipulated within the Council's Employment/Change Management policies, and services will be required to undertake an Equalities Analysis Assessment (EAA) as part of their restructuring process.

17.10. It is also important to note that the Council is subject to the Human Rights Act, and should therefore, also consider the potential impact their particular decisions could have on human rights. Where particular cuts have such implications, they must be dealt with and considered in relation to those particular proposals before any final decision is made.

17.11. In considering the formation of the 2026/27 Budget it is important to consider how this has changed from the 2025/26, both the impact of each individual budget reduction and budget growth proposal, as well as the cumulative impact of these changes on those with protected characteristics. For each reduction and growth proposal an initial equalities analysis assessment has been undertaken, and a fuller equalities impact assessment where required. The detail of all budget reduction proposals can be found in Appendices Y2 and Y3, and the summary equalities assessments in Appendix Y11.

18. Climate Change and Environmental Implications

18.1. Section 40 of the Natural Environment and Rural Communities Act 2006 states that: 'every public authority must, in exercising its functions, have regard, so far as is consistent with the proper exercise of those functions, to the purpose of conserving biodiversity'.

18.2. Overall, there are limited changes to the budget structure and services funded either from agreed reductions or pressures funded. The environment considerations for any reductions were specifically considered as part of those proposals. The environment considerations for the pressures to be funded in 2026/27 are generally considered to be positive.

19. Crime and Disorder Implications

19.1. Section 17 of the Crime and Disorder Act 1998 requires the Council when it exercises its functions to have regard to the likely effect of the exercise of those functions on, and the need to do all that it reasonably can to prevent, crime and disorder in its area.

19.2. There are no specific crime and disorder implications arising from this report.

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20. Health and Wellbeing Implications

20.1. There are no specific health and wellbeing implications arising from this report.

21. Background Papers

Report Title:	Date:	Location:	Contact:
Medium Term Financial Strategy	9 July 2025	Laurence House, 1st Floor	David Austin
Period 6 Financial Monitoring and MTFS Update	3 December 2025		
Council Tax Base	28 January 2026		

22. Glossary

Term:	Explanation:
Base Budget	The amount of money allocated for ongoing operations and services before any additional funding or cuts are considered. This is made up of Government funding known as the Fair Funding Allocation (see definition) and Council Tax income each year, alongside other specified grants within Core Spending Power.
Baseline Funding Level	The amount of an individual local authority's Fair Funding Assessment allocation provided through the local share of retained business rates income.
Budget Allocations	The distribution of financial resources to different departments, ie. Directorates and Divisions, within the Council.
Budget Reduction Proposals	Actions are identified that are expected to reduce expenditure, or increase income, meaning the corresponding budget can be reduced (expenditure) or increased (income) measurably as a consequence. Therefore, a proposal is made, and it constitutes as a saving. *In everyday language: Actions that reduce existing spending, such as finding more affordable suppliers, resulting in measurable reductions in the corresponding budget.*
Collection Fund	A statement that shows the transactions of the billing authority in relation to non-domestic rates and the Council Tax and illustrates the way in which these have been distributed to preceptors and the General Fund. *In everyday language: A separate fund the Council uses to handle business rates and Council Tax income, showing how this money is shared with the Greater London Authority (GLA), Central Government, and the council's main base budget (known as precepts or demands). Depending on*

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Term:	Explanation:
	business rates or Council Tax collected, and the precepts/demands due, this Fund will show a surplus or deficit at the end of the year.
Core Spending Power	A measure of the revenue funding available for local authority services. This includes Council Tax; business rates; Revenue Support Grant and other specified grant funding delivered through the Settlement.
Cumulative Totals	The total amount built up over time by adding successive quantities. For example, the cumulative budget gap over three years, will refer to the budget gap at the end of the three-year period after combining the gap of the three financial years.
Draft Proposals	In the context of budget setting, these are planned changes to service delivery or scope to deliver financial savings, which have not yet been finalised. They are subject to change based on feedback and further discussion.
Fair Funding Allocation	A local authority's share of the local government spending control total comprising its Revenue Support Grant, Local Authority Better Care Grant and Baseline Funding Level for the year in question.
General Fund	The main revenue account which summarises the cost of all services (except those related to Council Housing and Locally Managed Schools) provided by the Council.
Housing Revenue Account (HRA)	Reflects a statutory obligation to account separately for local authority housing provision. It shows the major elements of housing revenue expenditure and how this is met by rents, subsidy, and other income. The funding generated from rental income, service charges, major works and other income is ringfenced for housing related expenditure such as housing management, repairs and financing stock improvement works.
Initiatives	A plan or action that is intended to achieve a specific goal. For example, a 'budget saving initiative' is a plan or action aimed at reducing expenses and saving money within a budget.
Medium-Term Financial Strategy (MTFS)	The Council's financial plan for managing the General Fund revenue budgets (income, expenditure, and investments) over the next four years to ensure it can deliver services within its financial resources (ie. legally the Council must set a balanced budget) and meet its financial goals. The MTFS makes certain assumptions about future income, including Council Tax increases, and expenditure, including growth and risk pressures, to calculate whether there is a Budget Gap. Where a Budget Gap is identified, a

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Term:	Explanation:
	programme of work will be established to bring forward Budget savings proposals. The MTFS for the Spending Review period is included in the Budget Report and will be updated in Summer 2026.
Private Finance Initiative (PFI)	A Private Finance Initiative (PFI) is a long-term contract between a private party and a government entity where the private sector designs, builds, finances, and operates a public asset and related services. In a PFI contract the private party bears the risks associated with construction and maintenance and management responsibility, and remuneration is linked to performance. *In everyday language: This would be akin to the Council entering into a 25-year contract in which the Council pays a contractor an annual sum for service delivery plus an element similar to a mortgage repayment for the capital cost.*
Reserves	Amounts set aside for purposes falling outside the definition of provisions made above are considered as reserves.
Revenue Support Grant (RSG)	A general grant paid by Central Government to local authorities to help them finance the cost of their services, distributed on the basis of Government Fair Funding Shares.

23. Report Authors and Contacts

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Financial implications on behalf of the Executive Director for Finance, Digital and Corporate Resources were provided by the report authors.

Legal implications on behalf of the Monitoring Officer were provided by Melanie Dawson.

24. Appendices

Climate Budget 2026/27 – 2028/29 (V) Appendix

V1 Lewisham Council Climate Budget 2026/27 – 2028/29

Capital Programme (W) Appendix

W1 Lewisham Council's Capital Strategy 2026 – 2045

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Housing Revenue Account (X) Appendices

X1a Residents Rent and Service Consultation Comments 2026/27 Brockley PFI

X1b Tenants' Rent Consultation Comments 2026/27 Lewisham Council Tenants

X1c Leasehold Forum Minutes 2026/27

X2a Rent Report 2026/27 Brockley PFI

X2b Service Charge 2026/27 Brockley PFI

X3 Rent and Tenants Service Charges 2026/27 Lewisham Council

X4 Garage Rent Increase Report 2026/27

X5 Former Tenant Arrears Write Off

X6 Other Associated Charges 2026/27

X7 Housing Revenue Account (HRA) Business Plan 2026/27

General Fund (Y) Appendices

Y1 Restatement of the 2025/26 Net Budget on a Core Spending Power Basis

Y2 Summary of Previously Agreed Budget Reduction Proposals for 2026/27

- **Y2a** Member Decisions
- **Y2b** Officer Decisions

Y3 Summary of 2026/27 Budget Reductions Proposals Agreed in 2025/26

- **Y3a** Member Decisions
- **Y3b** Officer Decisions

Y4 Summary of Proposed Budget Pressures to be Funded in 2026/27

Y5 2025/26 Grants Consolidated in 2026/27

Y6 General Fund Budget 2026/27 by Corporate Priority

Y7 Ready Reckoner for Council Tax 2026/27

Y8 Chief Financial Officer's Section 25 Statement

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Y9 Council Tax and Statutory Calculations 2026/27

Y10 2026/27 Proposed Fees and Charges

Y11 2026/27 Equalities Assessment

Y12 General Fund Arrears Write-Offs

- **Y12a** Historic Council Tax Arrears
- **Y12b** Former Tenants' Arrears related to Temporary Accommodation Stock
- **Y12c** Adult Social Care Sundry Debt Arrears
- **Y12d** Business Rates Arrears

Y13 Summary of MTFS Assumptions

Y14 Making Fair Financial Decisions

Treasury Management Strategy (Z) Appendices

Z1 Interest Rate Forecasts 2025 – 2028

Z2 Extract from Credit Worthiness Policy

Z3 Benchmarking Extract

Z4 Economic Update from MUFG Corporate Markets

Z5 Approved Countries for Investment

Z6 Requirement of the CIPFA Treasury Management Code of Practice

Z7 Liability Benchmark for the General Fund and the Housing Revenue Account

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